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OECD ECONOMIC SURVEYS

2001-2002

Switzerland

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BASIC STATISTICS OF SWITZERLAND

THE LAND

Area (1 000 sq. km)	41.3
Cultivated land, grassland and pastures (1 000 sq. km)	15.8
Forests (1 000 sq. km)	12.5

Major cities (1 000 inhabitants, 2000):	
Zurich	337.9
Basel	166.0
Geneva	175.0
Bern	122.5

THE PEOPLE

Population (thousands, 31.12.2000)	7 204
Number of inhabitants per sq. km (2000)	175
Net natural increase (thousands, 2000)	15.9
Number of foreign workers (thousands, 2000)	966

Civilian employment (thousands, 2001)	3 974
Agriculture (%)	4.2
Industry and construction (%)	26.2
Services (%)	69.6

PRODUCTION

Gross domestic product, current prices (2001)	
CHF billion	417.0
Per head (US$)	34 504

Gross fixed investment, current prices (2001)	
% of GDP	20.6
Per head (US$)	7 123

THE GOVERNMENT

Public consumption (% of GDP, 2001)	14.2
General government (% of GDP, 2001)	
Expenditure	38.2
Revenues	37.7
Debt	50.0

Composition of Parliament (No. of seats)	National Council	States Council
Socialists	52	6
Central Democratic Union	45	7
Radical Democrats	42	18
Christian Democrats	35	15
Other	26	

Last elections: October 1999
Next elections: October 2003

FOREIGN TRADE

Exports of goods and servixes (% of GDP, 2001)	36.9
Commodity exports (billion CHF, 2001)	131.7
Distribution by area (% of total, 2001)	
To OECD countries	83.0
To EU countries	61.0
To OPEC countries	2.6
Distribution by categories (% of total, 2001)	
Raw materials and semi-finished goods	25.8
Capital goods	34.2
Consumer goods	39.7
Energy	0.3

Imports of goods and services (% of GDP, 2001)	32.9
Commodity imports (billion CHF, 2001)	130.1
Distribution by area (% of total, 2001)	
From OECD countries	90.9
From EU countries	79.9
From OPEC countries	1.5
Distribution by categories (% of total, 2001)	
Raw materials and semi-finished goods	27.2
Capital goods	28.0
Consumer goods	39.8
Energy	5.0

THE CURRENCY

Monetary unit: Swiss franc

Currency unit per US$, average of daily figures	
Year 2001	1.6870
March 2002	1.6743

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of Member countries.

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The economic situation and policies of Switzerland were reviewed by the Committee on 20 March 2002. The draft report was then revised in the light of the discussions and given final approval as the agreed report of the whole Committee on 5 April 2002.

•

The Secretariat's draft report was prepared for the Committee by Claude Giorno, Miguel Jimenez and Isabelle Joumard under the supervision of Peter Hoeller.

•

The previous Survey of Switzerland was issued in December 2000.

Assessment and recommendations

Growth slowed markedly in 2001, largely due to the weaker external environment

After a strong performance in 2000, the Swiss economy did not escape the international slowdown last year. GDP growth of about 1¼ per cent in 2001 was however close to the OECD average, after a decade of disappointing performance. Shrinking exports prompted firms to cut back investment and to reduce stocks, but household consumption cushioned the slowdown thanks to robust real wage growth and the resilience of the labour market. Averaging less than 2 per cent in 2001, the unemployment rate was at its lowest level for ten years, and inflation, at only 0.5 per cent in March 2002, remained among the lowest in the OECD.

Activity could remain sluggish for much of 2002 before the recovery takes hold

Following the terrorist attacks of 11 September, the slackening of activity deepened. The drag of the international crisis on confidence was amplified by the collapse of Swissair, the national carrier, while the Swiss franc, underpinned by its safe haven role, appreciated from last summer. The recent worsening of the labour market, which is set to continue in the coming months, should rein in household spending, while firms will probably continue to adopt prudent investment behaviour. Output growth is projected to slow to around 1 per cent in 2002 before picking up to 2¼ per cent in 2003 thanks to the international recovery. However, growth in 2002 and 2003 may be somewhat weaker in Switzerland than in the euro area. The rise in unemployment to above its structural level and a negative output gap of around 1 per cent in 2002-03 should help contain inflation at around ½ per cent during the projection period.

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In the current economic situation, the stance of monetary policy is adequate and should remain accommodative while staying ready to act

The new monetary policy framework adopted by the National Bank at the start of 2000, focusing on inflation forecasts over the next three years, made it possible to respond more flexibly than in the past to cyclical developments. The rise in interest rates during the first half of 2000, in response to stronger output growth, which could have threatened price stability, was followed at the beginning of 2001 by some monetary easing. Since the events of 11 September, interest rates have been cut rapidly in several steps by 1½ percentage points to 1.75 per cent leading to an appropriate monetary stance. However, the appreciation of the Swiss franc since September has complicated to some extent the conduct of monetary policy. In the absence of inflation pressures, the Bank should keep this accommodative stance until the recovery is on firmer ground. Projected low inflation suggests that there is room for lower rates if downside risks should materialise. However, implementation of monetary policy will need to remain flexible because there are also upside risks.

The fiscal stance eased markedly in 2001, partly due to exceptional factors…

The period of fiscal consolidation that began in the early 1990s culminated in 2000, when a record general government surplus of almost 2½ per cent of GDP was registered. Thereafter, the fiscal stance eased markedly, the public finances moving into a deficit of ½ per cent of GDP in 2001. The overshooting at the federal level was due to several exceptional factors, such as the additional outlays due to the Swissair crisis, with half of the total cost – about ½ per cent of GDP – being borne by the 2001 budget. As a result, the Confederation, in deficit by ½ per cent of GDP, failed to meet the balanced budget objective of the constitutional article "Objective 2001" by CHF 120 million. The deterioration of the fiscal balance of the other administration levels in 2001 is partly due to direct tax cuts in many cantons, after several years of restrictive policies. In retrospect, however, the expansionary stance in 2001 had, like the restrictive policy in 2000, a stabilising effect on activity.

… and is set to be neutral in 2002, which, at the federal level, will help to prepare the smooth introduction of the debt containment rule

In 2002, the fiscal stance is likely to be neutral. However, the objective of realising an almost balanced federal budget may not be met because of the economic situation, which will probably be less favourable than initially projected. The 2002 budget marks in fact an important transition after a large majority approved, in a referendum last December, a "debt containment" rule that the authorities have decided to implement as from 2003. The rule requires the Confederation to limit spending to projected cyclically-

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adjusted revenue. Any gap recorded *ex post* between spending and structural revenue will have to be corrected in succeeding years, except in exceptional circumstances. In order to ensure a smooth introduction of this rule, it will be important to balance the budget of the Confederation in structural terms in 2002. The goal for the federal authorities this year is to keep public expenditure under tight control to achieve this objective despite further spending due to the Swissair crisis.

The new budgetary rule, which should be embedded in a medium-term framework, will improve the role of public spending in macroeconomic management

The debt containment rule is one of the keys to the public spending reform programme, which is analysed in detail in this *Survey*. The programme aims first of all at improving the role of government spending in macroeconomic management. Effective control of spending deteriorated during the stagnation of the 1990s and debt rose sharply despite the discipline exerted by direct democracy and fiscal federalism. The debt containment rule should gradually reduce debt as a proportion of GDP, which is in line with the economy's needs given the long-term fiscal outlook, which will be affected by ageing, and the official objective of reducing taxes. Contrary to the past, when fiscal policy was often pro-cyclical, the rule will allow the free play of the automatic stabilisers. This will require that surpluses be generated during upswings while allowing deficits during recessions. The effect of the stabilisers will however remain limited unless more is done to harmonise the fiscal rules of the different levels of government. It is also important not to underestimate the difficulties in implementing the rule, which should be applied within a multi-annual strategy as the room for manoeuvre for adjusting federal spending is very limited in the short term. Formal adoption of the medium-term federal financial plan by Parliament, in a manner consistent with the new rule, would help reconcile more effectively the objectives of control and efficient allocation of public expenditure.

More transparency in public expenditure would also promote fiscal discipline and efficient resource allocation

To improve overall fiscal policy, public spending needs to be made more transparent. For this, statistical information on general government compiled on a uniform accounting basis in line with international practice needs to be disseminated more rapidly. It would also be desirable to take the commitments and contingent debt of public entities into account and to conduct regular evaluations of tax expenditures in line with practice in other OECD countries.

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The authorities' recent efforts to implement more transparent accounting rules for the public accounts should be speeded up. Also, the audit role of the federal office for public expenditure control could be reoriented towards the evaluation of outputs and outcomes rather than formal compliance with budgetary standards, and its findings should be published.

Efforts to improve the efficiency of public spending must be continued

Reforms underway also aim at a better management of the available resources. To this end, a move from the current, excessively rigid, system based on inputs to one based on block appropriations with a clear specification of outputs or even outcomes (*i.e.* the impact of the supply of public services on the targeted population) is being promoted. This shift, which has been accompanied by the introduction of more flexible personnel management in cantonal, municipal and federal government departments, is welcome. However, block appropriations and output-based expenditure still represent only a small proportion of spending. There are several constraints to the development of these new management approaches. First, cost accounting is still too little developed in the public sector. Second, defining and measuring outputs and outcomes is difficult. Third, public entities, inclined to shift to the new budget system, are required to take a budgetary cut, which might dissuade them from making the change. This approach would be encouraged, if the size of the budget cut would reflect the particular situation of the public entity; the authorities envisage such a step. It would also be desirable to address incentive problems created by some financing mechanisms. For example, for hospitals, financing is based on the operating costs and the number of days of hospitalisation, which tends to lengthen hospital stays. Similarly, the rising share of earmarked taxes might induce excessive spending on projects whose funding is guaranteed, such as road transport projects, but which may not generate a high social benefit.

More effective competition is needed, in particular in the health sector

The effectiveness of public spending would benefit from a greater use of market mechanisms, such as road pricing and a strengthening of competitive pressures, especially in public procurement and health care. The Swiss approach of financing medical expenditure through a mandatory sys-

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tem of private insurance has the advantage of disconnecting, to a larger degree than in other countries, the management of such expenditure from budgetary matters. However, this advantage is under-exploited because of the poor regulation of the system. Burgeoning health spending has led to ever-higher premiums on households, which has created problems of equity and pushed up public transfers to poor households. More effective competition is needed in this sector to reduce the cost of health care, which is very high by international comparison. Recent initiatives to reform hospital funding and to abolish the obligation on insurers to contract with all certified medical practitioners are steps in the right direction and should be adopted without delay. An overhaul of the system for equalising risks, which should be maintained, would also encourage insurers to compete on efficiency rather than on risk selection. This should be accompanied by further measures to reduce drug use and costs. Moreover, pharmaceuticals should be exposed to greater foreign competition in the Swiss market.

Modernisation of the federal system is essential

The reforms of public spending also focus on the need to modernise the federal system. Current shortcomings generate serious inefficiencies. An ambitious bill brought before Parliament in autumn 2002 aims to rationalise federal structures and would, if implemented coherently, make it possible to achieve large efficiency gains and a better redistribution. The main guiding principles are:

- Disentangling the roles of cantons and the federal government, whose responsibilities overlap in many areas, by applying the principle of subsidiarity or tax equivalence (or user-pays principle).
- Rationalising transfers to cantons by introducing block appropriations, coupled with a definition of strategic objectives at the federal level and more flexibility at the cantonal level to achieve them.
- Institutionalising collaboration between cantons, accompanied by an equalisation mechanism to reduce spillover effects.
- Introduction of a new system of transfers among cantons on the one hand and between the Confederation and the cantons on the other hand to make up for dif-

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ferences in wealth and specific circumstances (*e.g.* geographic, social and demographic factors). It will ensure that redistribution of resources between cantons is better targeted and more transparent.

Some aspects of the reform programme, for example that concerning social expenditure, could be improved

While there are major benefits to this reform, some aspects merit further reflection. First, the management of the new transfer system seems too compartmentalised; it is liable to diminish the incentive for cantons to seek efficiencies once their targets have been achieved since they will not be authorised to keep the financial gains generated in one area, or to spend them in others. Second, some sectors are likely to suffer from a continuing sub-optimal supply of public services due to the fact that spillover effects are not sufficiently taken into account. This could happen in particular with measures to combat social exclusion and childcare – two areas primarily financed by municipalities. Insofar as, for instance, an increase in the supply of childcare facilities can be seen to bring significant benefits, notably raising female labour supply and improving the educational prospects of children, the cantons should support financially initiatives undertaken by the municipalities to remedy the fact that most of the benefits mentioned spill over to other localities.

A structural reform strategy needs to be implemented to increase potential growth

The return to low unemployment in a context of price stability attests to the success of the labour market reforms implemented in the second half of the 1990s. Further progress will be made after the adoption of new measures by the Parliament, which aim to place the financing of unemployment insurance on a permanent basis. The cut in the maximum duration of unemployment compensation, and the reduction in contributions, will probably reduce structural unemployment further. However, the reduction in structural unemployment will strengthen potential output only marginally. Potential growth is still weak and prices comparatively high, whereas per capita income has risen significantly less rapidly than the OECD average in past decades. Low productivity growth has become an increasing source of concern for policy makers. An overall strategy to enhance the economy's performance is essential and should focus on product markets reforms, where Switzerland is lagging behind other countries.

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For this, it is essential to strengthen competition policy

Competition policy needs to be strengthened in a resolute fashion. Adoption of the recent draft legislation to revise the cartel law would be an important step forward. Enforcement of financial penalties in the event of anti-competitive practices without having to wait for the firm to repeat the offence, as under the current law, would be a step in the right direction. Similarly, incentives for the members of a cartel to denounce it, by reducing the penalties they would incur or giving them immunity, is a measure that has proved effective in other OECD countries. In addition, the new law should consider making hard core cartel behaviour a criminal offence. Competition could also be strengthened in sectors such as pharmaceuticals and automobile distribution. Furthermore, the Domestic Market Act should be amended. This law aims to ensure that qualifications and the right to carry out a profession are recognised nationwide, but has not permitted the creation of a genuine domestic market since the law was interpreted in a restrictive sense by the courts. It should therefore be revised and include a specific reference to the freedom of establishment in all cantons as well as the possibility requested by the Competition Commission (COMCO) to appeal before the courts in the case of restrictive practices. A strengthening of the powers and resources of the COMCO would also be useful. This institution, which should be empowered to also comment systematically on cantonal draft legislation to ensure that it is compatible with competition law, could also prepare annual reports on specific sectors in which competition is lacking.

Further liberalisation of numerous sectors, in particular agriculture and electricity would be beneficial

Further liberalisation is needed in numerous sectors. First of all, it is needed in *agriculture*. The large price disparities with other countries have hardly narrowed in recent years despite the shift in policy towards less distorting support measures such as budgetary payments. The current policy, which provides direct payments to farmers who adopt environmentally sound agricultural practices, has helped to reduce environmental pressures. However, this should not be a pretext for maintaining a high level of subsidies. Less protection will probably reduce agricultural activity, which may improve environmental outcomes further while at the same time reducing the high budgetary cost of

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agricultural policy and would also allow a reallocation of resources to other sectors where Switzerland has a comparative advantage. Liberalisation of the *electricity* sector is also a major plank of regulatory reform. Under the new law to be submitted to referendum this year, local monopolies will be opened up by liberalising access to the distribution grid, and the prices of transporting electricity will be set transparently and in a manner conducive to promoting efficiency. Switzerland lags behind in liberalising this sector and prices are high, especially for businesses. Other sectors like *gas* and the *postal service* would also benefit from an improved regulatory framework providing greater scope for competitive mechanisms. In the case of *telecommunications*, in which liberalisation has already brought large price cuts, the framework should be revised to permit the unbundling of the local loop. Increased competition in fixed telephony services would permit a more rapid dissemination of the Internet and can be made compatible with the maintenance of a high-quality universal service.

The Swissair affair revealed the need for an overhaul in the sector and for changes in corporate governance

The spectacular collapse of Swissair, which obliged the government to intervene, has put the air transport sector at the centre of discussions. In retrospect, and placed in context, it was difficult to avoid this intervention, given the need to ensure the continuity of air transport services and the constraints imposed by international rules governing this sector. In the absence of intervention, airline traffic rights negotiated bilaterally and the status of Zurich airport as an international hub would have been lost. However, the amount of public aid provided, which will be used to increase the capital of a new major air carrier seems larger than desired. Aeroplane capacity still exceeds demand by a wide margin and given the uncertain outlook for air transport, it is not certain that the new company will be viable. It is therefore important that the authorities gradually overhaul the way the sector operates so as to ensure that in future the collapse of a single company does not cause a major disruption to air transport services. The Swissair affair also brought to light shortcomings of corporate governance. Cross-membership of boards of directors is frequent, the number of independent experts on boards is limited, and there are often restrictions on the voting

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rights of shareholders, all of which is detrimental to efficiency and encourages conflicts of interest that undermine a sound company management. Remedying such shortcomings should be a priority.

A number of developments in the financial sector need close monitoring

In the financial sector, bilateral discussions with the European Union have taken place regarding measures equivalent to those that EU countries envisage with respect to the taxation of savings of individuals. It is however too early to predict the outcome of these discussions and their impact on the performance of the sector. Concerning money laundering, legislation is very strict; it relies on direct control of four supervisory authorities and on self-regulation organisations. Regarding the latter, their effectiveness will have to be assessed. The resources of the agency that oversees the fight against money laundering in the parabanking sector, while having increased, are still limited. That said, the good overall performance of Swiss financial institutions could be improved further if the management and credit policy of cantonal banks were less subject to local political interference; social and regional policy objectives could be achieved more transparently by other means, which would allow an assessment of their cost.

Summary

While Switzerland is still one of the richest countries in the world, the lead over most other OECD countries has dwindled during the last 20 years. Some of the reasons for the lower growth rate of Switzerland are to be found in structural factors. Productivity growth has been low, and price levels are very high in international comparison suggesting weaknesses in product markets. Present macroeconomic foundations, however, are sound. Switzerland did not escape the slowdown of activity in the OECD area in 2001 but should, like other countries, benefit from the projected strengthening of economic growth from the second half of this year. The current stance of monetary policy is appropriate and should, in the absence of inflationary pressures, remain accommodative until the recovery has firmed. Given the upside and downside risks surrounding the economic recovery, monetary policy has to continue to react flexibly. On the other hand, fiscal policy needs to maintain the budget in structural balance, especially at the federal level, in

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order to prepare for the smooth introduction of the debt containment rule. The introduction of this new budgetary framework, like the new monetary policy framework in force since 2000, will help to lessen the risk of a re-emergence of major macroeconomic imbalances in the future. In the area of public spending, the authorities have embarked on an ambitious programme to modernise federal structures and to make public spending more effective. The merits and coherence of this programme should be underlined; it should be preserved during the parliamentary debates and completed as rapidly as possible. Some aspects of this reform could however be improved to ensure an adequate supply of social services by better taking into account spill-over effects, while the effectiveness of public spending would also benefit from a greater use of market mechanisms. Productivity and price comparisons suggest that Switzerland would benefit from wide-ranging structural reforms. The authorities should now pursue such a programme of structural reforms vigorously, in particular the liberalisation of product markets and strengthening of competition. The potential gains in this area are considerable. For the health, agriculture, electricity and gas sectors alone, the gains from ambitious reforms are estimated at between 4 and 7 per cent of GDP. Several draft laws include steps in the right direction. They should be passed without delay and in some cases should be strengthened to exploit more effectively the country's economic potential and to enable it to adapt to changes in the international environment. Implementation of a comprehensive strategy based on macroeconomic stability and reforms that raise efficiency would also make it possible to exploit more effectively the economy's human resources and to accelerate its potential growth.

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I. Macroeconomic performance and policies

Overview

After strong output growth of 3 per cent in 2000, Switzerland did not escape the downturn, which hit most OECD countries during 2001. Real GDP has expanded by 1¼ per cent in 2001, which was similar to growth in the euro area and the United States, whereas it had been significantly below elsewhere since the early 1990s (Figure 1). The slowdown was mainly due to the worsening external environment, which caused a decline in exports and in investment. It was, however, partly cushioned by the buoyancy of private consumption, which persisted until autumn 2001. Robust employment creation and low unemployment (1.9 per cent for the year as a whole) have underpinned household incomes and confidence, despite the deterioration in the overall climate following the 11 September 2001 terrorist attacks and the bankruptcy of Swissair. Real incomes also benefited from lower inflation, which was only 0.5 per cent year-on-year in March 2002, while the current account balance continued to show a comfortable surplus.

In view of declining inflationary pressures, monetary policy has been eased since the first quarter of last year. The initially moderate reduction in the Swiss National Bank's (SNB) interest rate has accelerated, reaching 1½ percentage points since the events of 11 September. The slowdown in activity below potential in the second half of 2001 decreased price pressures again and allowed the SNB to further relax monetary conditions. The impact of interest rate cuts on monetary conditions has been partly offset by the appreciation of the Swiss franc, which has reflected its traditional safe haven role. However, monetary conditions eased substantially in the last quarter of 2001 and were accommodative at the beginning of 2002. At the same time, fiscal policy relaxed significantly in the wake of several years of budget consolidation. In 2002, fiscal policy is expected to be neutral. The slightly restrictive stance expected at the federal level should be offset by further fiscal relaxation by the cantons and municipalities. Given this context and the likely evolution of the external environment, output growth could slow further to around 1 per cent this year, before picking up to 2¼ per cent next year, while inflation is likely to remain stable at around ½ per cent in 2002-03.

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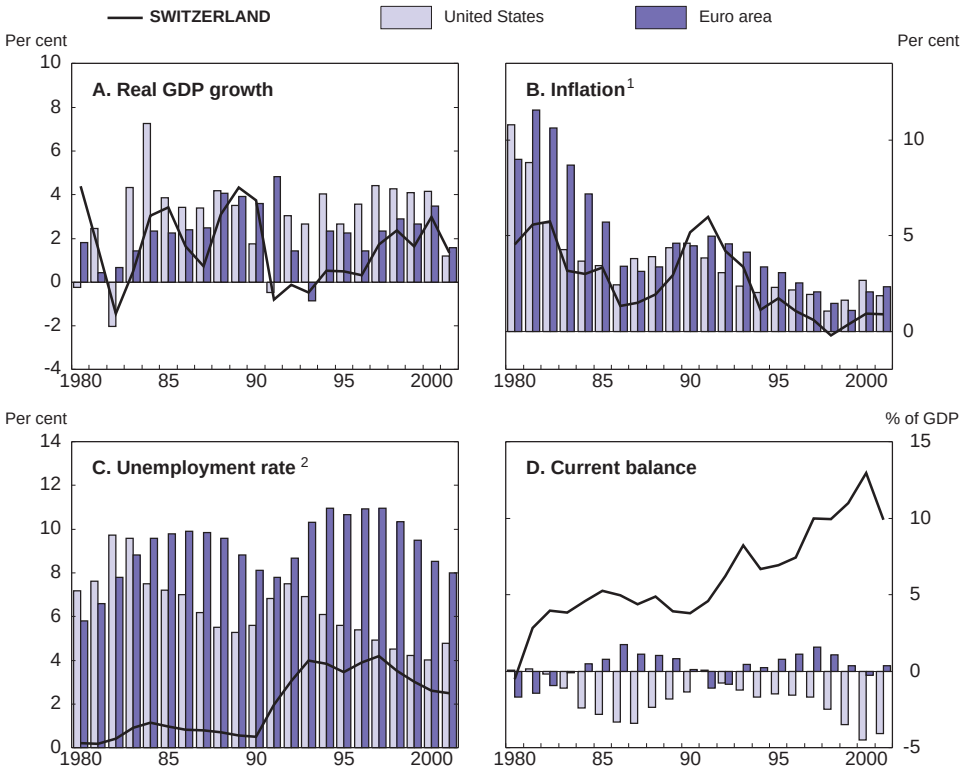
Figure 1. **Key indicators in long-term and international perspective**



1. Change of the private consumption deflator over the previous year.
2. For Switzerland, registered unemployment data prior to 1991 and standardised unemployment thereafter.
Source: OECD.

The current stimulative stance of monetary policy appears to be appropriate. However, given the upside and downside risks surrounding the economic recovery, monetary policy has to continue to react flexibly. If the negative risks materialise, an additional easing of monetary policy would be warranted in the absence of price pressures. Negative risks concern a further appreciation of the Swiss franc, the strength of the international upturn but also private consumption, which could weaken more than expected. However, if the recovery of the world economy is stronger and faster than projected, monetary policy has to be tightened soon enough in order not to endanger price stability.

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Macroeconomic developments

Growth of private consumption has remained vigorous

After having grown by over 2 per cent per year since 1998, the strongest performance since the early 1980s, private consumption increased again by 2¼ per cent in 2001 (Table 1). Such brisk growth, which contrasts with the deterioration of the overall economic climate since early 2001, reflects the still favourable situation of households, which owes mainly to the positive development in employment and wages. Households' real incomes also benefited from lower inflation due to the fall in energy and import prices and from the reduction in direct taxation by a number of municipalities and cantons. As the savings ratio has been stable at around 9 per cent since the mid-1990s, growth of private consumption has in recent years tended to match disposable income growth quite closely. Consumer behaviour was barely affected by the favourable stock market developments since the late 1990s or the big improvement in consumer confidence between summer 1996 and summer 2001.[1] Following the 11 September events, there has been a very sharp turnaround in confidence. The October survey revealed a spectacular 29 percentage point slump in the consumer confidence index, which is the steepest fall since the Gulf war in 1991. However, the sharp turnaround mainly reflected the general anxiety aroused by the 11 September terrorist attacks and events such as the collapse of Swissair, whereas the "personal situation", which seems to be the key variable in driving consumption, has deteri-

Table 1. **Demand and output**

Percentage changes from previous period, s.a.a.r., volume (1990 prices)[1]

	Average 1991-99	1998	1999	2000	2001	2001 Q2	2001 Q3	2001 Q4
Private consumption	1.0	2.3	2.2	2.0	2.3	2.7	1.1	1.3
Government consumption	1.1	1.3	0.5	–0.4	0.1	–0.2	0.6	1.2
Gross fixed investment	0.4	4.5	3.7	5.8	–1.3	–3.2	–2.8	–2.5
Construction	–1.4	0.4	–3.3	2.1	1.3	–2.3	0.1	1.5
Machinery and equipment	2.4	8.9	10.6	9.0	–3.4	–4.0	–5.1	–5.8
Final domestic demand	0.8	2.7	2.3	2.7	1.0	0.6	0.0	0.2
Total domestic demand	0.8	3.5	2.6	2.4	0.9	–1.6	–1.7	–2.1
Exports of goods and services	3.4	5.4	5.2	10.0	1.0	–4.1	–4.6	1.5
Imports of goods and services	3.8	8.3	7.5	8.5	0.0	–8.1	–7.6	–3.4
Gross domestic product	0.6	2.4	1.6	3.0	1.3	0.4	–0.3	0.1
GDP price deflator	1.7	–0.0	0.6	1.1	1.8	–1.5	1.8	–1.6
Private consumption deflator	2.0	–0.2	0.4	0.9	0.9	1.6	0.2	0.0
Index of industrial production[2]	1.7	3.6	3.6	8.3	3.2	5.4	2.6	–1.0

1. Seasonal adjustment by the *Secrétariat d'État à l'Économie* (SECO) except for the price deflators.
2. Excluding construction.

Source: Office fédéral de la statistique; SECO; OECD, *Main Economic Indicators*.

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orated only very slightly. In January 2002, the consumer confidence index, while still negative, picked up somewhat following the improvement of the general climate even though household's assessment concerning job security deteriorated.

The buoyancy of business investment has weakened

In contrast to private consumption, business investment in machinery and equipment reacted sharply last year to the worsening of the international economic situation. After a 9 per cent rise in 2000, growth of capital expenditure, which had already turned down in the second half of 2000, declined in 2001 (Table 1). This was attributable to mounting business uncertainty due to slowing order books and export markets (Figure 2), whereas corporate profitability remained good. Following the period of brisk investment between 1993 and 2000,[2] the rate of capacity utilisation is still low, confirming the OECD estimate of the existence of a negative output gap in 2001. In this environment of insufficient demand, business investment in computer equipment weakened. Aircraft purchases were also steeply down, which explains some 2 percentage points of the decline in investment, whereas truck purchases were stimulated by the new road haulage regulations introduced following the implementation of bilateral agreements with the European Union (Chapter III).[3] Firms also reduced their inventories. There is, however, some uncertainty regarding the scale of this adjustment because this item also incorporates the statistical errors and omissions in the national accounts.[4]

Having picked up again in 2000, construction expenditure was less affected by the economic downturn in 2001. The steep fall in construction investment since the early 1990s, which amounted to 5 per cent of GDP and affected all sectors, seems to be over and real estate prices, having fallen sharply in the middle of the last decade, have stabilised since the late 1990s. The increase in construction in 2000, mainly by firms and general government, largely reflects increased spending on transport infrastructure in connection with the realisation of major rail projects (Chapter III). These projects and lower interest rates probably prevented investment from contracting in 2001. Despite increasing signs of a shortage of housing in a number of large towns, residential investment has remained rather weak. The recent increase in immigration, which has stimulated housing demand, has so far resulted in a fall in the vacancy rate – which is down to its mid-1990s level – rather than the construction of new dwellings.

The downturn in exports has induced a slowdown in activity…

The abrupt downturn in exports in 2001, which contracted by more than 4 per cent in the second and third quarters before edging up in the fourth quarter, was the main cause of the cyclical slowdown. Foreign sales of both goods and services, which had risen by over 10 per cent in 2000, were affected. On services, bank commissions suffered from the unfavourable trend in stock market activity, while tourism demand sagged in summer 2001 after rising for four years in a row.[5]

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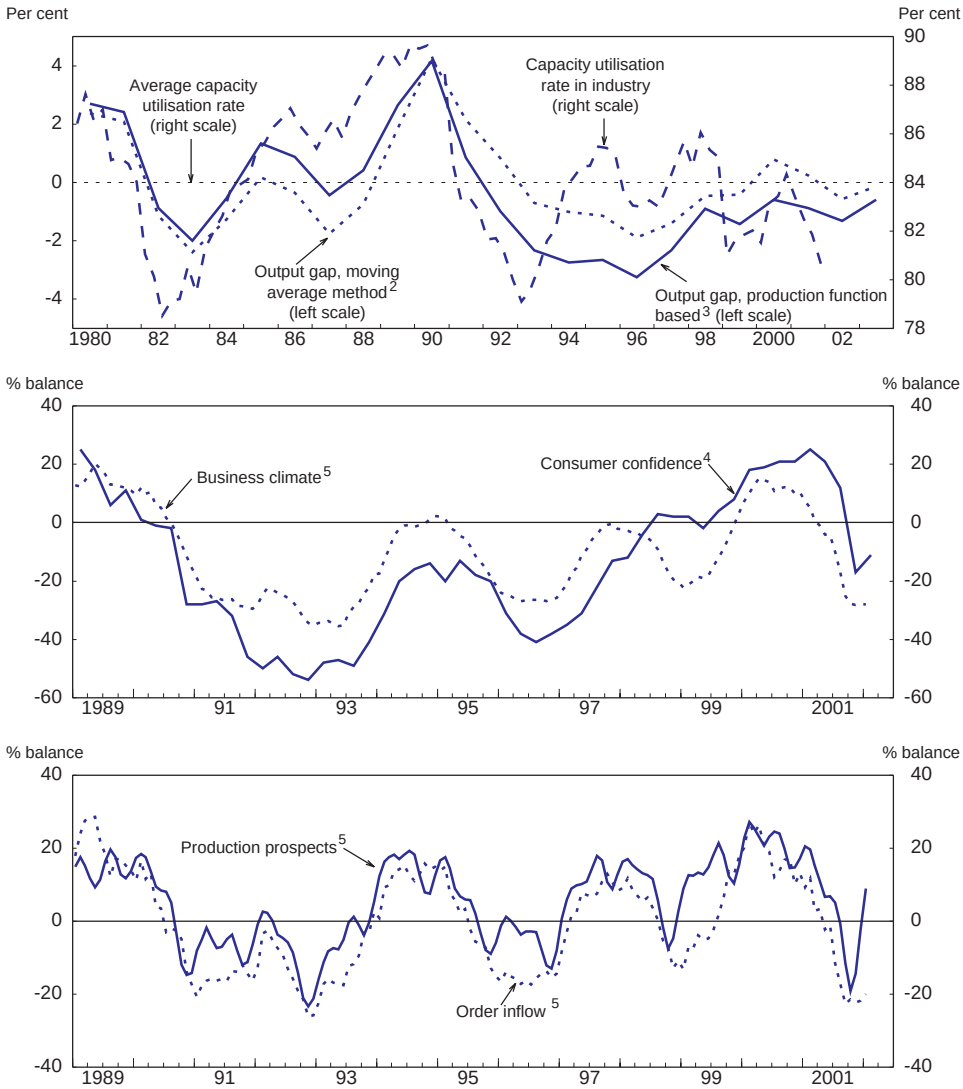
Figure 2. **Output gap[1] and economic activity indicators**



1. Deviation of GDP from potential. Data from 2001 to 2003 are OECD estimates and projections.
2. Method used by the national authorities to compute their cyclically-adjusted fiscal balance. See Amman (1995).
3. Estimate based on OECD method.
4. Balance of positive and negative responses.
5. Three-month moving average.

Source: KOF/ETH, Konjunktur; OECD, *Main Economic Indicators.*

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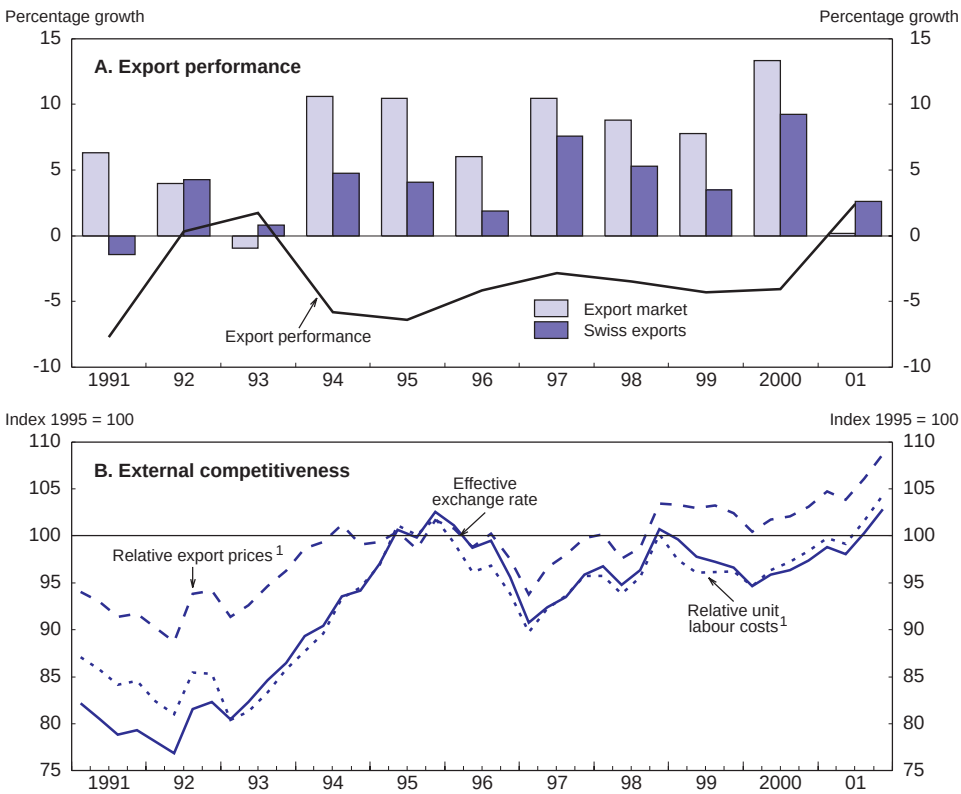
The decline in tourism has continued since the autumn, following the 11 September terrorist attack and the collapse of Swissair. In the goods sector, the slowdown of foreign markets has affected investment products most. Exports of chemical and pharmaceutical products, which account for one-third of total goods exports, have on the other hand continued to grow briskly, probably reflecting a buoyant demand in this sector, and also the productivity gains achieved in pharmaceuticals and biotechnologies as a result of the restructuring carried out in the 1990s.[6] Overall, real growth of merchandise exports, which reached 2 per cent in 2001, was stronger than export market growth for the first time since 1993 – despite the erosion of international competitiveness due to the appreciation of the effective exchange rate since early 2000 (Figure 3).

Figure 3. **Competitiveness indicators and export performance**



1. In manufacturing.
Source: OECD.

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... and the current balance surplus narrowed somewhat

The favourable export performance, coupled with the contraction of imports as a result of weak total demand, resulted in a positive contribution of foreign trade to activity in 2001. However, despite the stability of the terms of trade, the trade balance worsened somewhat last year due to high imports of precious metals.[7] Along with the slight contraction in the services balance, essentially tourism and banking,[8] investment income fell sharply owing to lower company profits abroad (Table 2). Hence, the current account surplus contracted for the first time since the mid-1990s and reached CHF 41.5 billion, or 10 per cent of GDP, after the record surplus of 13 per cent of GDP in 2000. Among the OECD countries, only Norway has a higher current account surplus than Switzerland. Net investment income flows are very large (10 per cent of GDP in 2000) and quite volatile. Their

Table 2. **Current external account**
CHF billion

	1997	1998	1999	2000	2001	2001[1] Q2	2001[1] Q3	2001[1] Q4
A. Receipts								
Total exports of goods (f.o.b)	114.2	118.3	125.2	143.5	147.9	150.9	140.5	145.0
Services, receipts	36.7	38.8	40.9	46.4	45.5	45.9	49.0	40.9
of which: Tourism	11.5	11.6	11.8	13.0	14.2	12.5	16.4	9.0
Factor income	50.9	66.6	75.3	102.7	92.9	105.0	82.5	87.7
of which: Capital	49.3	65.0	73.6	101.0	91.2	103.3	80.8	86.0
Current transfers	3.8	4.0	10.2	10.2	11.8	16.4	10.1	9.9
Total receipts	205.6	227.7	251.5	302.8	297.4	318.2	282.1	283.5
B. Expenditures								
Total imports of goods (c.i.f)	114.7	120.7	125.4	147.8	154.6	154.5	142.3	140.8
Services, expenditures	17.8	19.2	20.8	23.0	22.0	25.1	27.9	21.2
of which: Tourism	10.1	9.9	10.2	10.8	12.0	12.9	15.2	9.3
Factor income	27.5	40.7	44.8	63.1	62.7	70.6	59.2	56.9
of which: Capital	19.4	32.7	36.7	54.5	38.0	61.2	49.6	47.2
Current transfers	8.7	9.4	17.7	16.6	18.9	23.7	17.5	17.3
Total expenditures	168.7	189.9	208.7	250.5	256.0	273.8	246.8	236.2
C. Balance								
Trade balance	–0.5	–2.3	–0.3	–4.2	–6.7	–3.6	–1.8	4.2
Service balance	18.9	19.6	20.0	23.4	23.5	20.8	21.1	19.7
of which: Tourism	1.4	1.7	1.6	2.2	2.3	–0.4	1.2	–0.3
Net factor income	23.4	25.9	30.5	39.6	30.2	34.4	23.4	30.8
of which: Capital	30.0	32.4	37.0	46.5	53.2	42.1	31.3	38.7
Net current transfers	–4.9	–5.3	–7.5	–6.5	–7.1	–7.2	–7.4	–7.4
Current balance	37.0	37.8	42.7	52.3	41.5	44.4	35.3	47.3
As a percentage of GDP	10.0	10.0	11.0	12.9	9.9	10.6	8.5	11.4

1. At annual rates, not seasonally adjusted.
Source: Banque nationale suisse, *Bulletin mensuel de statistiques économiques*, March 2002.

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reduction in 2001 implies GNP growth of about 2½ percentage points less than that of GDP, whereas between 1994 and 2000 average annual GNP growth had been 1 percentage point higher than that of GDP.[9]

Labour market tensions have eased

Job creation, which had strengthened in 2000 thanks to the buoyancy of activity, remained very robust until the autumn of 2001 despite the cyclical slowdown. As measured by the labour force survey, the growth of employment, which had averaged 1.4 per cent on an annual basis since the first quarter of 2000, was the strongest since 1991 (Table 3). All sectors, except agriculture, saw an increase in employment. From early 2001 however, employment growth slowed in manufacturing and construction, while remaining very dynamic in services. The buoyancy of job creation in services partly reflects the growth of atypical jobs and of self-employment. According to measures based on full-time equivalent jobs, hiring in services was about 1 percentage point less than the growth of employment in that sector,[10] largely because the growth of part-time work already observed in previous years continued. In addition, most of the new jobs were filled by a rapid increase in the foreign labour force (6¼ per cent in 2001).

Table 3. **Employment trends**
Year-on-year percentage changes

	1998	1999	2000	2001	2001 Q1	2001 Q2	2001 Q3	2001 Q4
Persons in employment	1.0	0.7	1.2	1.5	1.9	1.8	1.7	0.7
By nationality								
Swiss	0.7	1.2	0.8	–0.0	0.5	–0.1	0.0	–0.5
Foreign	1.8	–0.9	2.5	6.3	6.4	7.6	6.5	4.6
By sector								
Agriculture	1.3	1.6	–2.8	–5.3	–4.9	–5.0	–5.5	–5.7
Industry	–0.9	–0.5	3.0	0.7	1.7	1.0	0.4	–0.5
of which:								
Manufacturing	–0.7	–1.0	2.4	1.2	2.3	1.3	0.9	0.2
Construction	–1.6	0.7	4.8	–0.1	0.5	1.0	–0.2	–1.7
Services	1.7	1.0	0.9	2.3	2.5	2.5	2.6	1.6
Memorandum items:								
Registered vacancies	40.5	8.8	–6.3	–8.1	–0.7	–8.7	–13.9	–9.6
Labour productivity[1]	1.4	1.0	1.7	–0.2	0.3	0.2	–0.8	–0.4
FTE employment[2]	0.3	0.8	1.6	1.1	1.7	1.0	1.1	0.6

1. Real GDP per person in employment.
2. Full-time equivalent employment in the industry and services sectors.

Source: Office fédéral de la statistique, *Statistique de la population active occupée* and *Statistique d'emploi*; OECD, *Main Economic Indicators.*

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Table 4. **Unemployment structure**

	1997	1998	1999	2000	2001
			Rate[1]		
Total	5.2	3.9	2.7	2.0	1.9
By gender					
Women	5.7	4.4	3.3	2.4	2.3
Men	4.9	3.5	2.4	1.7	1.6
By citizenship					
Swiss	3.6	2.6	1.8	1.4	1.3
Foreign	10.7	8.1	5.8	4.1	3.8
By age					
15-24 years	4.7	3.3	2.2	1.5	1.5
25-49 years	5.5	4.1	2.9	2.1	2.0
50 years and more	4.7	3.7	2.7	2.0	1.8
Memorandum item:					
Standardised unemployment[2]	4.1	3.6	3.1	2.7	2.5
			Share in per cent		
By duration					
0-6 months	43.1	44.6	52.7	59.0	64.3
7-12 months	26.4	23.0	21.5	20.9	19.7
More than one year	30.5	32.5	25.8	20.1	16.0

1. Official unemployment statistics include those who are partially unemployed. Official unemployment rates are expressed as a percentage of the workforce in the 1990 population census.
2. This is consistent with the guidelines of the International Labour Office, the OECD and the Eurostat.

Source: SECO, *La situation sur le marché du travail en décembre* 2001, *Enquête suisse de population active*, October 2001, *Statistiques du marché du travail.*

Overall, unemployment continued to fall last year (Table 4). The official unemployment rate decreased to 1.9 per cent in 2001, close to its estimated structural level. Measured on a harmonised international basis, it dropped to 2.5 per cent, the lowest rate in the OECD after Luxembourg and the best Swiss performance in 10 years (Figure 1).

Despite this favourable performance, the labour market has worsened in recent months. The deceleration of dependent employment growth has been significant in the fourth quarter of 2001, mainly due to the job losses arising from the Swissair failure. In fact, the rise in the official unemployment rate since the summer accelerated and it reached 2.6 per cent in March 2002. Also, bleaker job prospects for managers, the easing of skilled labour shortages and the reduction in the number of vacancies, particularly in sectors like computing and insurance, point to a deterioration in the labour market situation that is set to continue in the next few months (Figure 4).

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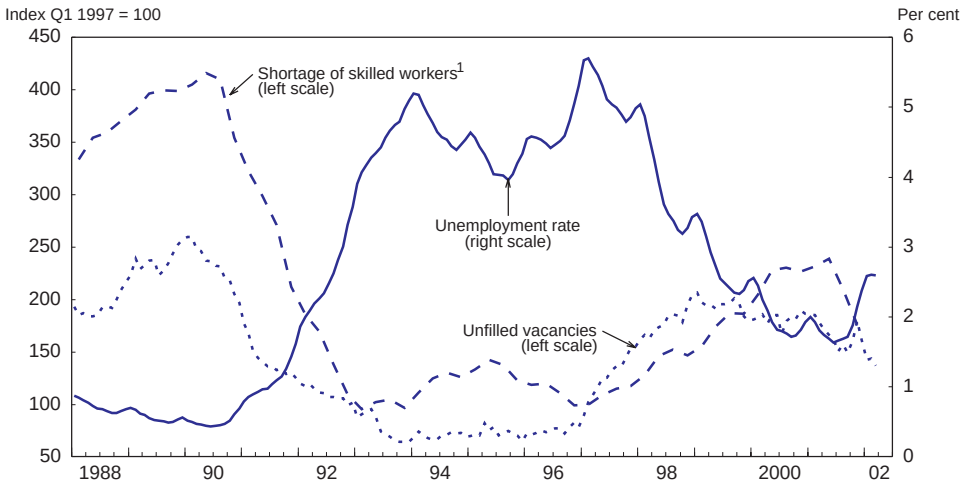
Figure 4. **Labour market indicators**



1. Percentage of companies having difficulties to get skilled workers.
Source: SECO; OFS.

Inflation has slowed despite higher wage growth

Despite the easing in recent months, the tight labour market in 2000 and 2001 fuelled heftier wage claims. The official wage index rose by 1.3 per cent in 2000 after rising by only 0.3 per cent in 1999, and the average wage increase negotiated by the social partners in 2001 was 2.9 per cent. As in previous years, remuneration per employee probably rose more rapidly, as these indices do not take into account bonuses and allowances, nor the wage drift resulting from upskilling. The OECD's estimates suggest that total remuneration per capita may have increased by 1½ per cent in 2000 and 3¼ per cent in 2001, implying a significant acceleration in real terms from ½ per cent to some 2 per cent between 2000 and 2001.[11] The average nominal increase agreed by the social partners for 2002 is close to 2¼ per cent, which would imply further real wage growth. This relatively large real increase, in view of recent cyclical developments and the outlook, can be partly explained by the lag in labour market adjustment. For example, the negotiations for 2002 were hardly affected by the international crisis because they were concluded before the worsening in the labour market was perceived. However, pay rises probably incorporated a certain amount of catch-up after a long period of real wage growth below productivity gains that helped boost company profits between 1992 and 2000.[12]

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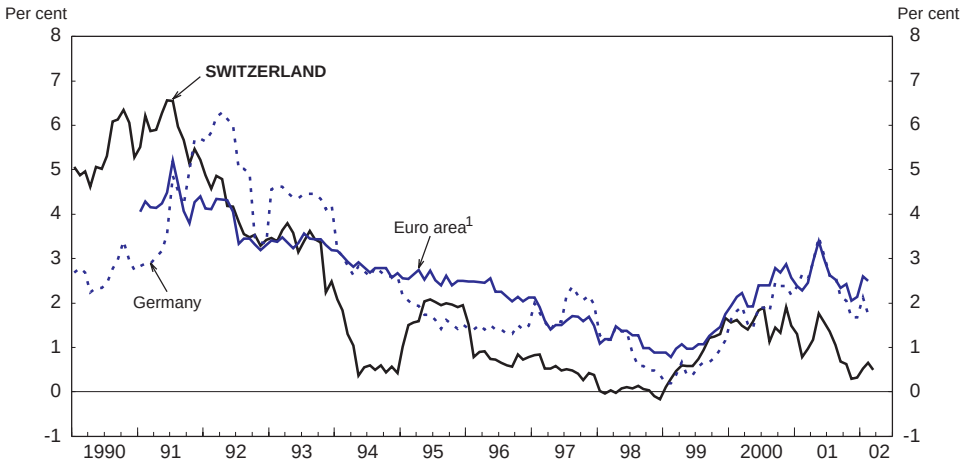
Figure 5. **Consumer prices: an international comparison**
Year-on-year percentage changes



1. Harmonised CPI.
Source: OECD, *Main Economic Indicators.*

In 2001, virtually flat productivity coupled with real wage acceleration pushed up labour costs, probably by more than 3 per cent. However, this increase in labour cost has been offset by a squeeze on company margins and a reduction in energy costs. Helped also by the appreciation of the exchange rate, inflation remained amongst the lowest in the OECD area (Figure 5). Output price inflation fell to ½ per cent in 2001 while the consumer price index, which was affected by methodological changes,[13] rose by 1.0 per cent after 1.6 per cent in 2000 (Table 5). The slowing of inflation mainly reflected the reduction in the price of energy imports during the second half of last year, whereas the effect of the liberalisation of the telecommunications sector, which reduced inflation by 0.4 per cent in 2000, wore off. In March 2002, both the year-on-year headline and underlying inflation rate were limited to 0.5 per cent.

Monetary policy

A *new policy framework*

At the end of 1999 the Swiss National Bank (SNB) implemented a new monetary policy framework. The new concept is a broadly based strategy to maintain price stability which uses an inflation forecast as main indicator to guide policy decisions. The previous framework, which was criticised in previous *Surveys*,[14]

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Table 5. **Price trends**

Year-on-year percentage changes

	Weight	1998	1999	2000	2001	2002 Feb.	2002 Mar.
	May 1993						
Total supply index[1]	100.0	–1.5	–1.4	2.7	–0.1	–1.5	
Producer price index	70.2	–1.2	–1.0	0.9	0.5	–0.5	
Import price index	29.8	–2.2	–2.2	6.7	–1.6	–4.1	
	May 2000						
Consumer price index	100.0	0.0	0.8	1.6	1.0	0.7	0.5
Goods	43.8	–0.3	0.7	3.1	–0.1	–0.8	–1.0
Non-durables	27.3	–0.6	1.0	5.0	0.9	0.5	0.3
of which:							
Food, beverages, tabacco	13.5	0.9	0.3	1.6	2.0	3.8	3.5
Energy	7.0	–3.3	2.0	10.6	0.5	–3.1	–3.5
Services	56.2	0.3	0.9	0.4	1.8	1.8	1.6
of which:							
Rents	20.1	0.1	0.7	1.5	2.8	1.5	1.5
Home produced goods and services	74.3	0.3	0.7	0.7	1.7	1.8	1.7
Imported goods and services	25.7	–0.7	1.0	4.1	–1.2	–2.7	–2.9
Core inflation	77.7	0.1	0.7	0.6	1.0	0.7	0.5
Export prices[2]	..	–0.9	1.2	2.6	2.6		
Import prices[2]	..	–3.8	–1.2	5.8	2.5		

1. The total supply price index is the weighted average of producer and import price indices.
2. Change in the price deflator of goods and services, national account basis, 1990 = 100.

Source: Banque nationale suisse, *Bulletin mensuel de statistiques économiques* and OFS, *Communiqué de presse* – 5 (*Prix*), March 2002.

focused on a monetary aggregate (the seasonally-adjusted monetary base) as intermediate target. In the new approach, the SNB, which has full independence to implement its policy, has the objective to maintain price stability over the medium term and thus to avoid both inflation and deflation. The SNB defines price stability as an inflation rate, measured by the CPI, of less than 2 per cent per annum.[15] The Bank publishes forecasts of inflation over a three-year horizon twice a year (June and December), and publishes an assessment of monetary policy every quarter. The projections are based on a variety of economic models, indicators, and judgement. In particular, structural econometric and vector-autoregressive (VAR) models are used.[16] Monetary aggregates still play an important role in forecasting inflation and are followed closely by the SNB. Their predictive power for inflation developments is confirmed in a variety of studies (Baltensperger, Jordan and Savioz (2001), Faber and Fischer (2000), Jordan, Peytrignet and Rich (2001)). The SNB holds a press conference when publishing the inflation forecasts, but it does not publish the votes or the minutes of the meetings. The structural model on which projections are based has been published though, and other

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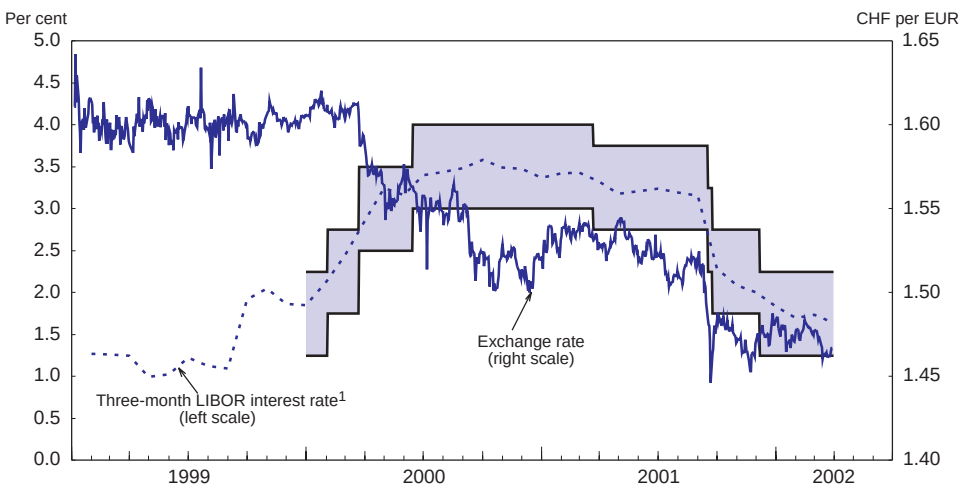
research will be made available in the future. When publishing the forecasts, the SNB has insisted that they must be interpreted carefully (Jordan and Peytrignet, 2001). In particular, the inflation forecast is conditional on constant interest rates over the projection period (and on endogenous exchange rates), even if monetary policy will almost certainly have to be modified in order to cope with the continuously changing economic environment. This does not imply that interest rates are not bound to change in the following three years; indeed, forecasts are valid at most until a new projection is made six months later. However, the publication of a projection with a longer horizon allows for a more transparent communication of monetary policy, since it gives a hint of longer term projections under normal conditions, and therefore on future interest rate movements. The interest rate instrument is the three-month Libor, for which a one per cent wide target band is announced. The SNB usually aims at the centre of the band, but lets the Libor fluctuate within it, using its margin flexibly.[17]

Policy in 2000 *and* 2001 *has responded flexibly to the changing environment*

Over the last two years, the greater flexibility of the new framework has allowed the monetary authority to respond more readily to the changing environment. At the beginning of 2000 the target range of the three-month Libor was around a central rate of 1.75 per cent (Figure 6). Rates were raised during the first

Figure 6. **Three-month LIBOR rate and the CHF/EUR exchange rate**



1. The shaded area corresponds to the National Bank's intervention corridor.
Source: Banque nationale suisse, *Bulletin mensuel de statistiques économiques,* February 2002 and OECD.

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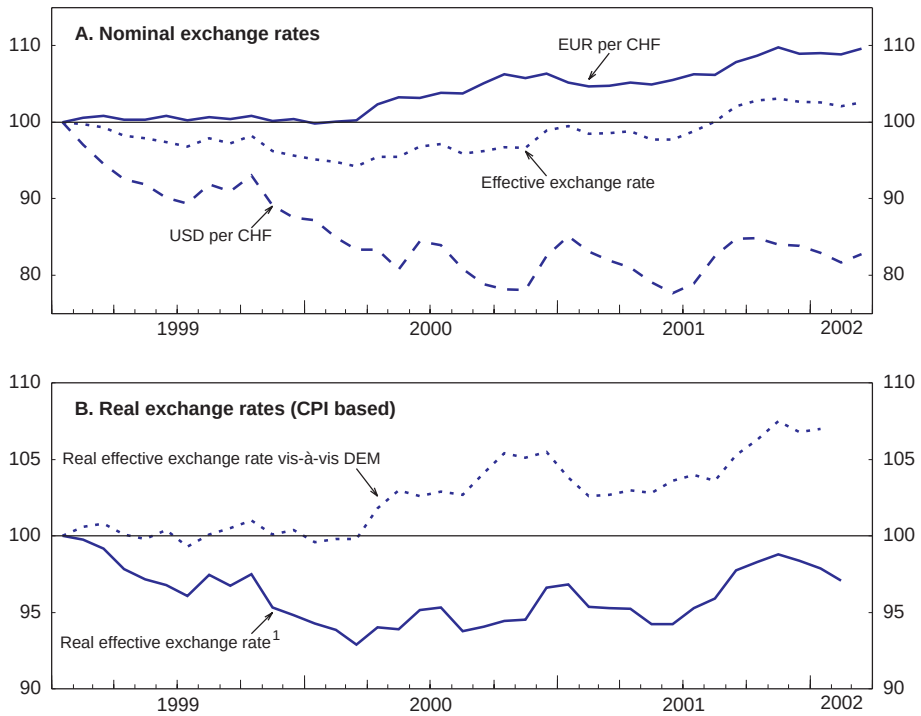
half of the year to 3.5 per cent, as it became clear that the upswing of the Swiss economy was going to be boosted further by the buoyant international environment and could threaten price stability. This increase in interest rates was followed in the second half of 2000 by an appreciation of the Swiss franc, implying a further welcome tightening of monetary conditions. During the first quarter of 2001, due to slowing external and internal activity and lower oil prices, inflationary pressures diminished rapidly. The SNB reacted by easing interest rates by 25 basis points to a central target of 3.25 per cent in March. During the summer it became clear that the slowdown in the United States would last longer that expected. The Bank revised its inflation forecast and planned a cut of a further 50 basis points for the end of September, to a target rate of 2.75 per cent.

Figure 7. **Exchange rates**

Index January 1999 = 100



1. Weighted exchange rate of the Swiss franc against currencies of 42 industrial countries.

Source: Banque nationale suisse, *Bulletin mensuel de statistiques économiques ;* OECD, *Main Economic Indicators.*

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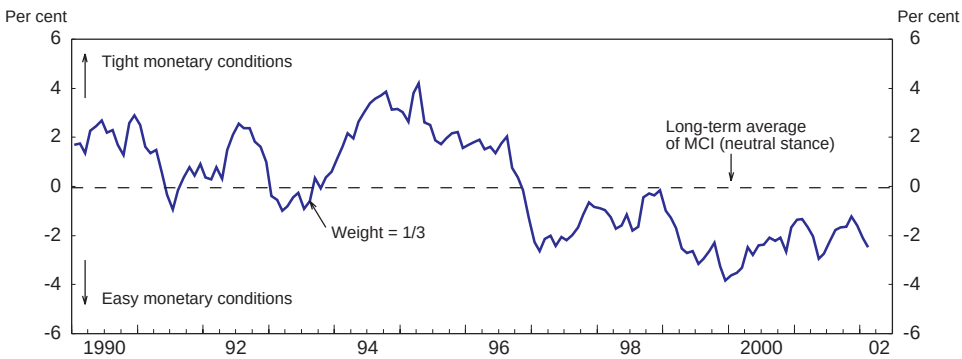
However, following the events of 11 September, the SNB brought this rate cut forward to 17 September in co-ordination with similar moves in the United States and the euro area, so that differentials of short-run interest rates with both areas remained unchanged. However, due to safe haven effects, the franc appreciated rapidly by almost 5 per cent against the euro, and the SNB reacted by easing interest rates by a further half a point, to 2.25 per cent (Figure 7). The franc stabilised, albeit at a higher level than before the events (about 3 per cent higher against the euro one month after 11 September). In December 2001, due to the sharp deterioration of the international environment, the Bank reduced rates again to 1.75 per cent, while revising down its inflation and growth forecasts. The latest projections, based on an unchanged target rate of 1.75 per cent, show an inflation rate of 0.9 per cent on average in 2002, moving up to 1.5 per cent in 2004, and a GDP growth rate of 1 per cent in 2002 and stronger growth thereafter. The SNB's projections are somewhat more pessimistic than those of the OECD, which expects a stable inflation rate in 2002-03 of ½ per cent.

A monetary conditions index, which takes into account interest rates and exchange rates in real terms with respect to their trend levels,[18] gives some indication of how the monetary stance has changed (Figure 8). In the first half of 2000 the index moved up as interest rates rose and the franc appreciated above its long-term trend. Both contributed to a tightening of the monetary stance. In 2001, the

Figure 8. **Monetary conditions index (MCI)**[1]



1. The MCI is defined as MCI =(r-r*) +(e/e* –1)/w, where r is the real (CPI deflated) three-month LIBOR rate, r* the long-term average of r, e the real effective exchange rate (CPI based) and 1/w the weight of the exchange rate deviation from its average. Since the real exchange rate in Switzerland is characterised by a significant upward trend, the MCI uses the deviation of the real exchange rate from its (linear) trend e* rather than from its long-term average. A negative MCI implies easy monetary conditions (relative to the long-term average).

Source: OECD.

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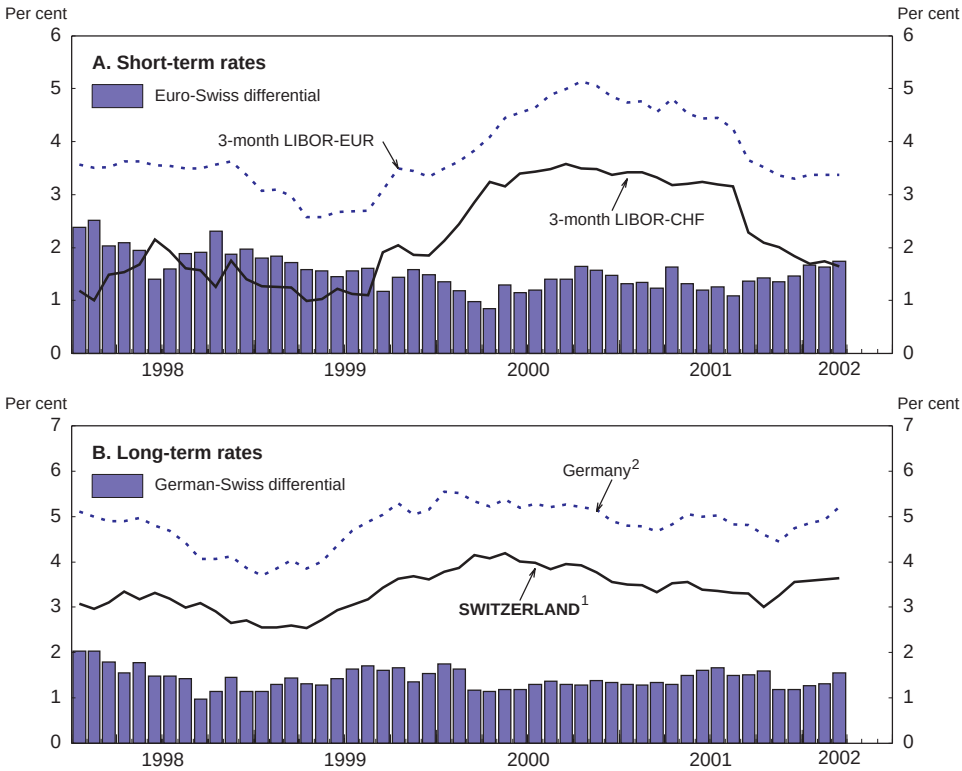
Table 6. **Yield curve**
Libor rates and bond yields, per cent[1]

	Libor 1 month	Libor 3 months	Libor 12 months	Bond 2 years	Bond 10 years
1998	1.25	1.41	1.71	1.81	3.07
1999	1.59	1.85	2.21	2.06	3.01
2000	3.37	3.37	3.37	3.52	3.88
2001	1.79	1.84	2.00	2.85	3.36

1. End-of-year values.
Source: Banque nationale suisse.

Figure 9. **Interest rates**



1. Confederation bonds of more than 7 years.
2. Listed federal securities with residual maturities of over 9-10 years.
Source: Banque nationale suisse and OECD.

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index was volatile, but the level in December was lower than just after the 11 September events and reflected easy monetary conditions, consistent with flat GDP and a negative output gap. The growth of the broad monetary aggregate (M3) – whose demand is particularly interest-rate sensitive in Switzerland – suggests that monetary conditions relaxed in 2001. After negative growth rates in 2000, M3 growth picked up last year accelerating to 5 per cent at the end of 2001, clearly above the long-term level compatible with price stability, even though a minor part of the acceleration can be explained by the larger demand for notes and coins linked to the arrival of the physical euro. The yield curve, which is useful for gauging market expectations of future inflation, also suggests that monetary conditions are accommodative. The curve was flat in 2000 but has redressed strongly (Table 6). The (negative) short-term and long-term interest rate differential against German rates has also widened somewhat during 2001, indicating that in 2001 the SNB eased monetary policy more than the ECB and that long-term inflation expectations have fallen more than in the euro area (Figure 9).

Monetary policy is complicated to some extent by the appreciation of the franc

Events over recent months have shown again that monetary policy conduct can be complicated to some extent by sudden changes in the exchange rate. This is particularly so, since the safe haven effect in times of international political or economic uncertainty is enhanced by the stability of the Swiss financial system, which attracts foreign capital. The franc has risen in real terms on trend (by an annual rate of 0.4 per cent since the beginning of the 1980s). This trend has often been explained by the high productivity growth of the export sector relative to the domestic sector and the high propensity of the Swiss to save, reflected in a large current account surplus exceeding 10 per cent of GDP in recent years.[19] Apart from the trend appreciation, there are temporary effects on the Swiss franc, especially due to its role as a save haven. In recent months, this element may have pushed up the franc following higher political risks due to the 11 September events and due to uncertainties in the course of the introduction of the physical euro. Some members of the SNB board have expressed concerns about the impact that a permanent exchange rate appreciation above its pre-September level could have on the economy. To some extent, the monetary authority can counter a temporary appreciation of the franc with interest rate reductions, as has been done on 24 September, although the margin for manoeuvre may be small if rates are already low or if the appreciation is particularly strong.[20] However, the appreciation after September 2001 was relatively mild and much smaller than in similar past episodes.[21] In principle, it should reverse, since the shocks that induced it (political instability and euro transition) are of a temporary nature. Renewed international political risks, or prolonged periods of uncertainty, may push the franc further up and may have important economic consequences for Switzerland.[22] A clear example is the appreciation of the Swiss franc that took place between 1992

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and 1995 following the devaluation of several currencies within the European Monetary System (EMS), which prolonged the recession in Switzerland despite the fast reaction of the SNB with a reduction of interest rates of more than 500 basis points.[23] However, past episodes of appreciation due to currency tensions among other European currencies have disappeared since 1999.

Assessment: the need to further conduct a flexible monetary policy

The new monetary policy framework allows an effective communication of the views and intentions of the monetary authority. The inflation forecasts published by the bank contribute to the understanding of interest rate setting, and the explanations provided by the SNB are clear and consistent. The publication of basic research that supports policy decisions is also positive. The new framework has also allowed policy to be adjusted more rapidly in the face of new events, as the information contained in the wider set of variables now used to evaluate the monetary stance is much larger than that provided by monetary aggregates alone.

Since the events of 11 September, interest rates have been cut rapidly in several steps by 1½ percentage points to 1.75 per cent leading to an appropriate monetary stance, even though the appreciation of the Swiss franc in September has complicated the conduct of monetary policy. In the absence of inflationary pressures, the Bank should keep this accommodative stance until the recovery is on firmer ground. Projected low inflation suggests that there is room for manoeuvre if downside risks should materialise. However, implementation of monetary policy will need to remain flexible because there are also upside risks. If signs of a stronger than expected recovery intensify, the SNB should tighten monetary policy soon enough to maintain price stability.

Fiscal policy

The sustained period of fiscal consolidation that began in the early 1990s came to an end in 2000, when the general government surplus attained nearly 2½ per cent of GDP – the highest level in more than 30 years (Figure 10). However, in the wake of this favourable outcome, which far exceeded expectations, the fiscal stance eased considerably. All levels of government pursued an expansionary fiscal policy in 2001. At the federal level, the easing partly reflects the government's exceptional outlays in response to the Swissair crisis. In retrospect, both the restrictive fiscal stance in 2000 and the easing in 2001 had a stabilising effect on the economy, but the fiscal easing led to a small deficit, which is not in line with the requirement of balancing the federal budget enshrined in the constitutional "Budget Objective 2001".

Looking forward, changes in the fiscal stance as sharp as the one observed between 2000 and 2001 will become less likely. The ratification by referendum of a constitutional amendment on debt containment by a very large majority, which will

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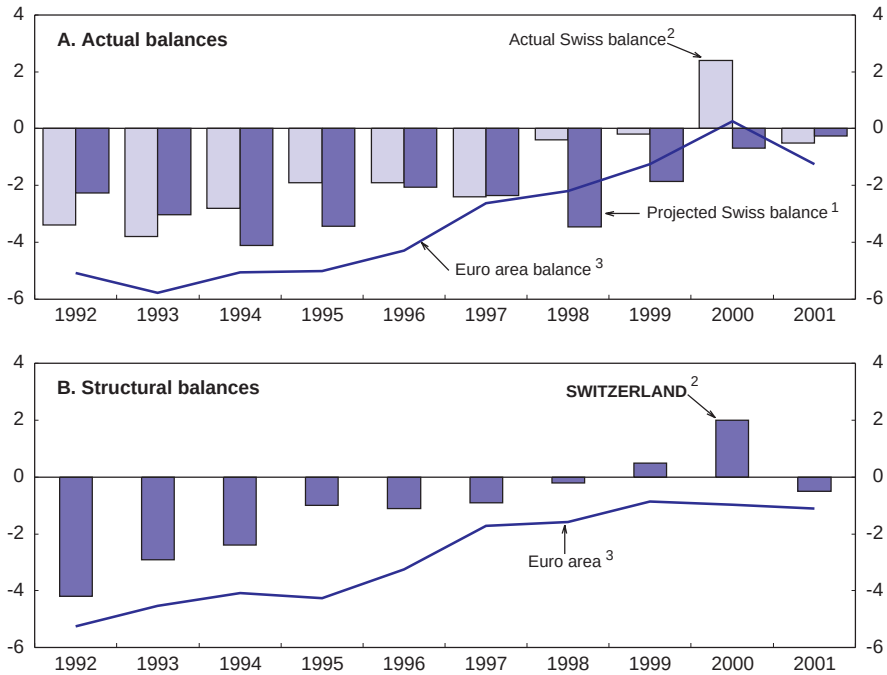
Figure 10. **Fiscal balances of general government**
As a percentage of GDP



1. "*Statistique financière révisée*" basis. 1998 data exclude proceeds from the sale of shares in Swisscom (CHF 2.9 billion).
2. The 2001 figure is preliminary.
3. OECD estimate for 2001.

Source: Administration fédérale des finances and OECD.

be implemented in 2003, will require the Confederation to pursue a neutral fiscal stance, unless exceptional circumstances occur (Chapter II). From this point of view, the 2002 budget marks a transition. The authorities' goal for the year is to cope with an economic situation likely to be less favourable than initially expected. Public spending will be kept on a tight rein, especially at the federal level, despite the further pressures stemming from the Swissair crisis. It will be important to keep the federal structural budget balance close to equilibrium in 2002 if the introduction of the debt containment rule is to proceed smoothly. The fiscal measures currently under discussion should not disturb the implementation of the debt containment rule. The authorities have maintained the objective of carrying out a tax reform in

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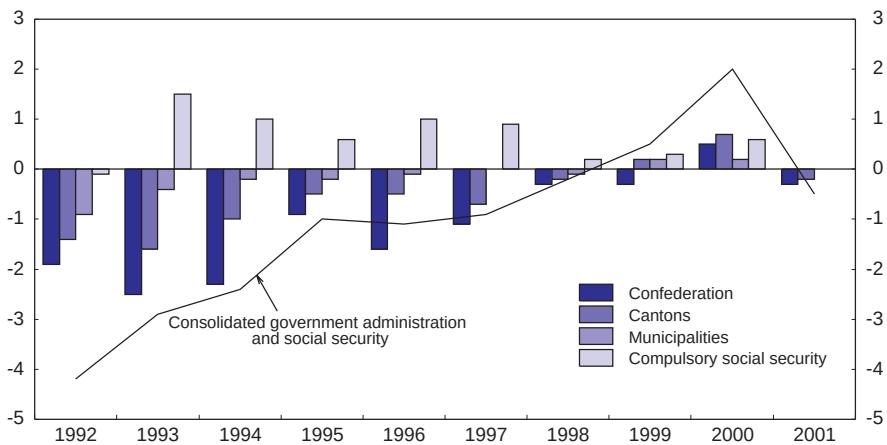
order to pursue equity goals and improve economic performance. However, the scope for tax cuts hinges on the ability to contain spending, as required by the new budgetary framework. Moreover, it will be important to take into account the pressures that will no doubt gradually build up as the population ages.

Fiscal consolidation was structural in nature until 2000…

The fiscal consolidation achieved between 1992 and 2000 was remarkable. The general government balance, as a share of GDP, improved by 5¾ percentage points over the period, and, according to official estimates, the cyclically-adjusted budget balance improved by nearly 6¼ per cent of GDP, two percentage points more than the euro area average (Figure 10). This structural improvement in public finances, which extended to all levels of government, was more pronounced for the Confederation and the cantons, which had also posted the biggest deficits at the beginning of the decade (Figure 11). The consolidation was achieved both through increased tax revenue and tighter control over spending in recent years (Chapter II).

In 2000, the consolidated general government balance showed a surplus of 2.5 per cent of GDP, compared to a projected deficit of 0.3 per cent. This improvement with respect to the initial objective, was very pronounced, as in

Figure 11. **Structural budget balances**[1]
As a percentage of GDP



1. "*Statistique financière révisée*" basis. Data for 2001 are provisional.
Source: Administration fédérale des finances.

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previous years (Figure 10). The reasons for these better-than-expected outcomes lie with higher-than-expected revenues, which in the case of the Confederation were underestimated by more than 13 per cent.[24] This substantial underestimation prompted a debate on whether these gains were exceptional or structural, and whether there was any bias in the method of estimating federal revenue. These questions, which were analysed by the authorities, were also the subject of a study commissioned by an independent body.[25] The conclusions of this analysis reveal that the errors in forecasting federal government revenue in 2000 stemmed primarily from factors that were unforeseeable and temporary, such as better-than-expected activity and the stock market boom. Even so, some changes will be made to reduce errors in projecting certain taxes, for instance those based on corporate profits and dividend distributions.[26] Overall, virtually the entire rise of the federal structural balance in 2000, as measured by the authorities excluding its cyclical component, is due to transitory revenue gains, which amounted to around ¾ per cent of GDP.

... but fiscal policy eased in 2001

The general government balance moved into an estimated deficit of ½ per cent of GDP in 2001, after the record surplus in 2000 (Table 7). This sharp turnaround reflects an easing of fiscal policy, with the structural balance declining by 2¾ per cent of GDP. The 2001 outcomes for the cantons, municipalities and compulsory social security are close to the amounts budgeted. For these levels of government, the easing of fiscal policy therefore reflects a loosening of discipline after several years of restrictive policies. In 2001, many cantons cut direct taxes, and direct taxation is still affected by the limited tax harmonisation reform approved in the 1993 Law.[27] Moreover, rising social transfers and health benefits, along with higher personnel costs (especially in education) also contributed to the fiscal easing.

In contrast, the shift in federal fiscal policy is largely involuntary. For the first time in three years, the Confederation did not meet its balanced budget target, laid down in the "Budget Objective 2001". The deviation of the deficit from its target amounted to CHF 120 million and the federal deficit reached ½ per cent of GDP.[28] Higher-than-expected spending and the unexpected sluggishness of revenue, in particular for the withholding tax, are the main causes for this slippage. On the expenditure side, supplementary appropriations of ½ per cent of GDP above the initial budget were voted by Parliament. The largest item involved expenditure related to the Swissair crisis, more than half of which (CHF 1.2 billion) was charged to the 2001 fiscal year.[29] The estimated 1 per cent decline in the Confederation's structural balance in 2001 shows the loosening in federal fiscal policy. This decrease, however, incorporates in addition to the funding of Swissair (¼ per cent of GDP) the reversal of the unexpected revenue gains in 2000 (¾ per cent of GDP), both of which are temporary.[30]

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Table 7. **Government accounts**

	CHF million 1998	Percentage changes[1]				
		Outcomes			Budgets	
		1999	2000	2001[2]	2001	2002
Confederation[3]						
Expenditure	46 962	–1.5	4.2	5.3	2.5	5.0
Revenue[4]	47 073	–8.7	20.9	–6.1	7.2	4.1
Revenue (two-year average)[5]		5.2	5.1	6.6	7.4	5.7
Balance (CHF million)	111	–3 257	3 786	–1 953	–920	–1 394
Cantons						
Expenditure	57 170	1.1	4.1	1.7	1.7	5.2
Revenue	56 158	4.2	7.3	–3.5	2.9	5.3
Revenue (two-year average)[5]		4.3	5.8	1.8	3.8	4.1
Balance (CHF million)	–1 012	742	2 667	–500	–600	–600
Municipalities						
Expenditure	39 327	1.0	3.2	2.4	2.4	1.9
Revenue	38 770	4.6	3.0	1.1	4.2	0.5
Revenue (two-year average)[5]		3.4	3.8	2.0	3.4	2.3
Balance (CHF million)	–557	830	750	200	200	–400
Total, government administration[6]						
Expenditure	120 282	–0.7	3.7	3.5	2.1	4.5
Revenue	118 823	–0.9	11.3	–3.9	5.1	3.7
Revenue (two-year average)[5]		4.4	5.0	3.4	5.8	4.4
Balance (CHF million)	–1 459	–1 685	7 203	–2 253	–1 320	–2 394
Per cent of GDP	–0.4	–0.4	1.8	–0.5	–0.3	–0.6
Social security						
Expenditure	41 949	7.2	–1.3	5.9	4.6	2.6
Revenue	41 806	9.6	2.8	0.4	0.6	5.1
Revenue (two-year average)[5]		4.6	6.1	1.6	2.6	2.8
Balance (CHF million)	–143	838	2 717	266	266	1 442
Consolidated account of government administration and social security						
Expenditure	149 058	0.7	1.9	4.1	2.6	4.2
Revenue	147 456	1.2	9 1	–3.5	3.8	4.3
Revenue (two-year average)[5]		4.2	5.1	2.6	4.3	4.1
Balance (CHF million)	–1 602	–847	9 920	–1 987	–1 054	–952
Per cent of GDP	–0.4	–0.2	2.5	–0.5	–0.3	–0.2
Debt (% of GDP)						
Federal government	27.7	25.3	26.0		25.3	
Cantons	16.6	16.2	15.9		15.6	
Municipalities	10.2	9.9	9.4		9.1	
General government	54.5	51.4	51.3		50.0	

1. Unless otherwise indicated.
2. Official estimates.
3. "*Statistique financière révisée*" basis. The confederation accounts are therefore comparable with those of the cantons and municipalities.
4. 1998 data include proceeds from the sale of shares in Swisscom (CHF 2.9 billion).
5. Average annual percentage change from two years earlier.
6. Not including social security.

Source: Administration fédérale des finances.

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The aims of fiscal policy in 2002…

The consolidated general government budget for 2002 provides for a reduction of the deficit to ¼ per cent of GDP, or ¼ percentage point less than in 2001 (Table 7). Based on an output projection of 1¾ per cent, close to the growth of potential, the expected improvement in public finances is essentially structural. Roughly half of the deficit reduction should derive from the federal budget. Based on the financial accounts, which constitute the reference for parliamentary discussions,[31] the Confederation aims to reduce its deficit to CHF 294 million, after the budget shortfall of some CHF 1.1 billion in 2001. This objective, which is consistent with the provisions of the "Budget Objective 2001",[32] takes into account a further CHF 900 million in payments for Swissair. Apart from these exceptional air transport subsidies, outlays for training, health, justice and the police constitute the main priorities of this budget. The revenue growth projection, which exceeds expected GDP growth, will include one-off unemployment insurance reimbursements of CHF 1.2 billion.

The growth assumption underlying the budget appears optimistic, however, given the further slowdown in activity after the events of autumn 2001. Hence, some revenue shortfall can not be ruled out, even though the tight control of government spending could still bring the structural federal balance back towards equilibrium; this would be important to ensure a smooth introduction of the debt containment rule in 2003. It is estimated that a 1 per cent shortfall in GDP growth reduces federal revenue by some CHF 0.5 billion or 0.1 per cent of GDP. A weaker-than-expected rise in activity would also trigger slippages at other levels of government. The social security accounts, for which official budget projections seem highly optimistic,[33] are heavily dependent on labour market developments. In the case of the cantons and municipalities, the effect of the cyclical slowdown could also be heightened by a further easing of fiscal policy. A December 2001 ruling by the Federal Insurance Tribunal, which is not yet reflected in the official projections, should *inter alia* progressively raise health spending by nearly CHF 0.5 billion in 2004. For 2002 these new outlays reach CHF 550 million (250 million for 2001 and 300 million for 2002) This measure can probably not be offset by an equivalent reduction in other expenditure. In all, budgetary policy could be neutral for government as a whole, with the federal government's slightly restrictive stance offset by a further erosion of discipline in the cantons and municipalities.

… and in the medium term

The medium-term federal projections show deficits in 2003 and 2004 (Table 8), in contrast to the scenario envisaged in the previous plan. The fiscal improvement in recent years and the positive outlook of the previous financial plan have in fact triggered new demands for spending and for tax cuts. On the

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Table 8. **The financial plan of the Confederation**
2003-05

	Budget[1] 2002	Financial plan		
		2003	2004	2005
Expenditure (a) (CHF million)	51 249	52 487	55 539	57 378
Percentage change from previous year	4.8	2.4	5.8	3.3
Expenditure ceiling[2] (b)(CHF million)		51 557	54 963	58 062
Difference (b) – (a) (CHF million)		–930	–576	684
Revenues (c) (CHF million)	50 955	51 855	55 176	58 191
Percentage change from previous year	4.2	1.8	6.4	5.5
Balance (c) – (a) (CHF million)	–294	–632	–363	813
Economic assumptions:				
GDP growth rate				
Nominal (per cent)	3.6	3.3	3.3	3.3
Real (per cent)	1.8	1.5	1.5	1.5
Interest rates				
Short-term (per cent)	3.0	3.0	3.0	3.0
Long-term (per cent)	4.0	4.0	4.0	4.0

1. These data are based on the financial account of the Confederation. They do not include the special federal funds which are included in the revised financial statistics.
2. As calculated on the basis of the new debt containment rule.
Source: Administration fédérale des finances.

basis of the economic growth assumptions in the new plan (1½ per cent per year), the spending ceiling required by the debt containment rule would not be met in either 2003 and 2004.[34] According to official estimates, a spending cut of more than CHF 1.3 billion would be needed in 2003 to comply with the rule. Such an adjustment would be substantial, given the limited flexibility of the federal budget.[35] The 2003-05 financial plan is, however, based on technical assumptions that reflect the current budgetary debate.[36] In particular, it incorporates a National Council decision to abolish the federal share of VAT revenue resulting from the one percentage point VAT rate hike in 1999, designed to finance the basic old age insurance system.[37] If this decision of the National Council were abandoned, then a smaller expenditure cut of CHF 900 million would be needed in 2003 and beyond to comply with the debt containment requirements.

Beyond 2003, it will be important that tax reform proposals are accompanied by sufficient controls on spending to avoid the emergence of further deficits. The 2003-05 plan incorporates tax cuts totalling CHF 1.7 billion (of which CHF 1.3 billion for the Confederation alone), some of which have already been adopted (such as the 2001 decision regarding stamp duty on securities transactions), while others (such as a reduction in direct tax on households beginning in 2004) are still under discussion. However, demands for tax cuts have increased

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recently, as shown by the National Council's autumn 2001 decision to cut the corporate tax rate by ½ point, at a cost of CHF 700 million.[38] While some tax measures enhance the competitiveness of the economy, they should be covered by corresponding spending cuts before being adopted. In addition, in view of the pressures that population ageing is exerting on social transfers, it would be advisable to also tackle the issue of pension financing.

The need for pension reform remains

Discussions on reforming the pension system continued in 2001, but have not yet yielded results. The reform proposed by the Federal Council (the government) has two objectives (OECD, 2000*a*): to balance the budget of the first pillar of old age insurance until 2010; to increase retirement age for women from 64 to 65 and introduce a system of flexible retirement. The National Council has agreed with these objectives, although there is disagreement on details. Given the economic upswing in 2000 and new, slightly less unfavourable demographic projections, consolidating the system is now seen as less pressing. In the initial proposal, the impact of expenditure savings and of the new rules in the system of contributions to balance the budget were estimated to be CHF 1.2 billion, but this has been reduced to about CHF 0.5 billion in the meantime, whereas the staggered 1.5 percentage point increase in VAT rates, for 2003 and 2006, has been deferred until 2008 and 2012 (due partly to the decision of the National Council to abolish the federal share of the VAT, see above). Likewise, initial discussions on reform of the second pillar of occupational provident funds have resulted in amendments that will increase the scheme's outlays relative to the initial proposal.[39] Disability insurance is also under revision. The 4th revision proposed to increase the VAT rate by 1 percentage point on 1st January 2004 to balance the budget. Even though Switzerland is in a relatively better position than other countries to meet the shock of population ageing, reforms are necessary. It is important to remain prudent in this domain despite the uncertainties surrounding the long-term trends. The measures currently envisaged by the Parliament may not suffice in the long term, even though the old age insurance account appears temporarily healthier.[40] These reform projects have still to be discussed in the Council of States (the second chamber of the Parliament).

Outlook

The OECD projections shown in Table 9 are based on the technical assumption of an unchanged exchange rate of CHF 1.47 per euro, and of CHF 1.67 per dollar, a level close to that prevailing at the beginning of 2002.[41] They take account of the loosening of monetary policy since last autumn but incorporate no further change in the SNB's lending rate until the end of 2002, when a slight

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Table 9. **Short-term projections**
Percentage change, s.a.a.r., 1990 prices

	1999		2000	2001	2002	2003
	Curr. prices CHF billion	% GDP				
Demand and output						
Private consumption	234.8	60.4	2.0	2.3	1.6	2.2
Government consumption	56.8	14.6	–0.4	0.1	0.0	0.0
Gross fixed investment	78.8	20.3	5.8	–1.3	–0.9	3.8
Construction	36.6	9.4	2.1	1.3	1.3	3.2
Machinery and equipment	42.2	10.9	9.0	–3.4	–2.8	4.4
Final domestic demand	370.4	95.3	2.7	1.0	0.7	2.3
Stockbuilding[1]	–2.4	–0.6	–0.2	–0.2	0.0	0.0
Total domestic demand	**368.0**	**95.2**	**2.4**	**0.9**	**0.7**	**2.3**
Exports of goods and services	157.7	40.8	10.0	1.0	0.5	5.1
Imports of goods and services	137.1	35.5	8.5	0.0	–0.3	5.3
Foreign balance[1]	20.6	5.3	0.6	0.5	0.4	0.0
GDP at constant prices			**3.0**	**1.3**	**1.0**	**2.3**
GDP price deflator			1.1	1.8	1.4	1.2
GDP at current prices	388.6	100.0	4.1	3.1	2.5	3.5
Memorandum items						
Consumer price index			**1.6**	**1.0**	**0.6**	**0.7**
Unemployment rate			**2.0**	**1.9**	**2.5**	**2.2**
Current account (% of GDP)			12.9	9.9	10.3	10.6
Potential output, whole economy			2.1	1.6	1.5	1.5
Output gap, whole economy			–0.6	–0.9	–1.3	–0.6

1. Contribution to GDP growth.
Source: OECD *Economic Outlook*, No. 71, June 2002.

tightening is projected broadly in line with moves by the European Central Bank. Furthermore, fiscal policy is assumed to be broadly neutral in 2002 and 2003 for the general government.

Against this background, the weak activity recorded during the last two quarters of 2001 could continue during the next few months, with growth averaging about 1 per cent in 2002. This is in line with the leading indicators of the Federal Polytechnic School of Zurich (KOF) barometer and the Purchasing Managers' Index (PMI), which tend to anticipate changes in GDP by about 6 months (Figure 12).[42] Investment and exports will probably remain sluggish until the middle of the year owing to the weak growth of foreign markets and the appreciation of the exchange rate, while private consumption should slow due to bleaker job prospects, which

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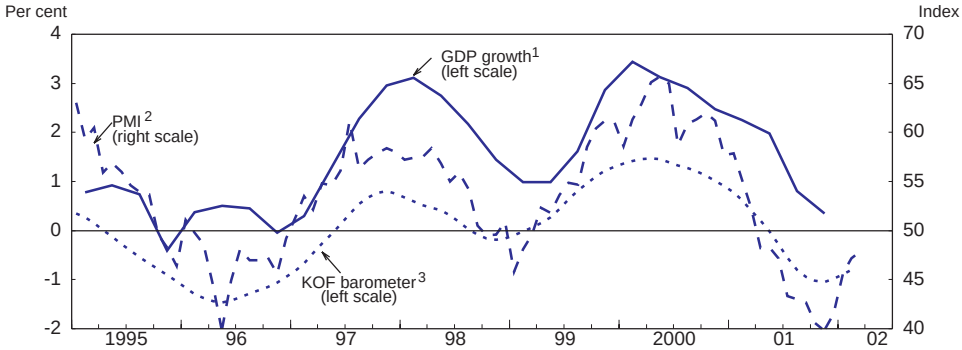
Figure 12. **Leading indicators**



1. Real terms. Year-on-year percentage changes.
2. The Purchasing Managers' Index (PMI) is an index based on the response of 200 purchasing managers at Swiss industrial companies about their performance in the current month compared with the prior month. An index below 50 indicates that the production is falling.
3. The KOF barometer is a leading indicator of future GDP growth, with an average lead of 6 to 9 months.

Source: Swiss Institute for Business Cycle Research/Swiss Federal Institute of Technology of Zurich (KOF) and OECD, *Quarterly National Accounts.*

will be only partly offset by a robust increase in real wages. From mid-year, however, the improved external environment should revive activity, and growth could exceed 2 per cent in 2003. Despite this pick-up in activity, the output gap will remain negative, at around –1 per cent in 2002 and 2003, which together with lower import prices, could reduce inflation to ½ per cent over the projection period, while unemployment will probably rise to 2½ per cent in 2002. The labour market situation could improve somewhat in 2003.

These projections, which are somewhat below those of the consensus and the revised official projections of end-2001, are, however, subject to considerable uncertainties. The main risk concerns the external environment and the strength of the recovery in the United States and Europe. Economic growth in both areas could revive less rapidly than projected in the OECD scenario, which would sharply curb activity in Switzerland. Also, private consumption could weaken more than projected in the event of a larger-than-anticipated deterioration in the labour market, which would probably push up the household saving ratio. As the simulations in Box 1 show – though they do not take into account a monetary policy response – activity and inflation would be much lower in 2002 and 2003, if these risks materialised resulting in virtual stagnation of output this year and of the price level next year.

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Box 1. Evaluation of the risks affecting the projections

To evaluate the main risks affecting the macroeconomic projections for Switzerland for 2002 and 2003, a series of simulations was run with the OECD's Interlink model. They concern both changes in the international environment and domestic demand, and the possible effects of an adjustment of monetary policy to counteract risks.

The first simulation aims at quantifying the sensitivity of the Swiss economy to the external environment. To do so, it examined the consequences of a euro area GDP growth of ½ percentage point less in 2002 and 1 percentage point less in 2003 than projected in the central scenario.[1] In this scenario, activity in Switzerland would fall by ¼ percentage point this year and by ¾ percentage point next year below the reference scenario, to about ½ and 1½ per cent respectively in 2002 and 2003. Inflation would be hardly affected in 2002, but be close to zero in 2003 (Figure 13). All told, Switzerland would experience a slowdown nearly as large as that in the euro area, reflecting the large size of its trade with that region. An alternative simulation with the same assumption about a less vigorous revival of activity was carried out, but this time in the United States. Given the linearity of the Interlink OECD model, this simulation can also be used (by reverting the sign of the shock) to assess the consequence of a stronger recovery of the US economy. This simulation indicates that in case of a weaker (or stronger) US recovery, output growth in Switzerland would decline (or increase) by 0.2 percentage point in 2002 and by 0.6 percentage point in 2003, while inflation would fall (or pick up) by ¼ percentage point in 2003.

A second source of uncertainty is the development of private consumption, which could weaken more than projected in the event of a larger deterioration in the labour market than anticipated. The scenario adopted thus makes the assumption of *ex ante* employment growth of ½ percentage point lower in 2002 than in the reference scenario, implying no job creation and a rise in the saving ratio of about 1 percentage point to 10 per cent in 2002 and 2003 compared with a stable rate of 9 per cent in the central scenario. A similar increase had been recorded in the early 1990s after the Gulf War. In this scenario, in the absence of a monetary policy response,[2] output growth would fall to less than ½ per cent in 2002 and then revive to 2½ per cent the following year due to the rise in the real foreign trade balance. Inflation could be ½ percentage point lower than in the reference scenario in 2003, implying zero inflation (Figure 13).

The last simulation assesses the effect of a ½ percentage point cut in interest rates from early 2002. The impact of such a monetary loosening depends on the exchange rate response, which is uncertain. In the simulation, it was assumed that the Swiss franc would lose 2 per cent of its value by 2003 against other currencies as a result of the interest rate cut and the induced rise in inflation compared with other countries. On this assumption, lower interest rates would lift growth in 2002 and 2003 by 0.4 percentage point above the reference scenario projections of

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Box 1. **Evaluation of the risks affecting the projections** (*cont.*)

1½ and 2½ per cent respectively, while inflation would increase by 0.6 percentage point to 1¼ per cent in 2003 due to higher import prices (Figure 13).[3]

1. In this simulation as in the following one, the effect of the monetary policy response and of financial markets is not taken into account. Interest rates and exchange rates are assumed to be unchanged relative to the reference scenario in Switzerland and in the other countries.
2. In this simulation, the nominal exchange rate and interest rates are assumed to be unchanged relative to the reference scenario.
3. In the case of a stronger exchange rate response (more than 3½ per cent in 2003) to this interest rate cut, the growth of activity would average 0.6 per cent in 2002 and 2003 compared with the reference scenario, while inflation would be 1¾ per cent in 2003.

On the other hand, the OECD projections may also be somewhat pessimistic. Based on the assumption of a fixed exchange rate, they do not allow for a possible fall of the Swiss franc to its level during the first half of 2001, thereby reversing the safe haven effect. The Swiss franc was however still strong in early 2002 notwithstanding the easing of the international crisis and after the successful introduction of the cash euro.[43] Moreover, a more robust-than-expected US recovery can also not be excluded. If the risks outlined above materialise, a further adjustment of monetary policy would be warranted. As the simulation in Box 1 illustrates, a cut (or rise) of ½ percentage point in interest rates from early 2002 would increase (or reduce) output growth by 0.4 percentage point in 2002 and 2003 and raise (or lower) inflation by 0.6 percentage point in 2003.

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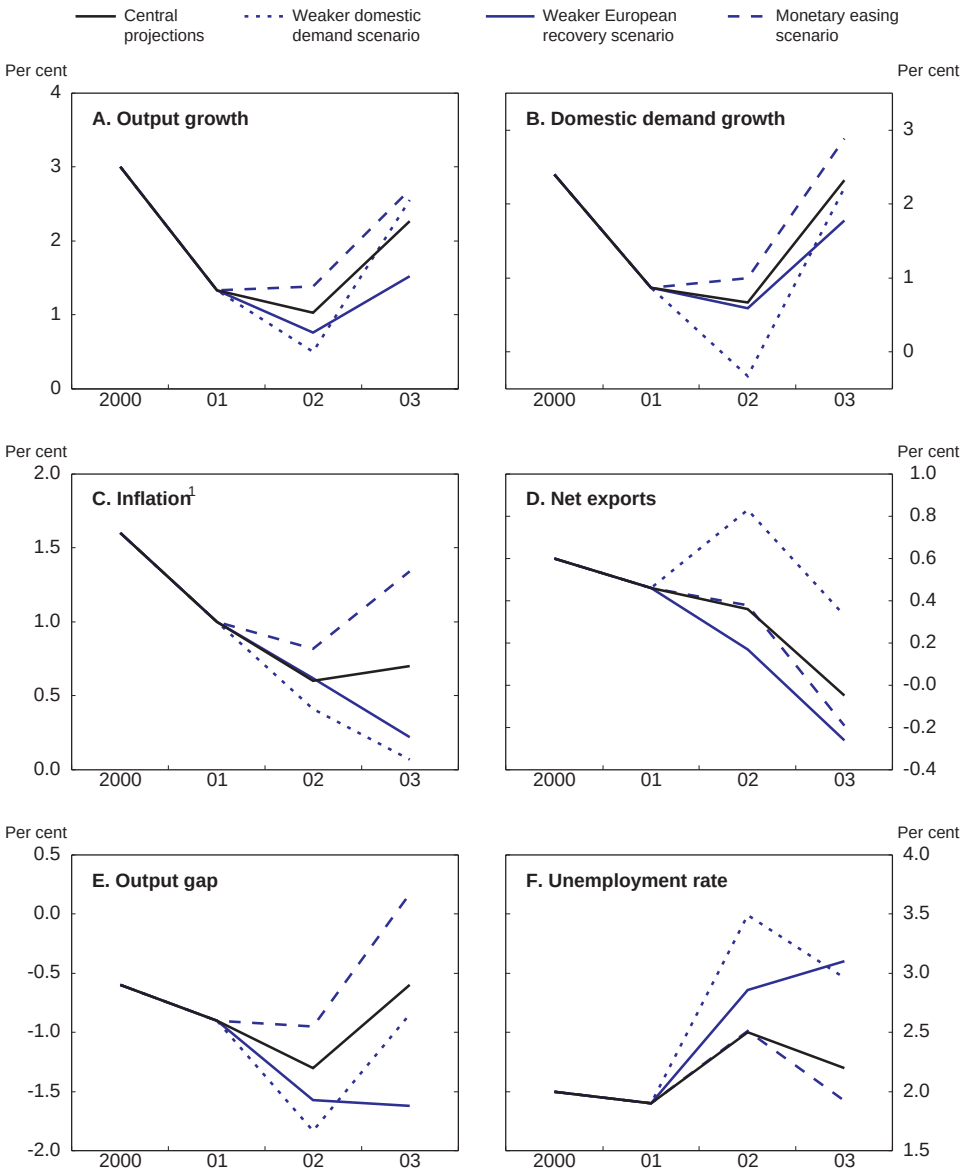
Figure 13. **Risks and uncertainties around the projections**



1. Change of the private consumption deflator over the previous year.
Source: OECD.

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II. Enhancing the effectiveness of public spending

Switzerland is a highly decentralised country with large spending and revenue-raising powers devolved to cantons and municipalities. The federal system, in combination with an extensive use of direct democracy, has contributed to keep public spending at a relatively low level in international comparison. It has also made it possible to tailor the provision of public services to citizens' needs and willingness to pay, and to experiment with a variety of policies. At the same time, several tensions have emerged. F*irst*, it has been difficult to ensure a sustainable fiscal policy during the low-growth period of the 1990s, while allowing a role for the automatic stabilisers. S*econd*, the financing of several public spending programmes, in particular those funded by intergovernmental transfers, has largely relied on mechanisms that provide little incentive to contain costs and demand. This has been reflected in a high cost and/or excess demand for some public services. T*hird*, despite an important role of the private sector in some key social policy domains, competitive pressures on public service providers have been rather low, further contributing to poor cost-restraint. F*ourth*, the provision and financing of public goods at the local level has sometimes made it difficult to take into account spillover effects or to reap scale economies, leading to low cost-effectiveness. Moreover, a sub-optimal provision of key public services can raise equity concerns.

After outlining the forces shaping public spending, this chapter presents the policy issues relating to the tensions identified above. It also reviews recent policy initiatives to improve public spending effectiveness. These include: the debt containment rule, new public management methods, and a wide-ranging draft law to reform spending assignments and funding principles across government levels. The last section outlines pending issues and proposes options for further enhancing public spending effectiveness.

Main forces shaping public spending

Several factors have contributed to keeping public spending low

Being close to the citizen has contained spending

The Swiss institutional system combines direct democracy elements with a high degree of fiscal federalism. Both contribute to restrain spending.

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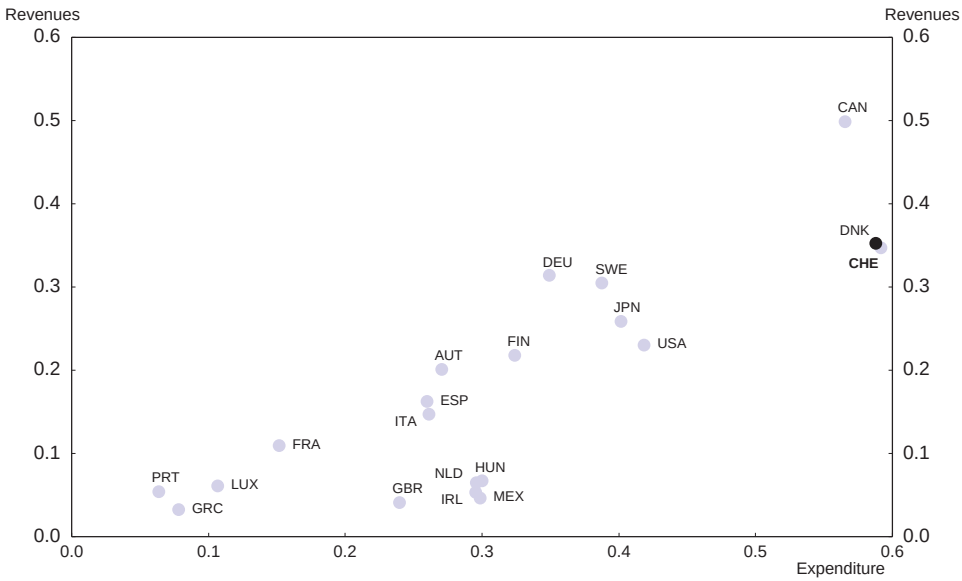
Spending by sub-national governments (municipalities and cantons) accounts for a much larger share of total public spending than in most other OECD countries (Figure 14). In most areas sub-national governments are responsible for setting the level and quality of local public services, though in some cases the federal government sets standards (*e.g.* for the environment). Local governments also have significant revenue raising powers, which enable them to fund additional local spending. However, a large share of expenditure controlled locally is financed through intergovernmental transfers, contributing to "fiscal illusion" – whereby residents in a jurisdiction do not bear the full costs of their spending decisions since it is partly financed by other jurisdictions. Nevertheless, the decentralised system setting introduces competitive pressures among local

Figure 14. **Revenues and expenditure by regional and local governments**

Share in general government revenues and expenditure,[1] 1999[2]



1. Revenues include direct and indirect taxes as well as non-tax revenues received by regional and local governments and are expressed as a share of revenues received by the general government. Expenditure correspond to total expenditure by regional and local governments expressed as a share of general government expenditure. Transfers between governments are netted out. The country ranking in this figure does not necessarily correspond to the comparative fiscal autonomy of sub-national governments.
2. For Finland, Luxembourg and United Kingdom: 2000. For Portugal and Mexico: 1998. For Canada, France and the United States: 1997. For Ireland: 1996. For Greece: 1995.

Source: OECD, *National Accounts;* Administration fédérale des finances of Switzerland; Hungarian Ministry of Finance.

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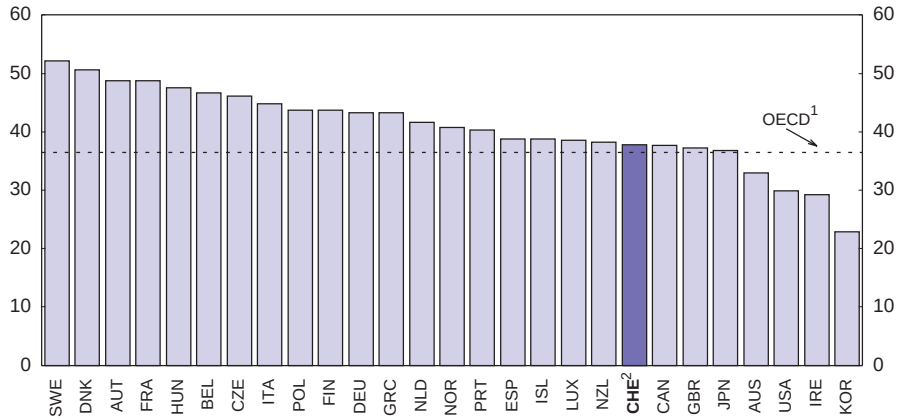
governments. By allowing each jurisdiction to provide its own combination of taxation and public goods, it enlarges the citizens' choice. Citizens can thus "vote with their feet" (Tiebout model). This puts pressure on local governments to improve public services and/or to cut the tax burden, though several factors (such as transaction costs, including linguistic barriers) may limit the mobility of voters across jurisdictions.

Direct democracy offers citizens another channel to influence public finances. Switzerland provides a good example of an extensive and functioning direct democracy, with taxation, spending and public management proposals regularly submitted to voters' scrutiny. Voting options vary across both cantons and municipalities. The strongest electoral control probably lies in the requirement that a new spending project must be approved by a mandatory referendum, which is in place in 17 of the 26 cantons. Feld and Matsusaka (2001), for instance, estimate that cantons with mandatory referenda indeed spend significantly less than others. However, optional referenda and voters' initiatives (the latter being embodied in the constitution of the Confederation and of all cantons) also provide powerful instruments to control and sanction local governments.[44] By reinforcing popular control of the fiscal process, direct democracy reduces the ability of local administrations and political parties to follow their own interests (as

Figure 15. **Public expenditure in OECD countries**

As a percentage of GDP, 2000



1. Weighted average.
2. "*Statistique financière révisée*" basis, including social security.

Source: Administration fédérale des finances and OECD, *National Accounts.*

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emphasised in public choice theory). In fact, a study by Kirchgässner and Pommerehne (1996) reveals that a demand-based model of public expenditure performs much better for Switzerland than for Germany, a country with a similar federal and economic structure, except that it is a representative democracy.[45] On the other hand, extensive reliance on direct democracy may slow down the reform process (Saurer and Kungler, 2001).

A large "mandatory contribution" by the private sector to social spending

A large part of the social insurance system is managed by private insurance companies, thus keeping public spending low in international comparison (Figure 15). However, contributions to these insurance companies are largely mandatory.[46] In particular, private mandatory insurance covered almost 40 per cent of health care costs in 1999. Likewise, the compulsory privately-funded pension system (second pillar) reduces public spending on pensions. Overall, social spending financed through private mandatory insurance companies amounted to CHF 44 billion in 1999 (11.6 per cent of GDP) which, in accordance with the OECD definition, is not included in the general government accounts.[47]

Upward pressures have intensified since the early 1990s…

Despite all the safeguards in place that worked well in the past, spending growth was rapid during the 1990s, reflecting sharp increases in social insurance and social transfers. Switzerland's fiscal position worsened sharply. This resulted in a hike in the debt-to-GDP ratio by nearly 20 percentage points, two thirds of which was due to the rise in the Confederation's debt (Figure 16). At the same time, the tax-to-GDP ratio increased more rapidly than in the rest of the OECD, despite the authorities' aim of maintaining the competitiveness of the Swiss economy.

Following the long recession of the 1990s, increasing demands were placed on the welfare system. Social expenditure rose by 4¼ percentage points of GDP from 1990 to 1999, representing almost 80 per cent of the rise in consolidated government expenditure (Table 10). Unemployment expenditure, which had accounted for only a minor share of government expenditure prior to the 1990s, rose steeply for cyclical but also structural reasons, especially due to the more generous unemployment compensation system.[48] Invalidity, social assistance and health benefits also increased sharply while the share of public pension expenditure in GDP continued to grow.[49] Since the Confederation, and to a lesser extent the cantons, finance a significant part of these schemes, the rise in spending was less pronounced for the municipalities (Figure 17).[50] Discretionary policies to boost demand implemented by the federal government at the beginning of the 1990s and again in 1996-97 also widened deficits and increased interest payments.

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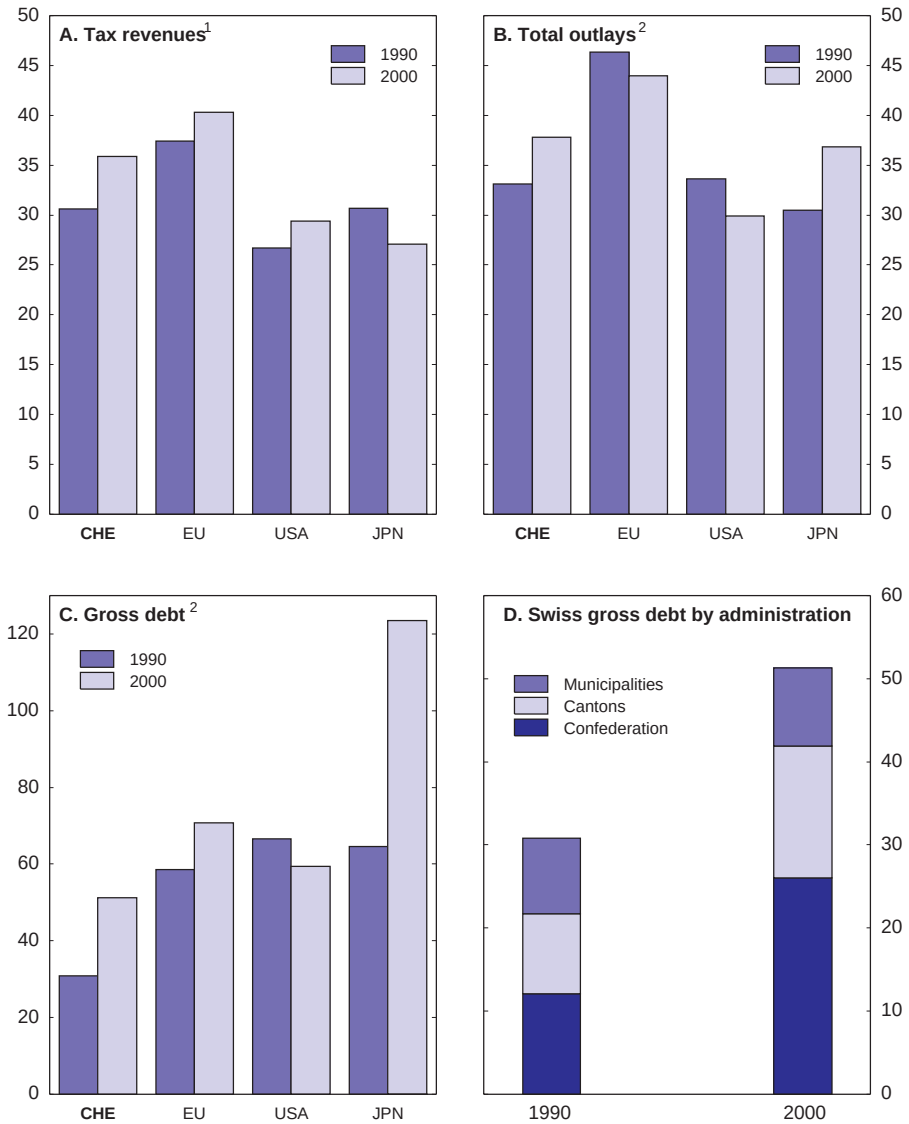
Figure 16. **The public finances in international perspective**
As a percentage of GDP, 1990-2000



1. Based on OECD tax revenue statistics. Provisional data for 2000.
2. "*Statistique financière révisée*" basis for Switzerland and national accounts basis for the others.
Source: Administration fédérale des finances; OECD, *Revenue Statistics, 1965-2000* and OECD.

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Table 10. **Changes in public expenditure over the 1990s**
In per cent of GDP

	Level 1999	Change over period			
		1990-93	1993-97	1997-99	1990-99
Total public expenditure[1]	38.6	5.6	0.7	–0.9	5.5
Social expenditure	17.7	3.8	1.3	–0.8	4.3
Health	4.5	0.6	0.1	0.0	0.7
Old age and survivors	6.4	0.8	0.3	–0.2	1.0
Invalidity	2.1	0.4	0.3	0.1	0.8
Social assistance	1.4	0.4	0.3	0.1	0.7
Unemployment	1.2	1.5	0.5	–0.9	1.1
Other	2.1	0.1	–0.2	0.0	–0.1
Other expenditure	20.9	1.8	–0.6	–0.1	1.2
Education	5.6	0.6	–0.1	–0.1	0.4
Primary and secondary schools	3.4	0.4	0.0	–0.1	0.3
Universities	1.0	0.1	0.0	0.0	0.0
Transport	3.1	0.2	0.1	–0.1	0.2
Administration	2.0	0.1	–0.1	0.0	0.1
Justice, police	1.7	0.2	–0.2	0.1	0.1
National defence	1.4	–0.3	–0.2	–0.2	–0.7
Environment	1.2	0.1	–0.1	0.0	0.1
Public economy	1.7	0.2	–0.2	0.1	0.1
Agriculture	1.2	0.1	0.1	0.0	0.2
Other	4.1	0.6	0.2	0.2	0.9
Memorandum item					
Investment expenditure[2]	3.7	0.2	–0.6	0.2	–0.2
Current expenditure[2]	34.9	5.4	1.3	–1.1	5.7

1. Consolidated data.
2. The Swiss definition of investment expenditure includes amounts lent by government to the social security system for the unemployment insurance scheme. However, these loans are included here as current expenditure.

Source: "*Statistique financière révisée*" basis, Administration fédérale des finances and data directly provided by the authorities.

... and are likely to gain further momentum

Upward pressures on social transfers are likely to gain further momentum due to population ageing. The expected increase in the elderly dependency ratio from 23.5 to 43.5 per cent by 2035 is broadly similar to that in other countries. According to official estimates, public retirement pension expenditure as a share of GDP could increase by 2¼ percentage points between 2000 and 2025 while total social expenditure, including health spending and expenditure on care for the elderly, could grow by about 4½ percentage points. These pressures should be more moderate than in most other OECD countries, largely reflecting the widespread recourse to privately-funded pension schemes and health insurance companies.[51] Those pressures that Switzerland does face will largely be felt by the central government since it finances nearly 20 per cent of social insurance and assistance expenditure.[52]

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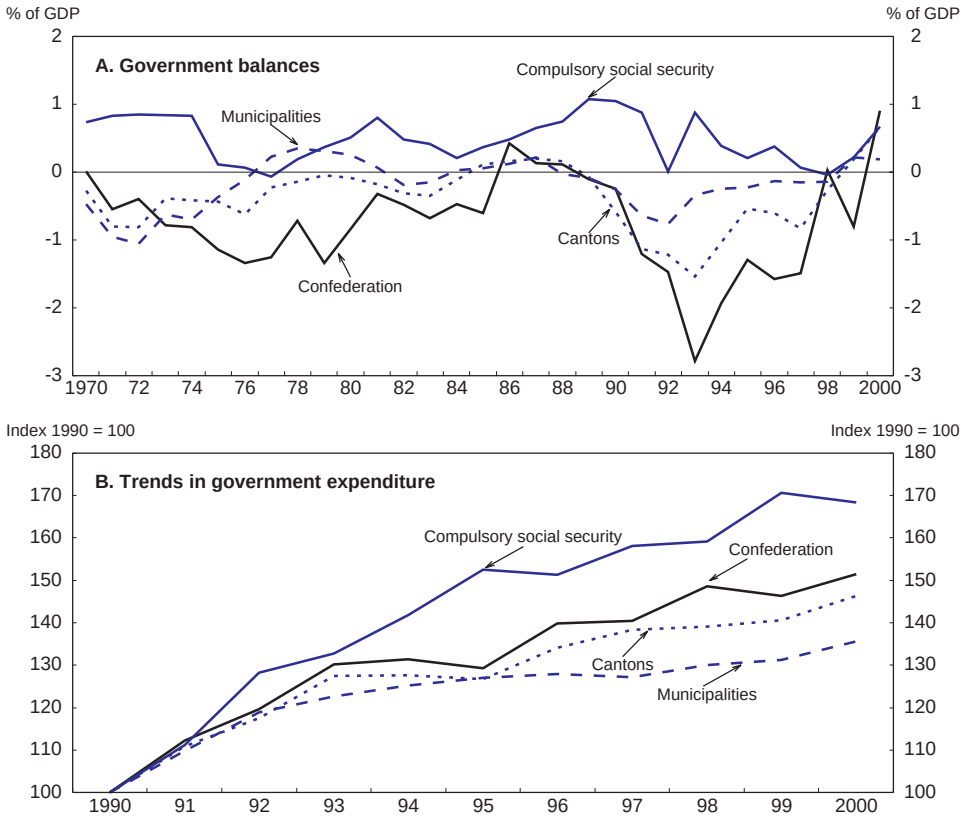
Figure 17. **Expenditure and budget balances by level of government**



Source: "*Statistique financière révisée*", Administration fédérale des finances.

Assessing public expenditure policies

Maintaining fiscal discipline has become a key objective since the mid-1990s

Spending has been better controlled in recent years…

In response to the worsening fiscal position in the early 1990s, the authorities focused on fiscal consolidation. This resulted in a balanced budget in 2000. From 1993, all levels of government implemented a restrictive fiscal policy, which placed an emphasis on cutting or delaying investment relative to current expendi-

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ture, especially in the cantons and municipalities. However, only since 1998 has the overall public spending to GDP ratio edged down, thanks – in part – to cyclical developments. Another important factor that reinforced spending control from 1998 was the constitutional mandate (*Budget Objective* 2001) to balance the Confederation's budget. This mandate, which set a timetable for balancing the budget, led to the adoption and implementation of the 1998 stabilisation plan, the main aim of which was to control expenditure (Kungler and Saurer, 2000).[53]

... and has hardly played a role in macroeconomic stabilisation

The efforts to control expenditure since 1993 had a pro-cyclical impact on activity, which probably delayed the recovery. This destabilising trend of fiscal policy, which was more marked than in other OECD countries (Table 11), stems

Table 11. **Correlation between the fiscal stance and the output gap**[1]

	1970-79	1980-90	1991-00
Austria	0.57	0.12	–0.05
Belgium	0.12	–0.40	–0.63*
Canada	0.85*	0.58*	0.02
Denmark	0.43	0.70*	0.10
Finland	..	0.13	0.62
France	0.20	–0.26	–0.51
Germany	0.55	–0.57*	–0.05
Greece	0.16	–0.32	0.05
Italy	0.30	–0.09	–0.09
Japan	0.28	–0.59*	0.48
Netherlands	–0.30	–0.57*	0.07
Portugal	0.19	–0.11	0.24
Spain	..	–0.03	–0.17
Sweden	0.17	0.15	0.03
United States	0.64*	0.62*	0.47
Switzerland	–0.68*	–0.71*	–0.54*
Confederation and social security	–0.52	–0.35	–0.34
Cantons and municipalities	–0.54	–0.65	–0.45
Number of countries applying counter-cyclical discretionary fiscal policy	12	6	9
Number of countries applying pro-cyclical discretionary fiscal policy	2	10	7

1. Counter-cyclical policies lead to a positive correlation between output gaps and the fiscal stance. Pro-cyclical policies lead to a negative correlation between output gaps and the fiscal stance. The fiscal stance measures the yearly change in the cyclically-adjusted balance as a percentage of potential output. It is only indicative for discretionary fiscal policy changes. Cyclically-adjusted balance and output gap measures are based on official estimates in the case of Switzerland, and on OECD estimates for the other countries. The two methods of estimations of the structural balances are similar. See Van den Noord (2000) and Ammann (1995). Starred coefficients are significant at 95 per cent confidence interval.

Source: OECD calculation.

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from three main factors. First, although the Constitution requires all levels of government to take account of the economic cycle when drawing up their budgets, most of the cantons and municipalities apply balanced budget rules which have tended to neutralise the effect of automatic stabilisers (Spahn, 1997).[54] Second, the financing of the unemployment insurance system reduced the role of automatic stabilisers of the Confederation's budget in the 1990s since contribution rates had to be adjusted when the fund exceeded or fell below a certain threshold.[55] In addition, a growing share of the Confederation's expenditure consists of earmarked funds (12 per cent in early 2000).[56] Third, the federal government, whose spending represents only a third of the total budget (10 per cent of GDP), does not have much leeway to implement an effective discretionary stabilisation policy. Its expenditure is dominated by transfers, whose changes have only a limited effect on activity in the short term compared with public investment or consumption.[57] Moreover, there is little co-ordination of fiscal policy between the various levels of government.[58] Plans to boost investment have been adopted in the past by the federal government, for instance, the introduction of subsidies to cantons in 1997 to promote infrastructure maintenance projects. This policy might encourage strategic behaviour by the cantons, since they have an incentive during an economic slowdown to delay expenditure in the hope of obtaining a higher federal subsidy later.

Reforms aim at a steady and sustainable spending path…

With the Confederation's finances balanced in 2000, the federal authorities' major aim is to prevent debt from increasing again. A new constitutional provision – the "debt containment rule" ("*frein à l'endettement*") – was adopted by the Parliament in June 2001. Ratified by referendum on 2 December 2001, it will be implemented as from 2003. This mechanism will replace the rule laid down in the Budget Objective 2001, which required a federal budget deficit of under ¼ per cent of GDP,[59] and leads to an expansionary stance of spending during upswings and a restrictive stance during downturns.

The debt containment rule will cap public expenditure with a view to maintaining a balanced structural budget (Box 2).[60] It allows deficits during recessions but requires that surpluses be achieved during upswings. It will thus stabilise the federal public debt in nominal terms. The law provides for a correcting mechanism in the event of non-compliance via a system of intertemporal compensation, which should ensure its effectiveness.[61] It also reduces the institutional asymmetry that currently affects federal expenditure and revenue. Whereas changes in revenue must be submitted to referendum, since tax rates are written into the constitution, changes in spending depend only on parliament. The new spending control mechanism will not impinge directly on tax decisions, but tax cuts will have to be matched by similar cuts in spending to maintain the structural

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Box 2. Main features of the debt containment rule

The purpose of the debt containment rule is to maintain a balanced structural budget at the federal level while allowing for cyclical developments. It sets a ceiling for expenditure, which can not surpass cyclically-adjusted revenue. While federal revenues fluctuate with the cycle, the debt containment rule prevents these fluctuations from being transmitted to expenditure. The rule can be summarised by the following formula:

$$\text{Expenditure cap}_{t+1} = E^t(\text{total revenue}_{t+1}) * E^t(\text{trend GDP}_{t+1}/\text{actual GDP}_{t+1}) + A_{t+1}$$

where E^t (total revenue$_{t+1}$) represents the revenue estimate at period t for year t+1, E^t (trend GDP$_{t+1}$/actual GDP$_{t+1}$) is the factor that denotes the estimate at period t for the cyclical position of the economy at t+1 and A_{t+1} is an adjustment factor that takes account of past deviations of budget out-turns from the norm laid down by the rule.

Trend GDP is estimated by smoothing historical and projected GDP data via the Hodrick-Prescott filter. If trend GDP is higher than actual GDP, the cyclical factor will be more than 1 so that expenditure can exceed projected revenues, resulting in a deficit. Conversely, close to a cyclical peak, the cyclical factor will be less than 1, making it necessary to keep expenditure below total revenue, resulting in a budget surplus. Over the entire cycle, the budget will be balanced.

This rule is binding both for the preparation of the budget and its implementation.[1] Thus, the Federal Council is required to present a budget that meets the debt containment rule and parliamentary amendments can derogate from that rule only in exceptional cases.[2] However, even if the budget complies with the rule, it cannot be ruled out that actual expenditure will exceed the cap because of errors in revenue estimates or in assessing the business cycle. For this reason, the law provides for an adjustment mechanism denoted by the term A_{t+1} in the formula. Under this mechanism, discrepancies between actual expenditure and the cap are booked in an equalisation account. In the event of an excessive deficit on this account, *i.e.* exceeding 6 per cent of expenditure (0.6 per cent of GDP), the authorities have to reduce the balance to below 6 per cent within three years. In the event of a surplus, it will be kept in the account to cope with eventual future spending overruns unless Parliament decides to use it to reduce federal debt, as in the case of revenue windfalls, for instance, from asset sales.

1. If the budget voted by Parliament does not comply with the debt containment rule, the initial budget proposed by the Federal Council is adopted unless a qualified majority (an absolute majority in both houses of Parliament) decides otherwise for exceptional reasons (deep recession, natural disaster or other one-off events).
2. Decisions to vote supplementary appropriations, for example at the end of the year, do not derogate from the debt containment rule. The *ex post* evaluation of compliance with the rule and the position of the equalisation account will be conducted during the first quarter after the fiscal year, when the central government accounts are closed.

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budget in balance.[62] This should prevent excessive tax cuts from being unmatched by equivalent spending cuts, while the mandatory control of spending will reduce the risks of tax increases for consolidation purposes.

With this reform, the role of the automatic stabilisers will be enhanced, while the recent direct tax reform will eliminate the destabilising effect of the previous system.[63] Also, as from 2002 federal loans to the unemployment insurance system and their reimbursement will be managed outside the federal budget, so that the debt containment rule will not impede the stabilising effect of the unemployment compensation system.[64] However, the continuing poor co-ordination and lack of harmonisation between the budgetary rules of the various levels of government are liable to reduce the effect of the overall budget stabilisers to those of the Confederation, which would amount to about ¼ per cent of GDP, *i.e.* half the OECD average.[65] On the other hand, though the debt containment rule restricts the use of discretionary fiscal policy by the federal government, this should not jeopardise macroeconomic management. The rule, however, allows for higher spending in the case of severe recessions. It will enable the National Bank to assess the thrust of the federal government's policy more easily. Moreover, in such a small and open economy operating with a flexible exchange rate regime, macroeconomic stabilisation should primarily be ensured by monetary policy, operating against the background of a clearly defined fiscal policy.[66]

The difficulties in implementing the debt containment rule should not be underestimated. The rule for controlling expenditure is fairly complex and will profoundly reshape the budget process, which will have to take into account the *ex ante* setting of an overall package. Spending decisions will henceforth depend on estimates of future revenue and the economy's position in the cycle. The rule implies a unitary elasticity between revenue and output, which has been found to be somewhat on the conservative side by a number of observers, with the associated risk of a slight bias towards a pro-cyclical fiscal stance.[67] In addition, past revenue estimates have sometimes shown large errors, for instance, the 2000 budget (Chapter I). These errors, which will have to be corrected during subsequent budgets, will induce fluctuations in the structural deficit, with a risk of conducting at times a pro-cyclical policy in the event of a major forecasting error (IMF, 2001 and Danninger, 2002). However, this risk appears limited, as the phasing in of corrective actions should prevent sharp changes in the structural deficit.[68] Another, more technical, difficulty concerns the estimate of the economy's cyclical position. Using a Hodrick-Prescott filter to estimate trend output and the output gap has the advantage of transparency and simplicity but it also involves an appreciable risk of bias, especially at the end of the estimation period, which could impair the implementation of fiscal policy. The result of this method could also be inconsistent with the National Bank's estimate, which is based on the economy's potential growth derived from a production function (Stalder, 2001).

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Perhaps more importantly, in a budget as inflexible as that of the Confederation, changes in expenditure as a result of revised revenue estimates are also likely to be difficult to implement on an annual basis. The federal budget is essentially a "transfer" budget and the share of "mandatory" expenditure (from a short-term perspective) was over 80 per cent in 2001.[69] Also, a growing proportion of expenditure is in the form of multi-year appropriations, such as those for agriculture, which restricts short-term flexibility still further. The Confederation's fiscal policy is actually shaped to a large extent outside the budget process, as the decisions of the Federal Council and Parliament often have a direct impact on federal finances.

The Confederation has already implemented medium-term budget planning before the recent reform. Four-year horizon financial plans are prepared every year at the same time and including the same amount of detail as the budget. In the past few years, new laws have also been accompanied by estimates of their medium-term financial consequences. The financial plan thus provides a solid base for the continuity of the budget process by making it possible to identify the underlying spending pressures. However, unlike the budget, the plan does not have to be approved by Parliament, and thus does not give rise to discussion and approval of strategic choices within a coherent and forward-looking framework. In the current framework, the risk remains that certain expenditure categories will be crowded out due to the annual application of the debt containment rule, especially as capital and current spending are subject to the same overall cap (KOF, 2001).

… but the lack of transparency entails some risks to the public finances

While the federal government had increased the amount and quality of publicly-available information, transparency could be significantly improved in several areas to support the soundness of the public finances. F*irst*, aggregate information on general government finances (including social security) remains piecemeal. S*econd*, while several OECD countries and some Swiss local governments have moved to accrual accounting, the federal budget is still based on a modified cash accounting. This can lead to a misleading picture of commitments, since payments can be accelerated or deferred. T*hird*, public enterprises have an important weight in some sectors and perform social objectives without direct budgetary appropriations,[70] and these enterprises' unfunded contingent liabilities have often made it necessary for the government to take over debt. In the 1990s, about one third of the net increase in the Confederation's debt stemmed from the under-provision of the pension funds of public enterprises or autonomous authorities.[71] F*ourth*, financial auditing carried out by the Contrôle fédéral reportedly takes prominence over performance assessment. Most of these reports are submitted only to a limited number of parliamentarians and some are confidential.

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Fifth, little information exists on the fiscal costs of tax relief in terms of foregone revenues.[72] Tax expenditures are not reported on an annual basis and *a fortiori* are not evaluated during the budget process.

More flexible and outcome-oriented public management approaches are being introduced

Maintaining fiscal discipline has long relied on strict enforcement mechanisms to ensure that budgets were implemented along intended lines. However, these mechanisms have been too rigid to promote public spending efficiency and have even created incentives to overspend. Strict rules on the number of public employees implemented from the mid-1970s up to the late 1990s have failed to reverse the rising trend in personnel costs, partly due to the replacement of low-paid by higher-paid employees. The civil servant status and the associated rigid salary scales and job classifications have also made it difficult to attract specific groups of workers (*e.g.* software or financial specialists) since wages failed to reflect the degree of labour market tightness and wage levels in the private service sector for similar responsibilities.[73] In addition, most public bodies have been operating under an annual line-by-line budget, whereby spending is itemised and unspent funds lapse at the end of the fiscal year. This approach has severely limited the flexibility to find the most efficient combination of inputs. It has also created strong incentives to spend the authorised amount so as to reduce the probability of a cut in resources the following year.

A *more flexible management of resources*…

Several changes have recently been introduced to improve the quality and cost-efficiency of public services. A majority of cantons (sixteen) and municipalities have abolished the long-standing public servant status and the associated rigid pay arrangements. A new personnel law (Lpers) is also being implemented at the federal level and by some large public enterprises, covering 110 000 employees.[74] Such reforms in personnel management should not only give these public entities more flexibility in setting the appropriate level and composition of their labour force, but also provide better work incentives by making part of compensation dependent upon performance.[75]

New public management principles have been introduced in some public entities, although other OECD countries have gone much further than Switzerland in several respects. Moving away from a rigid input approach by more clearly defining the expected outputs has been a key objective. Some public entities are now responsible for deciding about how to best deliver these outputs within a given budget constraint (the so-called *Gestion par Mandat et Enveloppe Budgétaire*, GMEB). Concomitantly, employees are required to be more accountable for outputs, through performance-related compensation schemes. These new management prin-

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ciples are expected to improve cost-efficiency but also to allow public bodies to better respond to the clients' needs. Public entities managed through the GMEB are allowed to exceed their budgets if additional services can be financed out of additional revenues (over and above those specified in the contract with the administration). They also have considerable freedom to use their efficiency gains (*e.g.* to raise employees' wages or to develop new activities). First introduced at the municipal and cantonal levels, this approach is also being implemented at the federal level.[76] Adopted on a voluntary basis by 11 federal agencies since 1997, the move has been associated with a commitment to cut costs by 10 per cent over a four-year horizon.[77] Savings are mostly expected to derive from enhanced flexibility in resource management, and by the move to a global budget. There are several constraints to the development of the new management approaches. First, cost-accounting is still too little developed in the public sector. Second, defining and measuring outputs and outcomes is difficult. Third, the requirement to cut costs may have reduced the attractiveness of the new management approach. Overall, offices managed under the new regime accounted for 1.3 per cent of the Confederation's total spending in 2001, and 7.9 per cent of its labour force.

… with greater emphasis on outcomes

The ambition to increase public spending effectiveness is enhanced when relying on outcome-oriented public management, since the ultimate objective is no longer the supply of public services but its impact on the (targeted) population. All levels of the Swiss administration have taken interesting initiatives in this direction. At the cantonal level, one example is the introduction of a global budget for secondary schools in the canton of Zürich, accompanied by outcome indicators (Reichard, 2001).[78] At the municipal level, the use of outcome-oriented public management is largely correlated with the municipalities' size, partly reflecting the stronger need in large municipalities to bridge the gap between the administration and the general public (Steiner, 2000). At the federal level, the recent reform of the public employment services is also ambitious and places Switzerland (along with Australia) at the forefront of implementing new management models geared to outcomes. While the Australian approach involves considerable market testing and outsourcing, Swiss regional placement offices (RPOs) have been assigned clearly measurable outcome objectives and considerable flexibility on how to reach them (Box 3).[79] However, contrasting with agencies which have been granted greater freedom in achieving outputs within a budget constraint (the GMEB), RPOs are funded by the federal government mainly on the basis of their actual expenses. There is a ceiling – defined as a function of the number of registered job seekers in the canton – on federal reimbursement of ALMP costs. However, all cantons operate below this limit suggesting that it may be too high. As a result, while outcomes may improve, the current financing framework of RPOs creates incentives to overspend and may not guarantee "value for money".

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Box 3. Moving towards an outcome-focused management approach for public employment services

Increasing financial resources for public employment services…

Although the unemployment rate is low by international standards, it has risen steadily in the early to mid-1990s, from below one per cent to more than 5 per cent in 1997. As a result, public spending on unemployment programmes rose from less than ½ per cent of GDP to 2 per cent in 1997. This has led to a fundamental reform of labour market policies, with a shift in emphasis from passive to active labour market policies. The 1995 reform of the unemployment law aimed at a rapid and durable return of the unemployed to the labour market. Key to the new approach was the replacement of numerous municipal labour offices (over 3 000), whose role was perceived as marginal by the municipalities, by 150 professional regional placement offices (RPOs) managed by the cantons but financed by the federal government. RPOs have been made responsible for: *i*) counselling; *ii*) job placement; *iii*) organising active labour market programmes, which are partly outsourced to the private sector; and *iv*) sanctioning those who refuse an "acceptable" job.

… but failure to deliver the expected outcome, partly reflecting a too rigid management approach

Despite the labour market reform and the rise in financial resources, several surveys show that RPOs have failed to deliver the expected outcome (*i.e.* the rapid and durable return of the unemployed to the labour market). Strict and detailed rules on RPOs' inputs and outputs in place up to 1997 (such as the annual minimum supply of ALMP slots, the number of counsellors per unemployed, or the number of counselling interviews) have in some cases contributed to poor labour market outcomes, in particular the duration of unemployment spells (Sheldon, 2000). For instance, RPOs reportedly kept the unemployed in active labour market programmes longer than needed to meet annual targets for programme slots. In addition, the funding of public and private providers of training and education programmes according to the number of participants created incentives to retain the unemployed in these programmes instead of facilitating their return to the labour market.

The 2000 Agreement has enhanced flexibility and incentives to reach targeted outcomes

The 2000 Agreement between the federal government and the cantons aims at improving the RPOs' performance. To this end, rules on RPOs' inputs and outputs have been replaced by four clearly defined objectives, with an indicator attached to each of them (Table 12). Using a weighting scheme, these indicators measure RPOs' overall performance. The federal government ranks RPOs – after controlling for other influences, notably local labour market characteristics such as the economic situation and the composition of the unemployed population.

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Box 3. **Moving towards an outcome-focused management approach for public employment services** (*cont.*)

Performance rankings, as measured by the multivariate indicator, also serve as a base for rewarding, and possibly sanctioning the cantons on the basis of the outcomes achieved by the RPOs under their management (sanctions can be imposed for RPOs below the national average during three consecutive years). The maximum level of the federal bonus is however relatively small (equivalent to about 1 000 euros per counsellor) and is not paid directly to the counsellors nor to the RPOs but to the cantons, thus potentially reducing the RPOs' incentives to perform well. Nevertheless, the publication of the performance ranking every six months seems to work as a strong incentive to achieve a good performance. Also, in 2000 financial incentives for training providers have been introduced by granting them a bonus when a participant finds a job during the training programme.

Table 12. **Agreement 2000 on regional placement offices: objectives and indicators**

Objective	Indicator	Weight in the synthetic indicator
Rapid return to the labour market of the unemployed	Average number of compensation days	50%
Reduction in long-term unemployment	Ratio of long-term unemployed to total unemployed	20%
Reduction in the number of people reaching the end of unemployment benefit entitlements	Ratio of benefit terminations to the total number of benefit recipients	20%
Reduction in the incidence of re-registrations after exit from unemployment	Ratio of re-registrations within four months after leaving the unemployment register to the total number of benefit recipients	10%

Source: National authorities.

Funding principles do not always promote allocative and cost efficiency

An extensive reliance on earmarked tax revenues obscures allocation decisions

Earmarking tax revenues for specific spending programmes could hinder an efficient allocation of public resources. As a share of the Confederation's total spending, earmarked appropriations amounted to 11.9 per cent in 2000, up from

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7.7 per cent a decade before, largely reflecting the one percentage point increase in the VAT rate to finance public pension and invalidity transfers (AVS/AI) in 1999. However, the financing of road infrastructure – through excise taxes on fuel, cantonal taxes and custom duties on motor vehicles and road taxes – accounts for the largest component of earmarked appropriations (CHF 3.7 billion in 2000).[80] This form of financing creates the risk of spending too much on projects with a low social value but whose funding is "guaranteed". In addition, building new roads thanks to taxes on the use of the most polluting vehicles may contribute to reducing traffic congestion but it could also give rise to an increase in car use, and in pollution, thus reducing the environmental impact of such green taxes.

Extensive vertical transfers create poor spending incentives and little redistribution

While managerial approaches within each government level have improved, fiscal relations across them are still characterised by some overlap of responsibilities, poorly defined strategic objectives and weak incentives to reach them. The provision of many public services involves different government levels (Table 13). Clear definitions of each actor's responsibilities, as well as appropriate incentives to achieve them, are of paramount importance. In many cases, the public layer responsible for setting strategic policy objectives – the "buyer" – has retained the power to decide on details on how these objectives are to be achieved by operational layers and agents – the providers – without imposing a binding budget constraint or competitive pressures. While there are rules and regulations to control spending, overruns occur and lead to a high cost for some public services.

The current transfer system across government levels – aimed both at providing incentives to invest in some specific programmes and at ensuring some fiscal equalisation – is not well geared toward achieving allocative and cost-efficiency. It relies largely on conditional (vertical) grants. In 1999, conditional grants accounted for 75 and 81 per cent of the transfers received by the cantons and municipalities, respectively. However, these conditional grants are often designed for too narrowly defined objectives, while key strategic objectives are not clearly specified. In the case of forestry for instance, Jeanrenaud (1994) mentions the existence of 12 federal grants to the cantons. Such a fragmentation of the grant system mimics the "line-by-line" budgeting approach and may thus hinder an efficient allocation of resources. Furthermore, combined with a complex procedure to approve the transfer, it generates high administrative costs, for both the recipient and the grantee.[81]

The current grant system mixes allocative and redistribution objectives, making it difficult to achieve each of them in a cost-effective manner. Aiming at redistributing the ability to spend from the rich to poorer cantons, conditional

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Table 13. **Public expenditure by function and government level**[1]
1999, in percentage

	Share in total spending	Share by level of government[2]			
		Confederation	Cantons	Municipalities	Total
Administration	6.5	22.4	35.9	41.7	100
Justice, police	5.5	7.7	68.2	24.2	100
National defence	4.5	92.3	3.5	4.1	100
Foreign relations	1.8	100.0	0.0	0.0	100
Education	18.4	14.9	51.0	34.2	100
Primary and secondary schools	11.1	0.2	46.7	53.0	100
Universities	3.2	50.8	49.1	0.1	100
Culture and entertainment	3.1	13.2	31.7	55.1	100
Health	12.6	1.3	60.0	38.7	100
Hospital	11.6	0.1	60.7	39.3	100
Social insurance	19.4	51.9	27.4	20.7	100
Old age	4.7	80.6	16.1	3.3	100
Invalidity	3.5	75.3	20.8	3.9	100
Sickness	2.2	63.9	28.6	7.5	100
Other (including social assistance)	9.0	24.6	35.7	39.7	100
Transport	10.1	57.2	20.2	22.6	100
National roads	2.0	82.2	17.8	0.0	100
Cantonal roads	1.6	43.1	52.0	4.9	100
Municipal roads	1.8	0.3	5.4	94.3	100
Railroads	2.3	99.3	0.7	0.0	100
Environment	4.0	15.9	21.7	62.5	100
Public economy	5.6	73.2	18.9	7.8	100
Agriculture	3.9	89.4	9.1	1.5	100
Interest payments and others	8.4	82.4	0.1	17.4	100
Total	100.0	38.7	33.5	27.8	100

1. Excluding social security.
2. Spending by each government level, net of the transfers paid to another government.
Source: Office fédéral de la statistique, *Finances publiques en Suisse*, 1999.

grants are adjusted and contain an element of fiscal equalisation – known as "equalisation supplements". The Confederation's participation rate in the cantons' spending thus varies from one canton to another to reflect their fiscal capacity (Table 14). However, in some cases, the remaining part, which the poorer cantons have to pay, is still high. This may *de facto* exclude them from receiving the federal grants and undermines the objective of fiscal equalisation (Dafflon, 1994). Examples include forestry and civil defence.

To provide strong incentives for sub-national governments to deliver specific public services (the allocation objective), the Confederation's financial contribution is very high in some cases, weakening the incentives for cantons to contain costs. Such conditional matching grants may also lead to an over-supply of some

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Table 14. **Grants from the Confederation to the cantons: fiscal equalisation supplements**

Key cantonal programmes[1]	Grants from the Confederation to the cantons (CHF Million)			*Memorandum items*		
				Fiscal equalisation supplements as a share of total grants	Confederation's participation rate into the cantons' expenses	
	Total	Basic grants	Fiscal equalisation supplements		Minimum	Maximum
Preservation of monuments	25.3	14.2	**11.1**	44	10	35
Preservation of cultural assets	12.0	7.6	**4.4**	36	10	35
Forest maintenance	82.8	69.8	**13.0**	16	20	50
Waste water treatment	143.5	70.2	**73.3**	51	15	45
Old-age supplementary benefits	310.5	143.9	**166.6**	54	10	35
Supplementary invalidity benefits	167.4	79.8	**87.6**	52	10	35
Grants to students	104.0	53.2	**50.8**	49	20	60
On-the-job training programmes	286.6	210.7	**75.9**	26	27	47
Cantonal roads	235.0	197.5	**37.5**	16	20	60
Current subsidies to universities	370.9	340.3	**30.6**	8	–	–
Investment transfers to universities	91.7	75.8	**15.9**	17	35	60
Compensation for regional transport	1 214.0	1 117.7	**96.3**	8	50	95
Technical improvements for regional transport	126.1	81.6	**44.4**	35	5	50
Total conditional grants with a fiscal equalisation supplement	**3 507.1**	**2 721.8**	**785.3**	**22**	**–**	**–**

1. Only large grant categories are presented, and in most cases each category reflects the aggregation of several grants.
Source: National authorities.

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Table 15. **Intergovernmental transfers: conditional grants**
As a share of subnational governments' spending, 1999

	Cantons	Municipalities
Education	21.5	16.8
Primary and secondary schools	23.9	14.0
Universities	19.8	5.5
Health	4.0	19.5
Hospitals	3.7	25.0
Social insurance and assistance	39.1	18.4
Health insurance	70.5	38.1
Social assistance	34.2	26.3
Transport	57.5	6.5
National roads	82.5	0.0
Agriculture	84.3	34.8
Memorandum item		
Total spending	25.4	17.3

Source: Office fédéral de la statistique, *Finances publiques en Suisse*, 1999.

services or a biased allocation between expenses with different subsidy rates. In particular, as grants usually support mostly capital investment and less current expenditure, the cantons may prefer to invest in a new project while neglecting maintenance of existing facilities. Local tax implications of a project largely financed by the Confederation also create an incentive for local authorities to inflate spending. If a local company is responsible for the project, the tax revenues for the local authority may be higher than its contribution to the project. In addition, conditional grants create incentives for cost padding, *e.g.* by inflating the costs of some spending programmes to take on tasks outside their formal remit. These drawbacks, also at work at the municipal level, are presumably higher for spending programmes where vertical conditional matching grants account for a large share of the grantees' effective spending (Table 15). And the most affected cantons are the poorest ones: while conditional grants amounted to about 17 per cent of the cantons' financial resources in 1999 on average, this share reached more than 40 per cent in some of the poorest.

The lack of competitive pressures further undermines cost-efficiency

Limited competition in public procurement markets…

Despite commendable steps towards the liberalisation of public procurement markets since the mid-1990s, there are still some barriers to effective competition.[82] Government procurement amounts to almost one fourth of total public

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spending (CHF 30 billion), and efforts to reduce costs could potentially result in important savings. The recent bid for the National Library provides an example. Reflecting collusion among the bidding companies, the "best offer" was a price that was about twice the estimated "reasonable value".[83] The complexities of regulations on public procurement markets as well as their fragmentation raise entry barriers. Regulations and procedures vary not only between the Confederation and the cantons but also from one canton to another (including thresholds for public tendering). In addition, government procurement policies, essentially at the lower levels of government, have been used to protect local enterprises and employment, subsidising small and medium-sized enterprises and favouring regional development. Among the devices used to exclude non-local competitors from public contracts are the proximity criteria or conditions related to domicile.[84] In addition, some diplomas obtained in one canton may not be fully recognised in another canton (*e.g.* in the health sector), thus limiting the ability of the professionals to bid in jurisdictions in which they are not resident. Combined with funding principles largely based on *ex post* actual spending, the lack of competition is conducive to low cost-effectiveness.

… and in the health care sector

In the health care sector, pricing and funding arrangements limit competition and boost the demand for and the supply of health care services (Chapter III). While health outcomes are rather good, the Swiss health care system is the second most expensive in the world, surpassed only by the United States (Figure 18), with total spending reaching 10.4 per cent of GDP in 1998. The private sector accounts for a large share of both the financing and supply of health care services. However, pressures on public spending arise from the fact that about half of the treatment cost in public and subsidised hospitals is paid for by the cantons (only for services charged to the compulsory insurance). In addition, the Confederation and the cantons grant subsidies to low-income households to help them pay for insurance.[85] This component could increasingly burden public budgets since insurance premiums have risen steadily and are expected to rise by a further 10 per cent in 2002. A draft law which aims at ensuring that the insurance premiums paid by a household do not exceed 8 per cent of its income, the remainder being paid for by the Confederation and the cantons, will reinforce budgetary pressures.[86]

The lack of competition among health care suppliers has been considered as an important factor behind cost and supply-driven pressures on the system (OECD, 2000*a*). Several forces are at play. *First*, payments for public hospitals and private practitioners create incentives for increasing the quantity of medical care. Prices are negotiated between the insurer and provider associations in each canton – all insurers are then charged the same price. Although the law allows some exception to this principle, in practice only very few purchasers (the insurance

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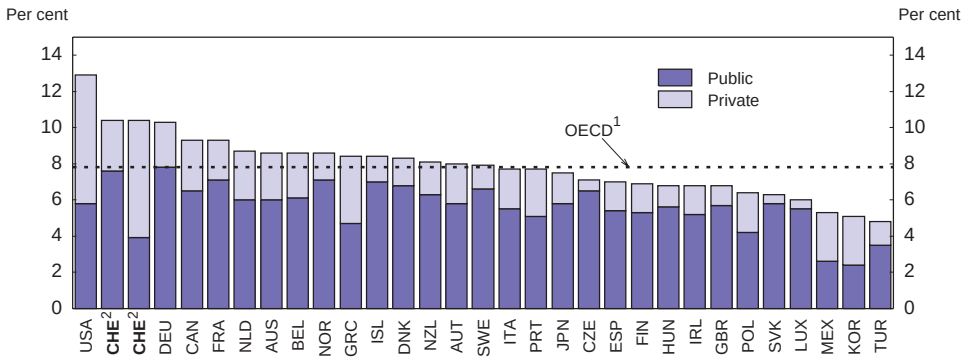
Figure 18. **Health care expenditure in international perspective**
As a percentage of GDP, 1998



1. Unweighted average.
2. The first bar relies on OECD health data which classifies private insurance premiums under LAMal in the public component of health care expenditure even though the majority of this is paid for by households (a small part is government subsidies to the poor for health insurance). The second bar attributes private premiums to private spending.

Source: OFS; OECD *Health Data 2001*.

companies) put downward pressures on the prices of providers. In addition, the providers' remuneration is largely based on the number of medical interventions (fee-for-service) in the ambulatory sector or days of hospitalisation rather than on diagnosed medical conditions (*i.e.* outcomes) though several cantons have introduced case mix systems. Since costs tend to be relatively higher in the early days of a stay in hospital than towards the end, there is a financial incentive for hospitals to lengthen the hospitalisation period. This may partly explain the long length of hospital stays by international standards (Table 16). In addition, hospitalisation prices paid by insurers for the population with a compulsory basic health insurance are, by law, less than full cost, with the remainder being at the charge of the cantons. This creates an incentive to use hospital facilities rather than ambulatory care, which might be more cost-effective.[87] For those with a complementary insurance, cantons have refused to finance part of the hospital costs until recently, but several decisions by the federal insurance tribunal now oblige them to do so, adding a further cost for the cantons estimated at CHF 500 million. *Second*, all insurers must accept bills from all certified physicians, thus further reducing their incentives to put pressure on suppliers to reduce costs. *Third*, on the demand side, low co-payments by the patient (10 per cent) fail to contain demand while insurers have little incentive to curtail it. On the other hand, higher co-payments would raise serious equity issues.

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Table 16. **Health care resources and utilisation**[1]
1999[2]

	Health employment		Acute-care hospitals	
	Practising physicians per 1 000 population	Total hospital employment per 1 000 population	Beds per 1 000 population	Average length of stay
Australia	2.5[3]	19.4	3.9[3]	6.2[3]
Austria	3.0	15.6	6.2	6.5
Canada	2.1	11.5[3]	3.2[3]	7.0[3]
Czech Republic	3.0	12.3	6.6	8.6
Denmark	3.4	16.0	3.3[3]	5.3[3]
France	3.0[3]	18.6[5]	4.3[3]	5.5
Germany	3.5	10.3	6.4	10.4
Italy	5.9	11.0	4.9[3]	7.2[3]
Japan	1.9[3]	12.8		
Netherlands	3.1	9.1[4]	3.6	9.5[3]
Norway	2.8	16.4	3.2	6.1
Switzerland	**3.4**	**29.7**[6]	**5.6**[3]	**11.4**[3]
United Kingdom	1.8	22.2	2.4[3]	5.0[5]
United States	2.7[3]	16.3[3]	3.0	5.9
Unweighted average of OECD countries	2.9	13.9	4.2	7.1

1. Cross-country comparisons need to be interpreted with caution. See OECD *Health Data* 2001, Sources and Methods for details of methodology variations across countries. For Switzerland, it should be noted that *i*) "practising physicians" refers to all physicians; *ii*) the "length of stay" refers to the average for all hospitals excluding psychiatry and day cases, and is defined as the period between admission and discharge including short absences and disregarding transfers within the same hospital.
2. Unless otherwise indicated.
3. 1998.
4. 1997.
5. 1996.
6. 1995.

Source: OECD *Health Data* 2001.

Spending assignments across government layers raise efficiency issues

The local supply of public goods may raise citizens' satisfaction and promote competition…

Devolving spending responsibilities to local governments may raise economic welfare when the supply of public goods and services can be tailored to local citizens' preferences and willingness to pay. In addition, the adoption of new practices and policies by a canton or a municipality can generate valuable information for others, thus promoting innovations and creating an "information externality" at the national level (Oates, 1999). In this respect, the setting up of a health observatory to collect information on cantonal experiences in the health care sector is promising. In addition, many policy changes have first been introduced at the local level and then replicated at the federal level. For instance, the current

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system for public employment services (discussed above) was based on a model first introduced in one canton.[88] Likewise, several cantons and municipalities reconsidered their civil servant status and the management of public entities before the Confederation. The differentiation in public services across jurisdictions also allows for some competition, thus reinforcing pressures on local officials to improve the efficiency of public services.

… but makes it difficult to reap scale economies and to internalise spillovers

A too locally-oriented supply of public services may hamper economic efficiency by making it difficult to take advantage of scale economies and to internalise the benefits received by residents from other jurisdictions. Education provides an illustration. The relatively small size of Swiss educational institutions – which limits their ability to realise scale economies – has been recognised as a factor contributing to the high cost of tertiary education, which is a cantonal responsibility (OECD, 1997). Some issues also arise on primary and secondary education programmes, which are set under the responsibility of the cantons. The proximity of managers to the communities which they serve facilitates feedback and adaptation of the system to clients' preferences. This has allowed the cantons to tailor programmes to local citizens' preferences, thus providing more choices overall. However, local managers' responsiveness and effective competitive pressures are limited by strict zoning regulations and the fact that the "money follows the student" principle does not apply (in particular, the level of subsidies for private schools is generally low). In addition, the absence of a nation-wide school curriculum may contribute to reducing the geographic mobility of the parents once they have made a choice of the school for their children, thus hampering labour mobility.[89]

- Spillover effects and the under-provision of public services: the case of childcare facilities

An under-provision of public services may also result from the existence of spillover effects. This arises when the benefits from local public spending extend to residents of other jurisdictions while the provider does not receive an adequate compensation. The lack of early childhood and educational care services provides an illustration. While public expenditure on education per student is very high by OECD standards, reflecting the high priority given to human capital in Switzerland, expenditure on "pre-primary" education is well below the OECD average (Figure 19, panel A). Participation rates in pre-primary education for young children are the lowest in the OECD area after Turkey and Ireland (Figure 19, panel B). Social and cultural factors play a role. However, long waiting lists suggest that private demand for childcare facilities is largely unsatisfied (National Council, 2002). While the initial effects are on the parents and children directly involved, it has been suggested that social rates of return of investing in childcare facilities are high (Heckman, 1999). This is postulated to reflect an increase in labour force participation; a higher ability

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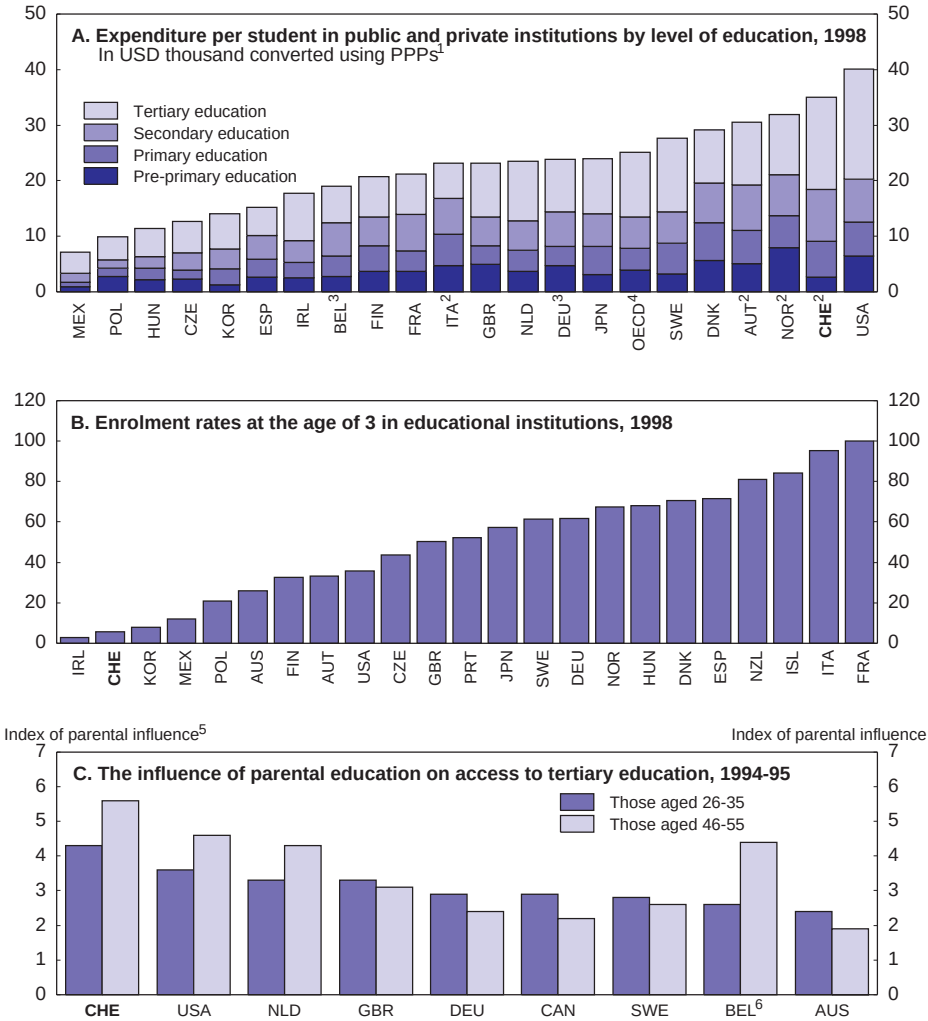
Figure 19. **Education indicators**



1. Based on full-time equivalents.
2. Public institutions only.
3. Public and government-dependent private institutions only.
4. Weighted average.
5. The index shows the multiplicative effect of tertiary education by the parent on the probability of tertiary education by the individual in this age bracket.
6. Flemish region.

Source: OECD, *Education at a Glance: OECD Indicators,* 2001; *International Adult Literacy Survey,* Statistics Canada.

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later on to learn for those enrolled and; a lower recourse to welfare programmes.[90] For a country like Switzerland where foreigners account for a large share of the population, the US experience that early childhood educational care is an important factor to facilitate social integration of foreign-born children may be particularly relevant. Indeed, a recent cost-benefit analysis (Müller-Kucera and Bauer, 2001) estimates the impact of childcare on gross public spending and its returns. Overall, the net return ranges from CHF 3 to 4 for every franc spent.

Among the factors which impede public investment with high social rates of returns is the institutional and geographic fragmentation of the Swiss territory, combined with a lack of congruence between the costs and benefits for some public services across government layers. In the case of public childcare facilities, costs associated with their construction and maintenance are borne by the municipalities while benefits also accrue to the cantons (higher income tax revenues), firms (availability of qualified labour), parents and children (higher future income) and social insurance (lower welfare payments). Recognising the sub-optimal provision of childcare facilities, some cantons are increasingly urging the municipalities to increase their efforts in this area, while contributing to some of the costs.[91] Financial incentives to improve childcare facilities are also debated by the Swiss Parliament and a decision is expected during the next summer session.[92]

- Merging jurisdictions and conditional grants have rarely been used to internalise spillovers…

Several institutional arrangements could be designed to internalise spillovers, including the merging of local jurisdictions and instituting or at least encouraging co-operation across government levels. Though the dispersion in the size of the cantons and municipalities is very high – suggesting potential spillover effects – few territorial modifications have taken place since the foundation of the Swiss federation in 1848. While the fusion of local authorities would improve spending efficiency by internalising spillovers and permit scale economies, it would also reduce the competitive pressures across them. In particular, it would entail a harmonisation of tax rates within the new jurisdiction and thus a higher tax burden for the residents of the former low-tax jurisdiction.[93] In theory, conditional grants from a higher government level, in the form of "matching" grants, could be an alternative in cases where the provision of local services generates benefits for residents of other jurisdictions.[94] In practice, however, as externalities extend both between and within layers of government, such an approach would probably lead to a too complicated transfer system.

- … but horizontal co-operation agreements have developed

Horizontal co-operation agreements are another solution. The intercantonal agreement on university financing (Box 4) and municipalities' co-operation

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Box 4. University financing arrangements

Accounting for spillover effects through a fair compensation of the provider's costs. Since 1981, inter-cantonal agreements have provided payments from cantons without a university in proportion to the number of students they send to cantonal universities. Up to 1998 however, the per capita compensation provided for by the agreements were uniform across study fields and did not cover costs. In 1997, the per capita compensation stood at about one fifth of the true average cost per student (OECD, 1997). In 1998, a new agreement was implemented, introducing a differentiation in compensation among three groups of subjects. In 2002, contributions per student amount to CHF 46 000 for medical sciences (clinical training), CHF 23 000 for natural sciences, and CHF 10 000 for human and social sciences. Per capita compensation was also raised substantially, though not up to the cost borne by universities (net of the Confederation's contribution). Setting inter-cantonal compensation below tuition costs is a recognition that host cantons do benefit from having a university in their territory: they retain highly qualified labour to the detriment of other cantons as a result of attracting students, who tend to stay and work in the host canton after finishing their studies.

Applying new public management principles to university funding. Up to 1997, the Confederation's financial contribution was based on universities' actual expenses. For current spending, the participation rate was set at about 10 per cent for rich cantons and higher for the poorer. The Confederation's participation rate was higher for investment and also differentiated according to the cantons' financial situation. A 1999 law induced a shift in university management towards defining outputs and giving universities greater autonomy in deciding how to produce them within a global budget. The Confederation's subsidies now finance services (*prestations*) rather than expenditure. Basic subsidies are proportional to the number of students and take the normal length of study for each field into consideration. As part of this process, a new body (*Conférence universitaire suisse*) has been created to assess and promote the quality of services.

Equity considerations. Substantial public support for tertiary education raises equity issues. The private participation in tuition costs at the university level is low while public expenditure per student is very high by international standards. The greatest beneficiaries are those who participate most intensively and more than in most other OECD countries, the influence of parental education on young people's access to tertiary education is high in Switzerland (Blondal *et al.*, 2002). Though this influence has declined over the past decades, children of tertiary-educated parents are still more than four times more likely to enter tertiary education than children with parents that have only lower-secondary education (Figure 19, panel C). Social equity may also be undermined because individuals with high lifetime earnings receive large subsidies.

on many local public services are promising examples. They make it possible to reap scale economies and to internalise spillovers by concentrating the supply of these services in some cantons/municipalities and by requiring other beneficia-

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ries to pay for the benefits in exchange for participation in the management of these public services. Similar arrangements across cantons and municipalities have also contributed to the development of a coherent local public transport network able to meet the needs of commuters and to reduce the environmental impact of an excessive use of private cars (OECD, 2002*a*).

The lack of such horizontal arrangements is still hampering efficiency in some key public spending areas. There is evidence that frail elderly have to wait before receiving a place in old age and nursing homes in certain cantons while unused capacity has been available in neighbouring cantons. Thus, extending horizontal agreements has been considered as an option to achieve a better utilisation of existing capacities in old age and nursing homes at the cantonal level (OECD, 2000).[95] A similar issue arises in the hospital sector. Though a number of smaller cantons already purchase a good part of their health services elsewhere, extending this practice through inter-cantonal agreements has been considered as a key factor to increase cost-effectiveness. However, the *ad-hoc* nature of these agreements has contributed to raise administrative costs while their voluntary nature may lead to free-riding (*i.e.* residents from one jurisdiction benefiting from public services provided by another jurisdiction in the absence of a fair compensation being paid to the providers).

Poverty issues have also come to the fore[96]

The responsibilities for and financing of social assistance programmes are largely in the municipalities' hands, creating two main risks: a low level of support for the poor and unsustainable public finances at the local level. As in many other OECD countries, Switzerland has witnessed migration of middle and upper income groups from inner cities to suburban areas. As a result, large city centres tend to have a higher proportion of low-income households, who are more dependent on welfare programmes. They also have a large share of immigrants, which on average depend more on social welfare than Swiss nationals. Although there is a unified framework covering core social benefits at the cantonal level, municipalities still have discretion to accept or reject social claims in most cantons and can grant social benefits over and above the minimum standards.[97] Thus, unequal standards prevail, giving rise to some "social tourism" (claimants looking for the most generous assistance benefits and better social services – such as greater professionalism among staff and less stigma in large than in small rural communities).[98] Overall, the share of spending on social assistance programmes amounted to about 12 and 15 per cent of total spending for the two large cities Zürich and Bern, respectively, compared with a national average of 7 per cent in 1999. On the revenue side, the migration of middle and upper income groups to suburban areas have put further strains on large cities' fiscal positions while further hikes in taxes have reinforced incentives for those groups to migrate.[99] Eventually, this sit-

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uation could result in severely curtailing social assistance programmes and/or a further deterioration in the financial position of large cities.

The proposed reform of spending assignments and fiscal equalisation schemes

An ambitious draft law to revamp spending assignments and financial transfers between the cantons and the Confederation could entail, if consistently implemented, significant gains in terms of cost and allocative efficiency for key spending programmes (Box 5). The project was designed at the outset to be without financial losses or gains to the Cantons on aggregate and to the Confederation.[100] However, if implemented, this project should influence spending behaviour and efficiency gains would stem from three main channels.[101] *First*, the project aims at reducing the existing overlaps in cantonal and federal spending responsibilities by applying more consistently the subsidiarity and fiscal equivalence principles. This would contribute to streamlining administrative costs, allow the cantons to better tailor the supply of "pure local goods" to their residents' needs and willingness to pay and improve the accountability of public administrations. *Second*, for those spending programmes which would still be co-financed by the cantons and the Confederation, management principles would move from an input (*ex post* actual expenses) to an output approach. Conditional grants would target broader strategic objectives, with more flexibility for the cantons on how to reach them (within a global and multi-year budget envelope). *Third*, the draft law foresees binding inter-cantonal agreements if the majority of cantons so decide in some key spending domains (including universities and specialised hospital care). This would make it easier to cope with spillover effects.

Moreover, the proposed reform would contribute to reducing the long-standing financial disparities across cantons, to reinforcing the cohesion of regions and to improving the functioning of federalism. In fact, the allocation of substantial fiscal equalisation transfers (CHF 2.1 billion in 1999) has not been accompanied by a reduction in the income distribution across cantons.[102] To improve the effectiveness of fiscal equalisation policies, the reform envisages abolishing the fiscal equalisation supplements to the remaining conditional grants, thus disentangling the allocative and distributional objectives which have often proved to be inconsistent. Redistribution across cantons would instead result from higher block grants (not earmarked for any specific activity) from the Confederation. These block grants would leave the cantons with discretion as to how to organise local provision in the best way while avoiding micro-management by the central government. In addition, the fiscal equalisation scheme from the rich to the poor cantons would also be broadened, with a shift in emphasis from actual taxes collected to their capacity to raise taxes. Incentives to adjust local tax rates to citizens/taxpayers preferences would thus be reinforced.

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Box 5. Reforming the assignment of spending responsibilities and fiscal equalisation scheme

Drawbacks resulting from the current assignment of spending responsibilities and financial transfers across government layers (see above) have long been recognised by the Swiss authorities. *First*, the overlap in the cantons' and the Confederation's financing responsibilities for an increasing number of spending programmes has contributed to dilute each actor's responsibilities in achieving objectives. *Second*, high contributions by the Confederation to the cantons' actual expenses for too narrowly-defined objectives has provided poor incentives to improve cost and allocative efficiency. *Third*, the existing fiscal equalisation scheme has been disappointing in reducing financial disparities across cantons, largely reflecting the mixing of redistributive and allocative objectives embodied in the vertical transfer system. *Fourth*, cantons have failed to internalise spillovers for some spending programmes, resulting in a sub-optimal provision of public services and/or in a difficulty to seize scale economies.

To remedy these shortcomings, a wide-ranging discussion and negotiating process involving the cantons, the Confederation and experts was launched in the early 1990s. This forms the basis for the ambitious draft law to reform spending assignments and financial transfers across the Confederation and the cantons (*Réforme de la péréquation et de la répartition des tâches entre la Confédération et les cantons*, RPT). If approved by the cantons and by the Swiss population, it is expected to enter into force in 2006. This reform has four main objectives:

Disentangling cantonal and federal spending responsibilities. The reallocation of tasks has been mainly driven by greater emphasis on the subsidiarity and "fiscal equivalence" (or user-decider pay) principles. The RPT reform would change spending assignments in twenty-nine areas. In particular, the Confederation would be competent for national roads, old age and survivors' pensions (first pillar) and invalidity pensions. The cantons would be responsible in other areas, including specialised care institutions for handicapped persons and housing policies in mountain areas. As a result, the responsibility for over 40 per cent of the spending programmes which are currently co-financed by the cantons and the Confederation would be transferred to only one administration level.

Improving the co-operation on spending programmes whose responsibility would still be shared by the cantons and the Confederation. Conditional grants would no longer be based on *ex post* actual expenses but on an estimation of standard costs (defined *ex ante*). In addition, many of the existing small conditional matching grants would be merged and folded into a broader envelope. The Confederation would set the strategic objectives (output) for these broader spending programmes while the cantons would be fully responsible on how to reach them. The main spending areas to which these new management principles would apply include: universities, regional public transport systems, airports, agriculture and forestry.

Reinforcing co-operation across cantons. To avoid that spillovers give rise to a sub-optimal provision of public services, the providing cantons would be entitled

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Box 5. **Reforming the assignment of spending responsibilities and fiscal equalisation scheme** (*cont.*)

to claim a financial compensation from the other cantons whose residents are using its services. Such a compensation scheme has already been introduced for universities and local transport networks through voluntary inter-cantonal agreements. This new institutional setting would also reduce the opportunities to free-ride on these forms of co-operation. Nine areas are concerned by this compensation scheme, including: universities, local transport systems, waste water management facilities and hospitals.

Reducing financial disparities across cantons. Fiscal equalisation supplements to the conditional matching grant system would be replaced by a financial equalisation scheme based mainly on the cantons' ability to raise taxes and by new block grants from the Confederation (reflecting geographic or social and demographic factors). In addition, two new grants from the Confederation to the cantons would be introduced to help the cantons meet an extra financial burden under specific circumstances, taking into account: *a*) geo and topographic factors (for mountain areas and/or those with a highly dispersed population); *b*) and socio-demographic factors (for those cantons where the old, poor, low-qualified and unemployed account for a large proportion of their population).

Agenda for further reform

The Swiss authorities have recently implemented and are planning several reforms to contain public spending and improve its cost and allocative efficiency. While these are clearly steps in the right direction, a rapid implementation of the reforms would be advisable and should be accompanied by other initiatives to deliver their full benefits. Recommendations for further reform are discussed below and Box 6 provides a synopsis.

Control the federal budget better and allow the automatic stabilisers to work fully

The adoption of the debt containment rule will improve the role of spending policy in macroeconomic management. In particular, federal spending should be under better control than during the past decade. The gradual reduction of federal debt as a proportion of GDP required by this rule appears to be broadly adapted to the needs of the economy in the light of the long-term budgetary outlook and the goals of fiscal policy. It is traditionally difficult to identify an optimal level of debt.[103] The current level of gross general government debt is not high compared with other countries. A more rapid reduction in federal debt that would be possible with a more restrictive rule requiring a structural budget surplus

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Box 6. Recommendations for enhancing public spending efficiency

Increase the efficiency of automatic stabilisers

- Implement the debt containment rule rapidly, as from 2003. Avoid a too mechanical approach to the estimation of the output gap that is necessary for the implementation of the rule.
- Promote the implementation of a similar rule at the other levels of government to make the automatic stabilisers work better. The reform of the unemployment insurance system, which could be challenged in a referendum, would also reinforce the stabilisers.

Enhance the medium-term focus of fiscal policies

- Apply the debt containment rule in a process that is centred on multi-year planning, with a formal adoption of the financial plans by Parliament.

Improve transparency

- Assess on a yearly and more systematic basis the fiscal costs and the main beneficiaries of tax expenditure and include the tax expenditure report in the budget process.
- Accelerate the move from a cash to an accrual basis.
- Improve the transparency of social mandates carried out by public enterprises and assign direct budgetary appropriations.
- Phase out earmarked funds.
- Give more emphasis to performance assessment so as to ensure value for money in the *Contrôle Fédéral*'s reports and make these reports publicly available.

Focus more on public spending outcomes

- Extend the use of outcome-oriented management methods by defining appropriate performance-oriented compensation schemes and performance management tools.
- Develop appropriate instruments to evaluate outcomes and establish an independent body for this purpose.
- In the hospital sector, replace the existing per-diem reimbursement scheme by a system based on case mix while abolishing the financial contribution from the cantons.

Intensify competitive pressures and the use of price signals

- Simplify and harmonise rules on public procurement and intensify competition in this market.

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Box 6. **Recommendations for enhancing public spending efficiency** (*cont.*)

- Introduce contractual arrangements in the health care sector, which allow insurers to place pressures on the suppliers of services to increase efficiency and quality of care.
- Introduce road-pricing mechanisms.
- Raise tuition fees for universities and reduce public funding of tertiary education. To mitigate the potential adverse distributional impact, some means-testing could be introduced (either grants, tuition fees or subsidised loans).
- At primary and secondary education levels, apply a "money follows the student" approach and remove strict zoning regulations to enhance competition across jurisdictions and between public and privately-managed schools.

Re-assign functions and change the funding principles across government layers

- Implement rapidly the proposed reform of spending assignments and fiscal equalisation schemes, while lifting the constraint on the cantons to spend the full conditional grant in a specific area once strategic objectives have been met.
- Develop appropriate instruments to evaluate to what extent the cantons comply with the objectives and establish an independent body for this purpose.
- Adjust conditional grants to better reflect spillover effects across jurisdictions or further reconsider the spending assignment (*e.g.* for early childhood care and educational facilities).
- Improve cost accounting to facilitate horizontal co-operation across jurisdictions through a fair compensation of the providers' costs.
- Harmonise sub-national governments' practices in deciding over the granting and level of social benefits and introduce a funding scheme, which avoids a disproportionate financial burden on large cities.

hardly seems warranted on grounds of inadequate saving, as the comfortable current balance shows. A gradual reduction in debt is compatible with the objective of maintaining or even reducing taxes to foster the economy's competitiveness. The reduction, which will give some leeway to cope with future increases in transfer expenditure, also seems justified on grounds of intergenerational equity (Chapter I). On the other hand, while the functioning of the automatic stabilisers will be enhanced at the federal level, their overall effect is likely to remain weak,

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unless a better harmonisation of fiscal rules between the various levels of government is achieved. The balanced budget rules followed by a majority of cantons and municipalities will not be affected by the new debt containment rule and hence will likely continue to have a pro-cyclical influence on activity, as in the past decade.

Give a greater role to the financial plan in the management of expenditure

After the approval of the debt containment rule, it is important not to underestimate the difficulties involved in implementing the law. It would be desirable, for instance that the estimate of the output gap not be based on too mechanical an approach but rather rely on a broad assessment of trend output and that the tax elasticity be carefully assessed in order to limit the risk of a bias in revenue estimates. It would also be useful to apply the debt containment rule in a budget process centred on a multi-annual planning strategy. Given the rigidity of the federal budget, care should be taken to ensure that the rule does not jeopardise the efficient allocation of resources. In particular, there is a risk that capital expenditure could become excessively volatile relative to current expenditure, especially as the control of some social expenditure items is difficult. The formal adoption of the financial plans by the two Chambers as proposed by the National Council and rejected by the Council of States would reduce this risk. It would also increase Parliament's scrutiny of the budget, which at present is very limited given the importance of "mandatory" outlays. In so far as the spending trend will need to be in line with structural revenues, which do not fluctuate much, it seems more natural to conduct budgetary discussions within a medium-term framework, so as to reconcile the objectives of controlling and allocating expenditure efficiently.

Enhance the transparency of public spending costs and benefits

Improving the transparency of public spending is desirable as it would support fiscal discipline and a better allocation of public funds. The systematic assessment of the medium-term fiscal costs of the main policy changes is an important step in this direction. However, further progress is desirable in several areas. The current accounting framework does not allow future liabilities and the contingent debt of some public entities to be properly taken into account and part of the Confederation's expenditure is recorded off budget – part of the rail infrastructure and, from 2003, the federal contribution to unemployment insurance. A working party has been set up to devise a new accounting framework which would encompass, on the liability side, all the Confederation's accounts, including implicit debts. This reform should be implemented rapidly.[104] In addition, the authorities should make all the necessary efforts to provide national account data consistent with international norms and on a timely basis. Efforts to move to accrual accounting should be reinvigorated. Improving the transparency

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of public enterprises' social mandates would also be desirable. This would force governments to identify clearly the social objectives they want to pursue, to find the most efficient way of achieving them and to judge whether they merit the cost. These mandates could be more efficiently and transparently performed through direct budgetary appropriations.

Better prioritisation in public spending programmes would also require assessing the fiscal costs of tax reliefs on a more systematic basis, to reconsider the use of earmarked funds and to enhance the role of the *Contrôle fédéral*. Reports on tax expenditures are not frequent and comprehensive enough to identify their fiscal costs and their impact on efficiency and income distribution. A more systematic assessment would not only lead to a clearer identification of costs and objectives but could also point to better ways of achieving them. Tax expenditure reports should be produced annually and linked explicitly to the budget process, as is already done in several OECD countries (including Belgium, Finland, France, Portugal and Spain). Earmarking budgetary resources reduces uncertainty in the financing of key spending projects such as infrastructure investment. However, this also reduces the scope for reallocating public resources to the most effective use. Redefining the role of the *Contrôle fédéral* to include a more systematic assessment of public spending outcomes, and making its report available to the public, would further help in this respect.

Shift the focus to public spending outcomes

The recent moves towards better management methods have reduced incentives to overspend while allowing a better response to clients' needs. However, the coverage of the expenditure involved is still too limited. The extension of this approach to other parts of the administration is slowed by the requirement to implement a 10 per cent cut in budgetary resources. To make the voluntary shift to the new management model more attractive, the size of the budget cut should reflect conditions facing each particular agency. In addition, while the GMEB approach clearly reduces the most blatant incentives to overspend, it partly fails to address the effectiveness of such spending programmes. The quality of the output produced by these entities as well as their impact on the population (*i.e.* the outcome) should be assessed regularly by independent auditors. This would help to guarantee the effectiveness of spending programmes and to avoid the risk of crowding out private providers.[105]

Some public services have clearly-defined outcome objectives but the lack of appropriate compensation schemes may still create incentives to spend too much. The recent reform of public employment services ("Objective 2000") aims to redress the drawbacks resulting from a management approach focused on outputs (*e.g.* the supply of active labour market programme slots) by introducing a clearly measurable outcome objective which serves to assess the performance of

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regional placement offices (RPOs). However, since RPOs are mainly financed on the basis of their actual expenses, with no hard budget constraint, no mechanism ensures that marginal benefits of public spending do not exceed social marginal costs. Though it is difficult to say *a priori* from which level a cut in RPOs' spending would result in a net saving, existing data on RPOs' costs could be used to define a benchmark and assess best practice.[106] Another solution would be to follow the Australian experience (OECD, 2001*b*). This would argue for defining the "optimal" RPO's fee from the budgetary balance in terms of unemployment benefits saved, taxes received and a valuation of other externalities that result from lower unemployment. Employment service providers should then bear the cost of inputs and be free to choose the level of spending on inputs which maximises their "profitability".

In the health care sector, funding principles have also encouraged providers to increase the volume of services, probably beyond the level required to ensure satisfactory health outcomes for the population. The very long average length of stay in public hospitals provides an illustration. It largely reflects the incentive to prolong the duration of hospitalisation inherent in the *per diem* reimbursement scheme. Moving, as envisaged in a draft law, towards a payment-per-case system whereby fees are set according to diagnosed medical conditions and standardised treatment costs would serve to redress suppliers' incentives.[107] In Austria, for instance, the introduction of a performance-oriented reimbursement system for hospitals has resulted in a decline in the average duration of hospital stays (OECD, 2001*c*).

Raise the contestability of public service provision and use price signals more often

Reaping the full benefits of a market-oriented management approach partly depends on the strength of competitive pressures. While Switzerland relies heavily on the private sector for providing and financing key public services, weak competitive pressures have failed to keep costs low. In the health care sector, this has been reflected in the steady rise in insurance premiums paid by individuals to private companies. To relieve the pressures on low-income households, the authorities are considering a draft law to grant subsidies to the insured for whom the basic premium amounts to more than 8 per cent of the family income. Raising competitive pressures in the system could serve to reduce the budgetary impact of the draft law. This would require allowing insurers to negotiate with the suppliers of services through contractual arrangements. The cantons' contributions to public hospitals (at least 50 per cent of their costs) also reduce incentives for insurers to rely more on less expensive health care suppliers (ambulatory care and Health Care Maintenance Organisations). Effective competition at the provider level is hindered by the requirement for insurers to accept bills from all certified practitioners combined with a uniform price negotiated at the cantonal level between insurers and health care providers. In this context, the implementation of

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the proposed introduction of a refusal right for insurers would be desirable but should be extended to hospital care. However, to be fully effective, it would also require changes to the pricing of health care services (Chapter III) and to eliminate the canton's contributions to public hospitals.

The complexity and fragmentation of rules for public procurement markets also reduce competitive pressures. Cantons still apply different thresholds, procedures and criteria on public procurement markets, which often result in excluding non-local competitors. A revision to the existing inter-cantonal agreement on public procurement is under consideration and should improve the situation. However, efforts to speed up the revision and the implementation of this agreement would be desirable since its implementation is expected to take from two to four years. The competition authority's role to monitor non-competitive behaviour by government agencies should also be extended, and its resources increased accordingly. Meanwhile, transparency should be enhanced. Intensifying the use of e-procurement as in the European Union is an option, and the initiative to create an Internet site to publish cantonal public tenders, already implemented by the canton of Vaud, could be extended to all cantons.[108] In some cases however, costs of writing contracts and bidding for tenders could reduce the attractiveness of turning to competitive bidding. This, combined with significant differences in financing conditions between private and public borrowers, also contribute to explain the rather limited scope of public-private partnerships in Switzerland. Efforts to reduce these costs – *e.g.* by providing guidance and technical assistance to the cantons and by standardising the contracts – should thus be implemented to foster competitive pressures from the private sector.

In some domains, raising market pressures would also entail the more frequent use of price signals. Relying more on user charges could in fact prompt demand-side pressures for better-quality and lower-priced services. Little information is available on the use and level of user charges, largely reflecting the very decentralised institutional setting. But there are at least two domains where user charges could be increased: tertiary education and roads. Road pricing is virtually non-existent, despite its potential contribution to lower public spending on roads and to urban traffic management.[109] Increased reliance on road pricing would however require a change in the constitution, which forbids tolls on all roads. For tertiary education, private co-payments are quite low by international standards (about 1½ per cent of total university revenues in the mid-1990s, OECD 1997) while they would increase incentives to study faster and to demand a better quality of services. Raising tuition fees could raise distributional issues. However, several studies have concluded that the impact of public support for tertiary education on equity is ambiguous (Atkinson and van den Noord, 2001; OECD, 2001*d*). In any case, the adverse impact on low-income students could be cushioned by means-tested tuition fees, grants or subsidised loans.

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Reform spending assignments and funding principles across government layers

The draft law to reform spending assignments across government layers and the fiscal equalisation scheme is ambitious and lays the ground for enhancing public spending effectiveness significantly in many domains. However, it could be further improved in a few areas. For some tasks, the cantons would retain the operational responsibilities and receive conditional grants from the Confederation. These grants would no longer be based on *ex post* actual expenses but on an *ex ante* estimation of standard costs and many narrowly-defined grants would be merged into a broader envelope with key strategic objectives. This would give more flexibility to cantons on how to achieve them. However, the draft law would not allow the cantons to retain any financial surplus on a conditional grant once the strategic objective has been met as efficiency gains will have to be spent in the same area (*e.g.* forestry). This constraint may not provide the right incentives to improve efficiency and should thus be reconsidered. In addition, conditional grants should better reflect the externalities associated with the provision of public goods. One option is to rely more on a cost-benefit analysis to define the appropriate contribution from each level of government. This would suggest, for instance, raising public spending on childcare and educational facilities – with a financial participation from both the cantons and the Confederation – and lowering contribution rates for cantonal road investment. Increased public funds for childcare and educational facilities could be given to the providers. They could also be given to the parents, either as cash or vouchers so as to give more choice to the users and invigorate competition across providers.

The proposed measures to reinforce inter-cantonal co-operation should enhance cost-efficiency while avoiding a sub-optimal provision of public services. To maximise their benefits, these efforts should be complemented by several measures. The draft law's provisions should undercut free-riding behaviour by making it mandatory for cantons to co-operate in nine key areas and by prescribing that a canton using the public facilities of another one pays for the costs. However, defining a fair compensation for the providers' costs will require improving cost accounting and transparency at all levels of the Swiss administration. To extend the scope of this form of horizontal co-operation, which has often proved costly to design and monitor, the Confederation could consider providing technical and legal support.

Such co-ordination efforts should be broadened to encompass municipalities and social assistance programmes so as to avoid putting the fiscal sustainability of some large cities and poverty alleviation objectives at risk. As in other OECD countries, spatial mobility of households has limited the scope for local governments to redistribute income – as greater ambition in this field encourages an exodus of wealthy citizens and an influx of poorer ones – and has created important fiscal imbalances at the local level. Recent policy initiatives could con-

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tribute to lessen these adverse effects. In some cantons, municipalities already co-operate on social assistance programmes (*e.g.* Bern and Grisons), with a financial participation from the cantons. In addition, the draft law on spending assignments embodies a new equalisation fund, based on social and demographic variables, which could help those cantons with a disproportionate share of their population dependent on welfare programmes to fund assistance benefits. However, since this new fund would not be tied to a specific use and would be allocated to the cantons, tensions between the cantonal governments and the most affected cities could persist. There could thus be a case for harmonizing subnational governments' practices in deciding over the granting and the level of social assistance benefits, while a funding scheme could be introduced that would avoid that a disproportionate financial burden falls on large cities.

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III. Enhancing potential growth

While Switzerland is still one of the richest countries in the world, the lead over the European Union has dwindled during the last twenty years, and the negative gap with respect to the United States has widened. Part of this comparatively poor performance is explained by the prolonged stagnation of the 1990s, which contrasts with a less pronounced cycle in the rest of Europe and a strong growth performance by the United States (Figure 20). However, the trend decline suggests that there are deeper, structural factors at work that are reflected in a meagre potential output growth. This is not due to resource constraints, since investment rates have been high and potential labour supply has been well exploited, as demonstrated by low unemployment and high participation rates, even if female labour supply could grow further. Moreover, the labour force has increased through higher immigration, and population grew by 5.9 per cent during the last decade, more than in most European countries, ensuring that there will be no shortage of labour supply in the coming years. Rather, potential output has been limited by slow total factor productivity growth, which has averaged only ¼ per cent annually during the 1990s, less than in most other OECD countries (Table 17). Price levels are also very high in international comparison. The price of a large basket of goods is about 33 per cent higher than in the European Union, and 15 per cent above the US level, despite a lower standard of living.

Productivity and price comparisons suggest that Switzerland could benefit from a wide-ranging structural reform programme. The government implemented such a programme in 1993 (the so-called "revitalisation programme"), after participation in the European Economic Area was rejected by the Swiss people in a referendum in December 1992. It included reform initiatives in agriculture, energy markets, telecommunications, transport and competition policy, and the negotiation of bilateral agreements with the European Union to co-operate more closely in vital areas, which should enter into effect this year and will be extended to new issues (Box 7). Reforms in some sectors have been important; for instance in telecommunications, where the partial privatisation of Swisscom was accompanied by greater competition with other operators. But in other areas policy initiatives were timid. Changes in agricultural policy, for instance, have been successful in moving towards environmentally sounder agricultural practices, but not in reducing

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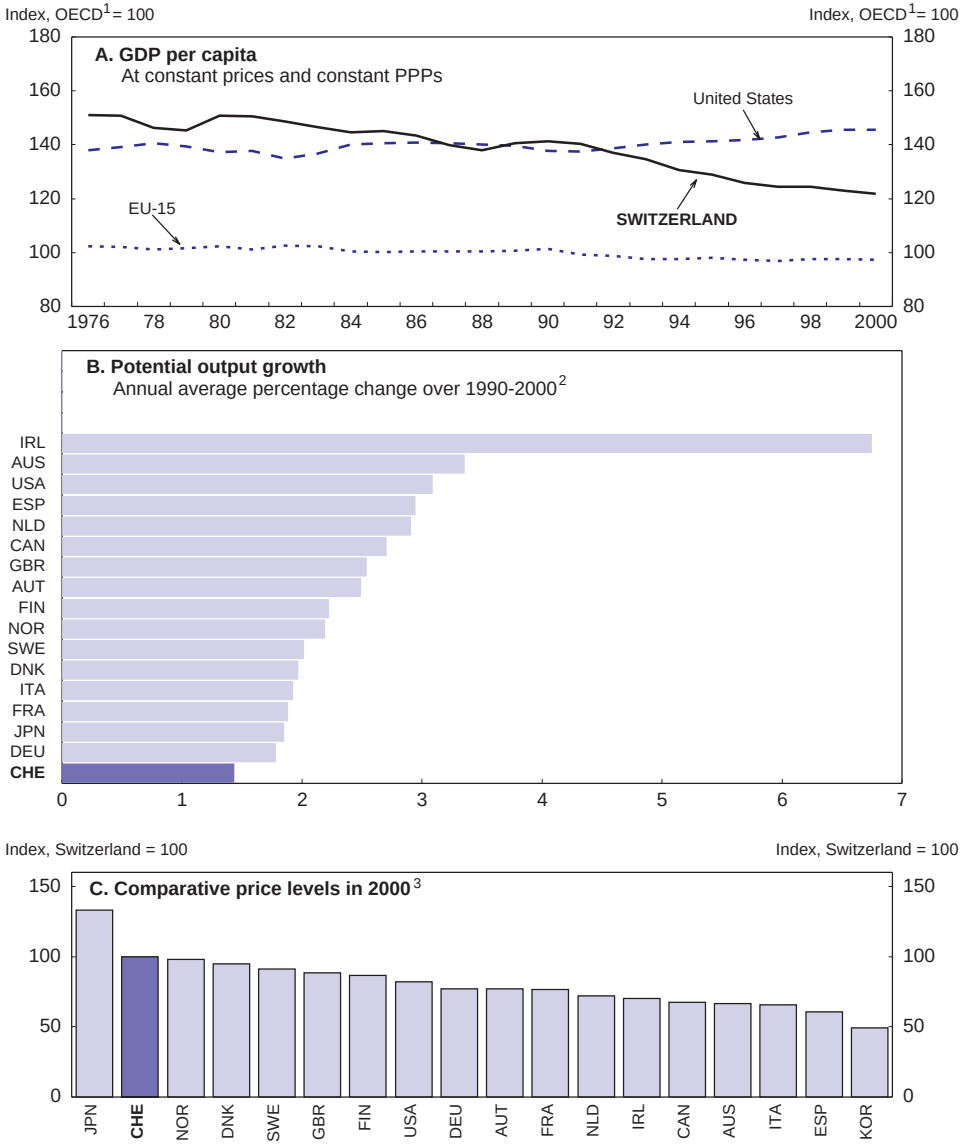
Figure 20. **Output growth and price levels**



1. Excluding Czech Republic, Hungary, Poland, Slovak Republic and Switzerland.
2. For Germany, 1992-2000.
3. Defined as the ratios of the purchasing power parities (PPP) for private consumption expenditure to exchange rates. PPPs for all countries are OECD estimates. For each country the figure shows the number of specified monetary units needed to buy the same Swiss representative basket of consumer goods and services.

Source: OECD, *Quarterly National Accounts* and *Main Economic Indicators.*

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Table 17. **Decomposition of potential output growth**
1981-2001,[1] annual averages, per cent

	Switzerland	United States	Germany	France
Potential output growth	1.6	3.1	2.1	2.2
of which contribution of:				
Capital stock	0.9	1.0	0.7	0.9
Trend labour efficiency	0.3	1.2	1.5	1.4
Trend hours	–0.2	0.0	–0.5	–0.4
Potential employment	0.8	1.1	0.3	0.3
of which:				
Working-age population	0.5	0.7	0.3	0.3
Trend participation rate	0.3	0.2	0.1	0.0
Structural unemployment	0.0	0.2	–0.1	–0.1

1. For Germany, it excludes 1991.
Source: OECD estimates.

protection in a sector which has a clear comparative disadvantage. Changes to competition policy (like the Cartel Law or the Domestic Market Act) have also proved insufficient, and intended goals were often not met. Competition policy is currently being strengthened. The new electricity law is also an important step towards raising efficiency and lowering energy prices, but risks being rejected by the Swiss people.

Several features should, in principle, favour a much better long-term growth record. Among them is a high degree of integration in the global economy, a good infrastructure, an improved macroeconomic policy framework and a well-performing education system. Moreover, the labour market functions well. There are weaknesses in product markets, however, where a competition policy with teeth is needed, including the strengthening of independent regulators. This chapter highlights the weaknesses in product markets, and also includes a short review of health expenditure and of financial and labour markets. The chapter concludes with an assessment of the benefits that reforms could bring through efficiency gains and price reductions. The major recommendations for further reforms are summarised in Table 18.

Product market reform

Promoting competition should play a central role in economic policy

Competition policy is a key factor for enhancing efficiency and productivity, and in this area Switzerland has ample room for further improvement. Efforts by the federal government to strengthen competition during the second half of the past decade were important, but have had a limited effect so far. Two policy

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Box 7. Towards a second round of bilateral agreements

The first round of bilateral agreements with the European Union was signed in June 1999 and was ratified in October 2000 by Switzerland and in the course of 2000 and 2001 by the EU member states. Belgium was the last one to ratify the agreements in February 2002. The agreements touch several areas that fill the gap left by the refusal of the Swiss people to join the European Economic Area, and will probably come into force in May or June 2002. The issues covered include air transport, agriculture, research and development, public procurement, and especially the agreement on land transport (see below) and on the free movement of persons, which were particularly contentious (OECD, 1999*a*). A new round of negotiations has started in July 2001, including 10 issues. Apart from the taxation of income from savings paid to non-resident individuals (see below), an important area will be the fight against customs fraud in the field of indirect taxation. The European Union would like to have access to information on matters related to customs fraud and other illegal activities through the judicial and administrative system. The Swiss legislation is more lenient in this case and allows cooperation in case of fraud but not in case of simple tax evasion. The illegal activities that are subject of the negotiations often concern smuggling of cigarettes, alcohol and electronic goods, and results in a considerable loss of indirect tax receipts by EU countries. Switzerland seems ready to accept several of the EU's demands, like the possibility to extradite offenders, the disclosure of bank information in case of fraud and smuggling and co-operation in cases where smuggling is not passing through Switzerland. However, the Swiss authorities would like to limit the agreement to a list of specific cases (like cigarettes, alcohol, fraud in agricultural subsidies, etc.) and avoid the lifting of bank secrecy in unspecified cases. Another major issue in the negotiations is the participation of Switzerland in the Schengen space, which would improve co-operation with the EU in the field of internal security. Other issues include: the liberalisation of services, which would allow the provision of services in neighbouring countries without the need to establish a subsidiary, and would especially benefit financial companies and professionals; the reform of the price compensation mechanism in trade of processed agricultural products; harmonization of statistics with Eurostat requirements; and co-operation on environmental and education issues.

initiatives to promote the liberalisation of markets for goods and services were taken: a new Cartel Act was approved in 1995 that addresses anti-competitive behaviour of cartels, and a Domestic Market Act was adopted in 1998 that aims at implementing a true internal market, mainly in the areas of public procurement (see Chapter II) and freedom to provide professional services.

Cartels cannot be forbidden without changing the federal constitution, which would have been difficult and slow. To circumvent this problem, the law

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Table 18. **Recommendations for further structural reform**
Based on previous and current *Surveys* and action taken since end of 2000

	Recommendations	Actions taken
	Product markets	
2000	Amend legislation to prohibit cartels and penalize uncompetitive behaviour.	Reform of the Cartel Act under preparation. It will introduce penalties also for first infractions and encourage the denouncing of illegal practices.
2000	Strengthen resources of the COMCO.	Reform of the cartel law foresees a strengthening of resources.
2002	Allow for parallel imports.	Limited liberalisation under preparation.
2002	Reform the Domestic Market Act to introduce freedom of establishment and give more powers of appeal to the COMCO. The COMCO should be able to produce general reports on competition and comment on any proposed cantonal law.	
2002	Introduce measures to improve corporate governance.	Voluntary code, that falls short of best practice, under preparation. A more detailed code and, possibly, new legislation will apply to listed companies.
1999	Lower agricultural protection.	A general outline for reform up to the year 2007 will be submitted to Parliament in June 2002.
2000	Accelerate deregulation of electricity and gas markets by adopting best practice of EU countries.	Electricity reform approved by Parliament, but will be challenged by referendum.
2000	Unbundle local loop; encourage the development of wireless local loop.	Licenses of radio access to the local loop auctioned in 2000.
2000	Open postal services and railway transport to competition.	Preliminary plans to reform the Post Office. Railway reform started in 1999.
2000	Introduce more flexible shop opening hours.	The largest canton (Zurich, 1/6th of population) liberalised shop opening hours completely in 2000 exercising pressure on neighbouring regions.
2002	Progressively open the air transport sector to foreign competition and avoid further intervention in Crossair/Swissair.	An open sky agreement was passed with the US and bilateral agreements with the EU will come into force in 2002; grandfathered rights on remaining lines will expire by 2008.
	Labour markets	
1997	Regional Placement Offices (RPOs) to focus on reducing the duration of unemployment of job losers.	Benefits duration introduced as a criterion in the evaluation of RPOs.
2000	Put conclusions from ALMP evaluation into practice.	Most recommendations implemented.
2000	Lower maximum duration of unemployment benefit eligibility.	Draft reform to reduce maximum duration from 520 to 400 days for workers aged under 55.
2000	Prepare careful evaluation of the new PES.	Evaluation under preparation.

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Table 18. **Recommendations for further structural reform** (*cont.*)
Based on previous and current *Surveys* and action taken since end of 2000

	Recommendations	Actions taken
2002	Provide more work opportunities for involuntary part-timers; develop child care facilities to encourage female participation.	
	Financial markets	
2002	Privatise cantonal banks and pursue their social policy objectives more transparently.	
2002	Increase further the resources of the anti-money laundering regulator and assess the effectiveness of self-regulation.	Resources increased, but further increase might be warranted.
	Reform the tax system	
1999	Align the remaining three cantons to the system of income tax collection assessed on current year income.	Implemented.
1999	End the time-limitation of the federal government's power to raise income taxes and VAT.	Needs reform of Constitution.
1999	Replace the progressive tax on corporate income prevailing in many cantons by flat rate tax on corporate profits.	Several cantons have switched to a proportional rate in past years.[1]
1999	Amend tax treatment of funds of non-residents in a way that makes them less attractive as vehicles of tax evasion.	Ongoing negotiations with the European Union on taxing income from savings.
	Sustainable development	
1996	Reduce polluting farming methods.	Direct subsidies to agriculture linked to sound practices.
1996	Monitor carefully the path of annual CO_2 emissions to secure Kyoto objectives, and impose a CO_2 tax if the target is likely to be missed; the introduction of tradable emission permits should be considered.	The introduction of a CO_2 tax will be possible as from 2004 in case contractual and voluntary actions turn out to be insufficient.
	Ageing and health care	
2000	Improve regulation of pension funds to help improve their returns on assets. Enhance transparency and regulation of funds.	Every pension fund has to set up its rules on how it intends to exercise its shareholder rights.
2000	Consider raising retirement age.	None.
2002	Withhold the obligation for insurers to contract with all doctors.	Under discussion in Parliament.
2002	Reform the financing system of hospitals.	Under discussion in Parliament.
2002	Implement measures to cut spending on pharmaceuticals; remove barriers to pharmaceutical imports.	Limited progress through various reform measures.

1. Nine cantons now have a flat rate, eight cantons do also have a flat rate but apply a lower rate to profits up to a certain threshold, while nine cantons still have a tax rate increasing with the rate of return on own capital. In 1989 only two cantons had a flat rate.

Source: OECD.

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of 1995 presumes that competition is suppressed when agreements between the competitors fix prices, restrict quantities to be put on the market or separate markets geographically. Under the new law the Competition Commission (COMCO) has carried out numerous investigations on potentially illegal agreements and abuse of a dominant position.[110] Some of the cases already closed have finished with agreements to stop illegal behaviour. However, the law has a fundamental weakness when it comes to sanctions. Sanctions can only be applied in the case of repeated malpractice and therefore do not provide strong incentives to abstain from anti-competitive behaviour in the first place. Up to now there has not been any sanction for repeated malpractice.

The government has proposed a reform of the law that would increase sanctions for hard cartels. The reform project was submitted to Parliament in November 2001, and should be discussed during 2002 and enter into force in 2003. Sanctions would be imposed on companies that participate in hard core cartels (those that fix prices) or abuse their dominant position. For these types of behaviour, the fine will be determined by the Competition Commission based on the sales value of the previous three years, and could be up to 10 per cent of the sales value, depending on the seriousness of the offence. The sanction could also be linked to the gains made by the offender as a result of its anti-competitive behaviour. For any other type of anti-competitive behaviour, the current practice of only sanctioning repeated offences will remain. Another important element of the reform will be the inclusion of incentives to denounce forbidden horizontal agreements. The first company to declare its participation in such agreements and to provide proof of an agreement will not be subject to sanctions by the competition authority. Moreover, companies that subsequently declare their participation and co-operate in prosecuting the cartel will be rewarded with lower sanctions. Such leniency programs have been introduced with success in other countries in order to detect illegal agreements (Box 8).[111] The current draft reform does not deal with vertical agreements between producers and resellers, although the National Council might introduce this point in the debate of the law. The issue arises when producers impose prices on distributors, who cannot use parallel imports to obtain lower prices. For instance, this happens when goods are protected by patents. At the same time, in January 2002, COMCO indicated its intention to publish new rules applying to vertical agreements. In particular, below a 10 per cent share, companies will have a safe harbour except for vertical agreements that fix prices or establish exclusive territories which will be declared illegal if they cannot be justified by the economic efficiencies they generate.

In some countries professional services are heavily regulated, often shielding incumbents from competition. The situation is probably even worse in Switzerland, as cantonal governments have extensive powers and cantonal regulations often lead to market segmentation.[112] Since the approval of the Domestic Market Act (DMA), cantons have, in principle, to recognise degrees and titles to

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Box 8. The vitamin cartel

A clear illustration of the inadequacy of the current regulatory framework is provided by the vitamin cartel case. In November 2001 the European Commission imposed its largest ever sanction on this cartel, which operated in Europe between 1989 and 1999, manipulating prices and fixing production quotas. In 1999, the same cartel had been investigated in the United States and sanctioned with heavy fines. The Commission considered proven that the cartel was instigated by Hoffman-La Roche, a Swiss multinational, which will have to pay the largest sanction of the group (EUR 462 million, or CHF 675 million). A French firm, Aventis, received a very low fine because it collaborated with the Commission and provided key information for the discovery of the cartel. Total sanctions reached a maximum of 2.6 per cent of the annual world sales of the firms involved (EU regulations allow for fines of up to 10 per cent). In Switzerland, the COMCO carried out a ten-month investigation, which ended with a simple promise by the companies involved to stop the cartel. Under the current Swiss legislation such a cartel could not be sanctioned, since it was the first time that the existence of a cartel had been proven. Likewise, the co-operation of Aventis and other firms could not have been rewarded in Switzerland with lower fines.

exercise a profession awarded in other areas, and the law established a two-year period to adapt legislation in order to eliminate entry barriers. However, up to now, the law seems to have failed to create an integrated market. A report by the Office Parlementaire de Contrôle de l'Administration (OPCA, 2000) highlighted that little progress had been made in harmonising legislation, for which there are several reasons. F*irst*, the law itself is not constraining enough, since cantons may refuse to open a market under certain conditions for public interest reasons. These exceptions are often invoked, precisely in those sectors where entry barriers are higher. S*econd*, the Federal Tribunal has given a federalist interpretation of the law that favours cantons almost systematically and allows market fragmentation to persist. T*hird*, companies and individuals can go through a judicial process to remove market barriers, but not many do so since the result of a complaint is uncertain and the procedures are expensive. Therefore Parliament started the discussion of a proposal to give the COMCO the power to appeal to the Federal Tribunal if it considers that decisions by cantonal tribunals do not fulfill the requirements of the DMA. A parallel proposal to give a hearing to the COMCO in the Federal Tribunal was rejected.

An effective competition policy is essential to raise productivity. Any type of anti-competitive practice should be sanctioned to give the right signal that anti-competitive behaviour will be punished. In this context, the reform of the Cartel

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Act is a step in the right direction. The criteria to determine sanctions should be periodically revised to ensure that they provide sufficient incentives to attain their goals. Moreover, the possibility of imposing penal sanctions on managers could also be considered. Liberalisation of parallel imports would also be an important element for lowering margins and prices, and the recent initiative by the National Council to include this in the draft law is welcome. As for the DMA, a reform is needed to avoid interpretations by the tribunals against the spirit of the competition laws. For example, a specific reference to freedom of establishment should be included in the DMA. The powers of the competition authority need to be extended in several respects. The COMCO should be allowed to comment on every draft law at the cantonal level, in order to determine if they are in accordance with competition principles, and should be given the right of appeal on any matter concerning competition. As in other countries, the COMCO should publish annual reports on competition developments and point to the areas in need of reform. Finally, in order to fulfil its objectives, the COMCO needs more resources. The commission is composed of 15 members (who do not work full time) and its secretariat comprises only 45 persons, less than in other European countries of similar size (such as the Netherlands or Finland).

Corporate governance is in need of reform

The collapse of Swissair (see below) has raised corporate governance issues. It has been argued that the board of Swissair did not have enough information to assess the gravity of the financial situation of the company prior to the crisis, and was thus not able to foresee its bankruptcy. More generally, the lack of pressure from shareholders and the lack of separation of the board from management reduce incentives to adopt best practice and thus weakens performance. In many Swiss companies the board is headed by the firm's manager, which reduces the scope for effective control of management decisions. Moreover, cross-participation in the boards of different companies is widespread, and therefore conflicts of interests are likely to arise. In some Swiss multinationals, voting rights are limited,[113] while pension funds are seldom active shareholders, which might explain in part their poor returns (OECD, 2000).

In 1998, the OECD published a code of good governance for corporations (OECD, 1999*b*) that summarises the practices in Member countries that have proven useful to defend the rights of owners and stakeholders, and also to implement a transparent relationship between shareholders, the governing board and the management of companies. In Switzerland, an initiative was launched by the employers' association to elaborate a code, to be implemented on a voluntary basis, which should be published during the first half of 2002. Unfortunately, the first draft of the code does not always correspond to best practice. In order to be effective, the code should stress those principles that are likely to reinforce share-

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holder rights and the independence of the members of the board. The principle of "comply or explain", by which companies must justify why they do not apply some elements of the code, should also be adopted. Such a rule will be imposed on listed companies by a directive the board of the Swiss stock exchange (SWX) will adopt by mid-April 2002. The authorities could also promote its application by enforcing some of the principles by law. Suppressing limits on voting rights should be a priority. Limiting the participation of a single member in a maximum number of company boards would help reduce conflicts of interest. Likewise, a minimum number of independent members on the board, especially when the board director is also the firm's manager, would help to enhance its supervisory role, thus reducing the risk of company failure for lack of appropriate scrutiny.

Support to agriculture should be reduced

Agriculture represents about 1.5 per cent of GDP and employs less than 3 per cent of employment. The sector has relatively low productivity, especially in mountain areas, and is heavily subsidised. Total aid to agriculture, as measured by product market support (PSE) was 71 per cent of the value of farm production in 2000, barely down from the peak of 73 per cent in 1987[114] and was among the highest in the OECD (Figure 21). Employment in agriculture is currently higher than at the beginning of the 1990s.

Agricultural policy is framed and paid for by the Confederation, and implemented in association with the cantons. The policy strategy in recent years has been to reduce price support and increase direct support, in order to maintain incomes, while distorting prices less. The latest policy initiative (Agriculture Policy 2002) started to be implemented in 1998 and has substituted guaranteed milk prices (the largest and most competitive sector) with target prices.[115] Direct support has increased from 21.9 per cent of total support in 1990 to 65.6 per cent in 2000, and is expected to rise further to 69.6 per cent by 2003. Direct payments encourage environmentally friendly practices, and have led to a lessening of environmental pressures.[116]

Although price support has been reduced, the declared objective of Agriculture Policy 2002 to reduce the price gap with the European Union to half the 1998 gap has not been attained, since the gap has remained unchanged at around 40 per cent. This suggests that the progress made in terms of instilling greater competition has been limited at best. In addition, the gap between producer and consumer prices seems to have widened in the last two years due to increasing distribution margins, and cross-border "food tourism" is very active, which points to the need to liberalise wholesale and retail distribution, where the presence of foreign competitors is very small.

A new policy initiative (Agriculture Policy 2007) will deepen the current reform by further substituting direct payments for price support. Although the

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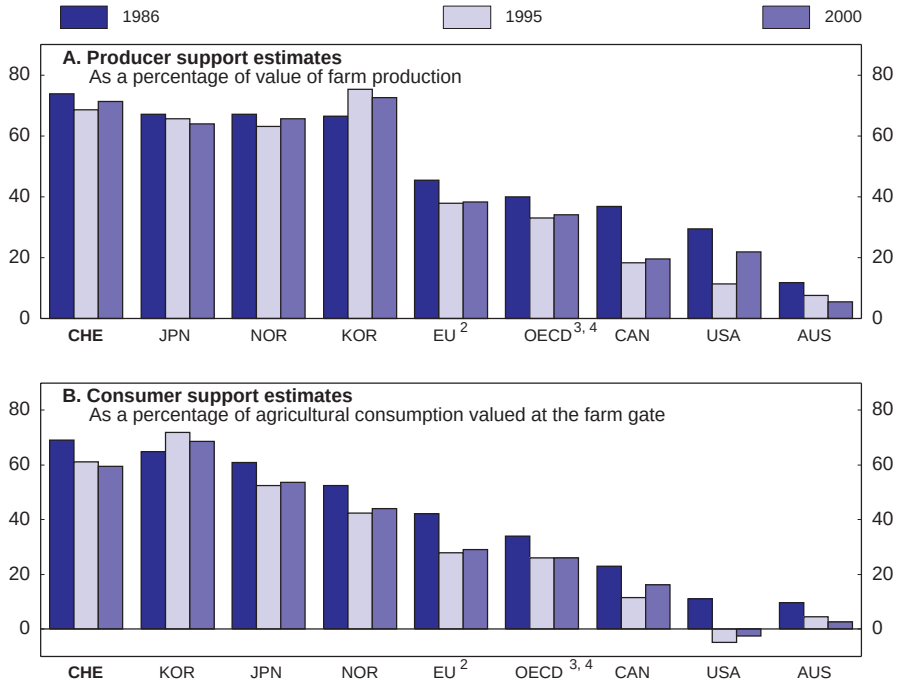
Figure 21. **Producer and consumer support estimates for agriculture**[1]
Per cent



1. For detailed explanations, see Source.
2. EU-12 for 1986, EU-15 from 1995.
3. Austria, Finland and Sweden are included in the OECD totals for all years, and in the EU from 1995.
4. OECD excludes Czech Republic, Hungary, and Poland for 1986.

Source: OECD, *Agricultural policies in OECD countries – Monitoring and evaluation,* 2001.

level of aid has not been specified yet, the preliminary goal is to freeze market support in nominal terms and increase direct support in line with inflation. However, considering the progress achieved so far and the high cost of agricultural policy in efficiency and budgetary terms (close to 8 per cent of the Confederation's total spending), the reform is insufficient. Direct payments linked to the use of specific inputs still encourage production, and could be partly used to help those farmers who abandon activity. Moreover, while the pursuit of environmental goals through agricultural practices is commendable, it is only a second best to abandoning inefficient farming. Costs of environmental goals should be identified separately from income support to agriculture. Transparency would help in

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determining whether the environmental objectives could be achieved more cheaply through direct action instead of linking them to agricultural production.

Electricity and gas reform will bring large efficiency gains

The electricity market is characterised by a large number of local and regional monopolies in generation and distribution. There are six large, vertically-integrated electricity companies, along with more than 1 000 companies that operate at the local level. Many of these are publicly-owned, and in some cases their accounts are not clearly separated from those of municipalities. Overall, 71 per cent of the electricity sector is in public hands. Regional and local governments also intervene through regulation and taxation, and very often these taxes constitute a sizeable share of their revenues.[117] Even though most of the electricity produced is generated by hydropower and nuclear plants, with relatively low marginal costs, final prices are higher than the OECD average, in particular for business users (Figure 22). The wide price dispersion across regions also suggests that the potential gains of an integrated market could be large.

In 2000, the Swiss Parliament approved a reform of the electricity market that will phase in competition over six years. The law broadly follows the EU's liberalisation approach, including a progressive phasing in, although several EU countries have already liberalised their electricity sectors and all of them will have completely liberalised before Switzerland. The two pillars of the reform are third party access to the electricity network and separation of generation, transmission and distribution, at least from an accounting point of view. The opening of the market will take place in three steps, giving first large customers (30 per cent of total consumption) the provider choice; medium-sized customers (adding up to 50 per cent of the market) will be able to choose three years later, and the other consumers after a further three years.[118] Transmission will be operated by a single company, which will ensure equal conditions for all actors (generators, suppliers, traders and consumers) on the highest tension level of the grid. Cantons will be in a position to influence prices in the distribution grid by defining regions where uniform prices for distribution have to be applied and they will also be able to continue to levy user charges. Besides, grid charges will be defined at the federal level in a subsequent regulation (*ordonnance*) already drafted which combines a regulation based on rates of return with a benchmarking approach that could be developed further. As an arbiter, a commission will ensure that access to the grid is granted in an objective and non-discriminatory way, since fair transmission prices and a guaranteed access to available transmission capacity are key elements for effective competition across the entire country.

Compensation payments for stranded costs of current monopoly providers have been discarded,[119] though the federal government is ready to provide loans with favourable conditions to those producers that suffer from financial

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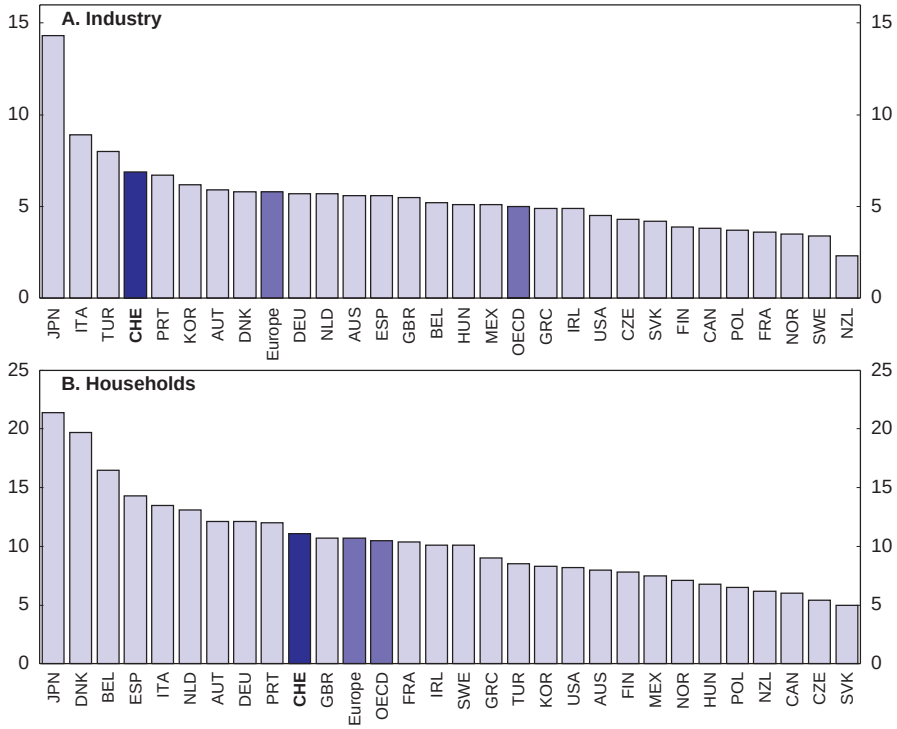
Figure 22. **Electicity prices for industry and households**[1]
In US cents/kWh



1. In 2001 or latest available year.
Source: IEA, *Energy prices and taxes, 4th quarter 2001*.

problems under the new competition regime (mainly hydropower plants in mountain areas). The government should ensure that such loans are given under transparent criteria and do not give a competitive advantage to existing operators. The reform will be challenged by a referendum that will probably take place in September 2002. Trade unions oppose it, and the example of the California black outs is often cited by those who oppose liberalisation. Given the large potential for economies of scale, the reform should help to increase efficiency through mergers, while lowering grid tariffs and reducing price differences across regions. It should therefore benefit electricity consumers by lowering prices, as in other countries where reform is at an advanced stage (Box 9).

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Box 9. Advantages of the liberalisation of the electricity sector: the international experience

The international experience shows that, when well designed, the liberalisation of the electricity sector should bring clear advantages to the economy in terms of efficiency gains and lower prices. The European Union directive on electricity liberalisation sets specific deadlines for liberalising electricity markets, which in many cases have been brought forward. The cases of the Nordic countries, Germany and the Pennsylvania-New Jersey-Massachusetts area in the United States show that reform of this sector can be a success. Germany, in particular, provides a good case for comparison, since it is a direct competitor to Switzerland in many sectors. Though far from perfect, the reform, implemented in 1998, has resulted in large price reductions for businesses (between 15 and 20 per cent) and more moderate ones for households. Medium-sized enterprises have been able to pool their electricity demand in joint offers in order to obtain better terms of negotiation. Lower prices are not only due to diminishing monopoly rents, but also to efficiency gains, since the need to compete has forced some generators to merge.

In general, to be successful, electricity reform must meet certain requirements (OECD, 2001*a*). These include the actual use by electricity consumers of their freedom to move between suppliers; a clear separation of transmission from generation; the possibility to make bilateral long-term contracts, in order to facilitate stable relationships between providers and consumers; and the existence of a large number of sizeable generators. Electricity transmission remains a (natural) monopoly in most countries. Its regulation and supervision by a strong independent body must ensure that there is no abuse by incumbent operators, and that the benefits of reform reach the final consumer.

Public support for electricity reform in Switzerland and elsewhere has diminished following the electricity crisis in California during the summer of 2000. However, the situation in Switzerland is fundamentally different from that in California, where transmission links with other states are minimal. The European transmission networks are highly interconnected, as shown by the important role of Switzerland as both an importer and exporter of electricity. Eventual production shortfalls could easily be solved by imports from neighbouring countries. Moreover, the current capacity of electricity generation is much higher than demand, and adequate surveillance by the regulator should help to foresee future investment needs. In California, adding to market segmentation, there were also regulatory flaws, like the cap on prices paid by captive customers, the limited independence of the electricity regulator, legal limitations to long-term bilateral contracts and a deficient regulation of the spot electricity market, which was driven by a small number of generators who were able to set prices 80 per cent of the time.

Reform of the electricity market should be complemented by a gas sector reform. The share of natural gas in Switzerland is between 12 and 14 per cent of total energy consumption, less than in other OECD countries, since it is barely

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used for electricity generation. Gas is distributed through regional monopolies, which are publicly-owned, and also control the gas importer Swissgas, although the sector is less fragmented than electricity distribution. Pre-tax gas prices are higher than in most EU countries, including for instance Austria, a country with a similar topography. A reform should separate the companies that import, transport and distribute gas, and secure third party access to natural gas imports and to the transmission network. The resulting price reductions would favour final consumers, and could foster the development of gas-fired electricity generation.

Reform in telecommunications should continue

Liberalisation of the telephone market started in January 1998 when Swisscom was separated from the Post Office and partially privatised. Swisscom has remained in public hands (65.5 per cent) and there are no plans for full privatisation. New entrants have started providing fixed telephony services, but their market share is not known since these data are legally protected. Interconnection charges to the Swisscom network are based on long-run incremental costs (LRIC), which is recommended by the OECD, and they have fallen quickly, while final prices are below the OECD average (Figure 23).[120] Unbundling (physical access of competitors to the local loop) has not been implemented yet, as the law does not oblige Swisscom to do so. An initiative of the sector regulator (COMCOM) to unbundle the local loop will not be possible to apply, as a decision of the Federal Tribunal regarding leased lines has been interpreted as saying that unbundling will require legal changes. On the other hand, broadband data and voice transmission, which are essential for effective Internet use, have been liberalised. Cable networks are highly developed, covering 73 per cent of households. Cablecom, the cable subsidiary of Swisscom, was sold to a foreign operator in March 2000, provides high-speed data transmission services and considers offering fixed telephony services. More than 15 companies compete in the provision of xDSL technologies (which allow for the access to broadband data through traditional copper lines), mostly using Swisscom's network.[121] As in the case of basic telephony, competition in xDSL services would be enhanced if unbundling of the local loop were adopted quickly, allowing providers to improve the range of service and pricing options. Universal service obligations are still being met by Swisscom. The provision of universal service will soon be awarded by concession. If the most favourable of the submitted offers needs to be subsidised, it will be paid by the other operators on a cost basis.[122] For areas with costly access, the cheapest alternative will be developed (mobile connections in many instances).

In mobile telephony, two companies compete with Swisscom, whose market share has fallen from 100 per cent in 1998 to 67.7 per cent in June 2001. However, mobile prices remain high in international comparison, while penetration of mobile telephony has been fast, reaching 70.2 per cent of the population in

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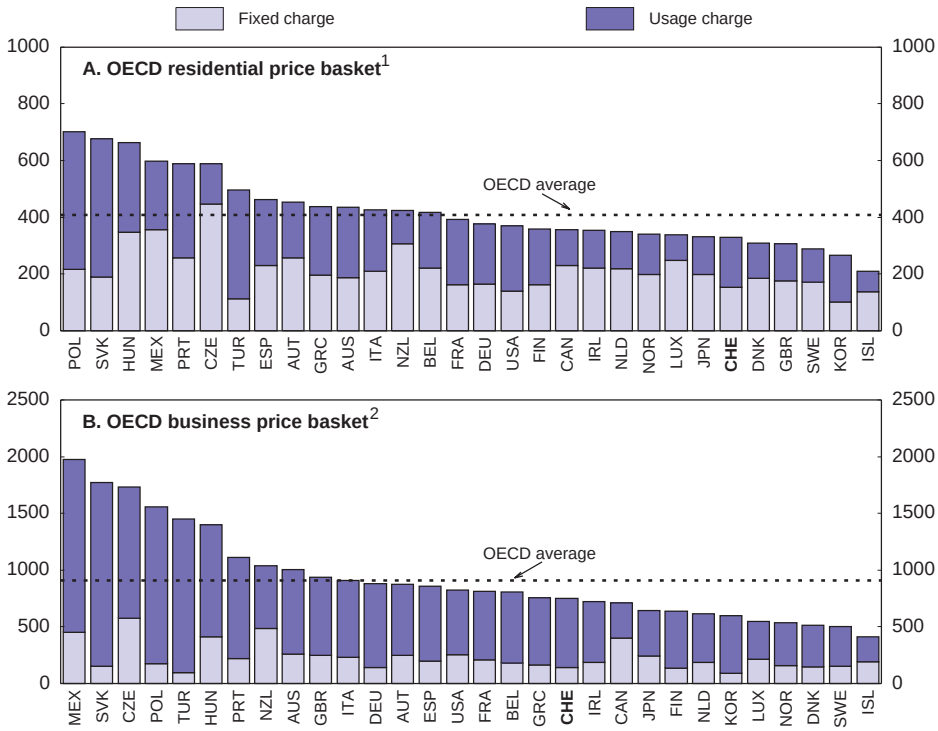
Figure 23. **Telecommunications prices**
In USD PPP, February 2002



1. Including VAT. The usage charge includes a basket of 1200 national calls.
2. Excluding VAT. The usage charge includes a basket of 3600 national calls.
Source: OECD, *Communications Outlook* database.

June 2001. Four licences for third generation mobile telephony were auctioned in fall 2000, the price having been much lower than in countries where the auction had taken place a few months earlier. UMTS providers have made investment commitments for the end of 2002 and 2004, although the uncertainties that surround the development of these technologies make these objectives very difficult to attain.

The authorities should ensure that it is possible to adopt new technologies quickly in a competitive environment. To increase competition in fixed telephony, the unbundling of the local loop should be implemented soon, if necessary by reforming the 1997 law, since it is a key element in the development

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of effective competition from new operators. Information on the market share of competitors should also be made available to allow an effective follow-up of competition developments.

The Post Office needs restructuring

In 1998, the Post Office was separated from Swisscom and was given greater management autonomy. The postal service was at the same time partially opened to competition, with the Post Office holding the monopoly for letters and for parcels of up to two kilos. This compares unfavourably with the European Union's liberalisation agenda, where only parcels of up to 300 gr. are subject to the monopoly. Even for parcels of over two kilos, the Post Office retains a large market share (85 per cent), although it has fallen in recent years. The Confederation plans to continue the opening of the market in parallel with the EU, which will liberalise the delivery of all parcels by 2005, although letters will probably remain under monopoly. Following public consultation, the Federal Council will decide in May 2002 on the proposals for reform to be submitted to Parliament. With liberalisation, the Post Office will need to restructure in order to face competition from private companies. Currently Switzerland has a very high density of offices (one office per 2 128 inhabitants), some of them being little used. About 75 per cent of the post offices do not make profits. A recent reform plan includes the reduction in the number of fixed offices and their substitution by mobile offices in order to reduce the current loss, which amounts to CHF 500 million per year. The plan has been strongly contested by trade unions and by groups that defend the presence of a post office in remote areas for regional policy reasons, even though the density of offices projected by the current plan would still be higher than is currently the case in Germany or France. In order to prepare the Post Office for competition and for the likely reduction of prices of postal services, restructuring should be a priority. At the same time, the universal service obligation should be clearly defined in terms of service provided, without prescribing the infrastructure required to fulfil it. The cost evaluation of universal service obligations for liberalised and non-liberalised segments should be separated, so that transparent financial arrangements exist for providing both of them.

Transport policy promotes rail transport

Land transport policy has focused on shifting traffic from road to the railways, especially for freight transport, in order to reduce external costs. This is even incorporated in the federal constitution. Official studies suggest that annual external costs are high, health costs due to pollution alone amounting to more than CHF 3 billion (0.8 per cent of GDP). Traffic volumes passing the Swiss alpine roads have increased from 2 700 trucks per day in 1990 to 5 300 in 2000. The projected increase in traffic can not be met by the current highway network without

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putting it under considerable strain.[123] The strategy of shifting from road to railway transport relies on the taxation of trucks, together with investment in rail infrastructure and reform of the railway sector. The bilateral agreement on land transport with the European Union has established a new system of taxing trucks, which is now related to the weight of the lorry, the category of truck (discriminating against more polluting vehicles) and distance driven (1.7 cents per tonne-km), thus internalising some of the external costs of road transport.[124] In exchange, Switzerland has agreed to allow heavier lorries than before (34 tonnes instead of the 28 tonnes since 1 January 2001 and 40 tonnes in 2005). Road will continue to be cheaper than railways, although it is planned that the tax will increase in 2005 and further in 2008 (to 2.5 and 2.75 cents per tonne-km, respectively).

Switzerland has an efficient network of railway transport (OECD, 1995).[125] With the railway reform that started in 1999, the accounting of the track was separated from the rest of the company and its use was opened to other providers. The state owned Swiss Federal Railways was given more independence, and as a result its accounts have improved in 1999 and 2000 after a marked deterioration in the mid-1990s.[126] This reform was accompanied by other measures to partially liberalise the sector. Freight transport has been opened to Swiss competitors, and currently more than twenty other companies have licences to operate on the railways' network. Non-regular lines of passenger transport have also been opened, but regular services will not be liberalised. In a few cases, the provision of regional passenger transport services were subject to a tendering procedure. Large investments, mainly in three major projects, are planned. F*irst*, the ongoing Railway 2000 programme will reduce interconnection times by ensuring that all trains stop at given times (every hour or half an hour) in railway stations. To allow for this, investment will increase traction capacity and improve tracks to reduce transport times between some nodal points. S*econd*, two new long tunnels will be constructed through the Alps to considerably increase trans-alpine railway capacity. T*hird*, high-speed railway connections between the East and the West of the country, and with foreign lines, will be established.

Switzerland is a transit country for railway transport, and therefore any strategy must be co-ordinated with foreign partners. Some of the problems in service quality stem from border delays and can only be solved through collaboration with neighbouring countries. The harmonisation of the traffic signalling system that will soon be adopted in the European Union provides a good opportunity in this respect. Apart from the planned investments, the competitiveness of the railway *vis-à-vis* road transport is expected to increase because of the already implemented right of access to other railways' network, and the bilateral treaty with the EU, which opens the Swiss railway network to foreign companies. The effective separation of the railtrack from the operations of Swissrail would create a level playing field for competitors, whose market share remains very small (below 1 per cent). Finally, the costs and benefits of road and railway freight transport

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should be assessed periodically, and the road haulage tax re-calculated accordingly to adequately reflect its true external costs.

The Swissair "affaire" has been costly

The abrupt fall in air traffic that followed the September terrorist attacks in the United States seriously affected Swissair, the main national carrier, and accelerated the deterioration of its financial performance, leading to bankruptcy. During the 1990s Swissair had expanded quickly in Europe, taking stakes in other carriers in a difficult situation, like Sabena. The company was a high price/high quality carrier that had higher wages than Crossair, the Swiss regional carrier, and suffered from financial difficulties in recent years.[127] Swissair used Zurich airport as a hub for inter-continental flights, and served an extensive list of destinations world-wide. In response to the Swissair crisis, a rescue plan was designed ensuring that its assets will be grouped with those of Crossair. Basically, federal aid consisted in a loan to Swissair amounting to CHF 1.45 billion to maintain reduced services until 31st March and in a participation of equity capital in the new company of CHF 600 million. The loan has been paid out in instalments. It will not be fully used. Thus the aid will be smaller than indicated in the above mentioned figures[128] (equivalent to 0.5 per cent of GDP). The public stake in the new Crossair will be 38 per cent.[129] The new company has retained two-thirds of Swissair's planes, while 5 000 workers were laid-off out of a total of 25 000. With the new carrier Zurich airport will maintain its status as an international hub.

Public support has focused on avoiding a major shock to national confidence, on retaining a national champion, on limiting layoffs and on keeping the international status of Zurich airport, albeit at a high cost. Job cuts have not been larger than those of other carriers after the September attacks, even though most were in a better financial position.[130] Even after the planned reduction of aeroplanes, the number of aeroplanes of the national flag carrier per inhabitant will remain very high.[131] Furthermore, as pointed out by the new management, the future of the newly created company is not assured, and will depend on the future evolution of traffic demand and on the forging of alliances with other companies.

The infrastructure needs, including the number of aeroplanes of the new company and the status of Zurich airport, would be better determined by market forces. The social costs associated with this approach, though important at an individual level, should not be overrated as the labour market is still very tight and laid-off workers should be absorbed rapidly. The intervention seems to have been larger than needed, generating some tensions with the European Commission, as the Bilateral Agreements signed with the EU (but not in force at the moment of the intervention) forbid public help to air transport companies so as to ensure fair competition within the sector. Moreover, the intervention has created a problem of moral hazard. The authorities should not provide further public aid, and sell the public stake in the new company as soon as possible.

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Health expenditure

Main features of the health care system

Switzerland devotes more resources to health care than any other OECD country, except for the United States (Table 19). About one third of health care expenditure, which amounted to 10¾ per cent of GDP in 1999, is financed by a compulsory insurance system, to which households contribute by paying a premium to non-profit private insurers. The cantons and municipalities co-fund hospitals, while the Confederation (two thirds) and the cantons (one third) partly subsidise the premiums of low-income households. The remaining expenditure is

Table 19. **Total health expenditure**
In per cent of GDP

	Level 1999[1]	Change over period			
		1990-95	1995-96	1996-99	1995-99
International comparison					
Austria	8.2	1.4	0.2	–0.5	–0.3
France	9.3	1.0	–0.1	–0.2	–0.3
Germany	10.3	1.5	0.4	–0.3	0.1
Italy	7.9	–0.6	0.1	0.4	0.5
Japan	7.5	1.1	–0.1	0.4	0.3
Netherlands	8.7	0.4	–0.1	–0.1	–0.2
United Kingdom	6.9	0.9	0.1	–0.1	0.0
United States	12.9	1.3	0.0	–0.3	–0.3
EU average[2]	7.9	0.6	0.1	–0.2	–0.1
OECD average[2]	7.9	0.6	0.0	0.0	0.0
Switzerland[3]	**10.7**	**1.7**	**0.4**	**0.3**	**0.7**
Swiss health system					
Expenditure by category					
In-patient care	5.0	–	0.2	0.0	0.2
Out-patient care	3.2	–	0.1	0.2	0.3
Non-durable medical goods	1.3	–	0.1	0.1	0.2
Other	1.2	–	0.0	0.0	0.1
Expenditure by financing source					
Compulsory	5.9	–	0.3	0.2	0.6
State	1.6	–	0.1	0.0	0.0
Social insurance	4.3	–	0.2	0.3	0.5
LAMal	3.4	–	0.2	0.2	0.4
Private	4.8	–	0.0	0.2	0.2
Memorandum item					
Share by type: Compulsory	55.3				
Private	44.7				

1. Or latest available year.
2. Unweighted average.
3. OECD Health Data Base source for 1990 and OFS source from 1995 to 1999.

Source: OFS, *Communiqué de presse* – 14 (*Coûts de la santé*), July 2001 and OECD *Health Data* 2001.

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financed by other social insurances (old age insurance, accident insurance, disability insurance and military insurance) or directly by households or through private complementary insurance (44 per cent of the total). Health care spending has risen steeply since the early 1990s and its growth has weakened only slightly since the 1996 reform of the health insurance system. This reform, which has strengthened solidarity amongst the insured and helped to deliver high-quality health care to the whole population,[132] has not had the expected effect of restraining costs, which have continued to rise more rapidly than in other countries. Some observers consider that, given its cost, the performance of the system compares unfavourably with that of many OECD countries (Domenighetti and Quaglia, 2001).

The increase in health care expenditure indicates a lack of incentives for cost containment. The steady growth of health care mostly derives from an increase in compulsory-financed expenditure, which has led to a sharp increase in health insurance premiums.[133] Even discounting the effect of the increase in medical cover following the 1996 reform, there has been a large increase in spending on drugs and ambulatory care in the hospital sector. Shortcomings in the system of funding hospitals have become apparent, as it does not encourage cost control and pushes cantons to transfer the burden from hospital stays, which they subsidise, to those which are exclusively paid by the insurers. The rise in insurance premiums resulting from these developments poses problems of equity[134] and causes claims to increase public expenditure in order to lower the burden of low-income households (Chapter II).

Reforms to restrain health costs are underway…

In response to these difficulties, several reforms have been adopted or are under preparation. For example, measures to curb the rise in pharmaceutical expenditure have been taken and will be reinforced, including a reduction in the price of drugs that have been on the market for a long time and the introduction of a financial incentive to use generics more frequently.[135] The new remuneration system for pharmacists, who are partly paid on a lump-sum basis (and no longer in proportion to the price of drugs), should also curb pharmaceutical costs.[136] This fairly complex reform, which will increase the cost of inexpensive drugs but will reduce that of the most expensive ones, should bring savings of CHF 200 to 250 million according to official estimates. Another reform (*Tarmed*) will rationalise the pricing structure for physician services refunded by basic insurance, though not before 2003. This reform will replace the current 26 pricing systems (one per canton) by a single federal scale that will be based on a point system which will depend on the time normally spent with each patient, the professional education of the physician and the type of medical treatment supplied. The money value of one point will be negotiated with the cantons. An agreement on the new system has been reached between insurers and health care professionals. This system, which must be neutral in budgetary terms and still has to be approved by the fed-

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eral government, will ensure a better recognition of the true cost of services, and will help reduce the abuses that a payment-per-service system invites. The possibility to adjust the value of the point provided by the new system could also be used to offset a rapid rise in the number of acts.

Three other major reforms are currently discussed by Parliament but are not due to come into force before January 2004. F*irst*, the government has proposed to overhaul the funding of hospitals, which would no longer be financed on the basis of their operating costs but according to a payment per case. Half of the payment of these services, including those provided to private patients, would be borne by the cantons (as long as the supplying hospital or division is included in the cantonal planning).[137] Also, hospitals would have to adopt cost accounting to allow for easy comparisons of the cost-effectiveness of services, and to encourage suppliers to become more efficient. This reform, which will place a large additional financial burden on the cantons (of around CHF 500 million a year) in the short term, will however enable hospital costs to be brought under tighter control in the long term. S*econd*, contrary to the government, which is against this measure, the Parliament is considering allowing insurers to conclude agreements with all qualified providers of their choice in the ambulatory sector. An end to the obligation on insurers to contract is expected to foster competition between medical providers. T*hird*, it is planned to establish a social goal that no household would have to spend more than 8 per cent of its income for health insurance premiums (Chapter II). Subsidies would have to be increased to reach this target.

Of these reforms, the abolition of the obligation on insurers to contract with all qualified practitioners in the ambulatory sector seems the most promising for promoting competition. This measure is likely not only to increase competition between providers in ambulatory care – whose growing number will push up spending in coming years[138] – but also among insurers, where competition is limited.[139] The basic insurance market is still highly regulated insofar as insurers are not allowed to make a profit and the prices set at the cantonal level largely apply to all funds.[140] In the current system, insurers strive to select risks rather than to squeeze costs (OFAS, 2001*a*).[141] Managed care systems are underdeveloped (covering only 8 per cent of the insured in 2000) partly due to the lack of supply.[142] On initial estimates, this type of insurance could reduce premiums by 15 to 20 per cent in return for restrictions on the choice of doctor (OFAS, 2000). Currently, a minority of the Swiss population seems willing to accept such a restriction. However, the reform currently before Parliament incorporates a series of measures, which would reduce its impact.[143]

... but further measures are needed to enhance competition

The inertia of the insured, who are reluctant to change their health fund despite the big differences between insurers' premiums[144] (every year only 3 per

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cent of the insured change fund) also reduces competitive pressures. Partly due to cultural and sociological factors, this inertia is perhaps also explained by the fear that the premiums of the least expensive funds will rise as they attract "bad" risks.[145] These fears, which are partly exaggerated (the insurers who were the least expensive in 1996 are still so), could be lessened if some shortcomings of the risk equalisation mechanism between insurers were solved. Such a mechanism is necessary for healthy competition, so that the level of a funds' premiums reflects efficiency and not risk selection. It is therefore important that the system, which is due to expire in 2005, continues to exist. A more refined method of equalising risks would also promote efficiency-based competition and would reduce fears of hikes in premiums. This equalisation could include, for example, health risk criteria (the risk of hospitalisation) and be calculated on a forward-looking basis and not retrospectively, to encourage efficiency (Spycher, 1999).[146] The creation of a high-risk pool financed by a common fund could also reduce the incentives to select good risks (OFAS, 2000).

Although the reforms to curb drug sales are steps in the right direction, they are likely to be insufficient. The new remuneration system for pharmacists, introduced in July 2001, has already shown some effects on restraining the growth of health care cost, but this situation may not last. The administered nature of this system does not bring sufficient competition even though, with the new measures, pharmacists can negotiate part of their own profit margins with some insurers. Likewise, the insured have too little incentive to contain costs. There is co-payment on costs of reimbursed medicines, but usually patients do not have to advance money for payment of medicines up front ("*tiers payant*"), which lowers their price sensitivity when consuming drugs. More stringent value-for-money evaluations of new pharmaceutical products before they are reimbursed would also help to prevent existing drugs being replaced by new, more expensive ones without any real therapeutic value. Furthermore, closer collaboration between doctors and pharmacists could help to curb pharmaceutical expenditure. Doctors, following habits and being influenced by fashion and marketing strategies of pharmaceutical companies, do not always prescribe the most cost-effective drugs.[147] Another possibility would be to curb the promotional activities of the pharmaceutical industry among health professionals. For refunded drugs, promotional expenditure could be penalised by taxation as is the case in France, or capped as in the United Kingdom. On the other hand, it would be desirable to promote medical research that would reduce health care costs.[148]

Obstacles to pharmaceutical imports need to be lifted. Large differences exist between the prices of medical products, devices and services in Switzerland and those in neighbouring countries, which seem to encourage medical tourism, especially in border areas.[149] In December 2000, the Competition Commission (COMCO) recommended that steps be taken to encourage the refund of drugs purchased abroad when they are less expensive and do not pose a risk to public

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health; this is currently impossible under the basic insurance scheme given the difficulties involved in getting foreign drugs approved (Gugler, 2001).[150] The new law on Medical Products and Devices will facilitate imports of medical products whose Swiss patent has expired. However, the range of drugs that can be imported under less restrictive admission criteria should be widened. A greater amount of imports would help to reduce the prices of medicines, which are higher than in other countries.

Financial markets

A *reform of banking supervision is underway*

The financial sector generates more than 10 per cent of value added, far above the OECD average, and employs 125 000 people. Two large international banks and private banking coexist with 24 publicly-owned cantonal banks and with credit co-operatives (*Raiffeisenbanken*) as well as almost 100 regional banks, that are much more focused on retail banking and domestic customers. The insurance system is also extremely developed, Switzerland being the country with the highest spending on insurance per capita.[151] During the past decade the largest banks have consolidated and invested heavily abroad. At the same time, cantonal banks suffered from the real estate crisis and the prolonged stagnation of the domestic economy. In recent years they have become more professional and, in a few cases, were partially privatised. They have faced increased competition from co-operative banks that have reformed themselves during the 1990s and target the same clients.

Recent policy initiatives regarding financial market regulation include plans to implement a joint supervision for all financial intermediaries, following the recommendations of the Zufferey report (Zufferey, 2000). Currently banks, mutual funds, brokers and some financial infrastructure intermediaries are supervised by an independent body, the Banking Commission, whereas pension funds are controlled by the Department of Interior and insurance companies by the Federal Office of Private Insurance. The report calls for a joint supervision in a loose form as in some Nordic countries, and has been well received by the authorities. Some collaboration already exists between regulators, and the new legislation will make it more systematic.

Another issue dealt with by the Zufferey report is the control, for prudential reasons, of financial intermediaries grouped together in the *parabanking sector*, in particular independent asset managers and other intermediaries. The money laundering safeguards of such intermediaries (about 6 000 entities) are in place. The effectiveness of the fight against money laundering, which touches in particular this sector, has been scrutinized by a special report by the National Council (Commission de Gestion du Conseil National, 2001). The 1998 Money Laundering

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Act is strict, as it forbids anonymous bank accounts and covers all financial intermediaries. It is also strict on documentation requirements and transparency. Intermediaries are either put under the direct control of the Money Laundering Control Authority (MLCA) or monitored by twelve Self-Regulation Organisations, which in turn are supervised by the MLCA. Financial intermediaries are to report suspicious cases to the Money Laundering Reporting Office Switzerland (MROS), the financial intelligence unit. The latest annual report of the MROS reveals that three years after the implementation of the law the collaboration of many financial intermediaries is insufficient, especially in the parabanking sector, and that because of numerous delays none of the cases reported to the tribunals has yet resulted in a condemnation. The resources of the MLCA are still limited in relation to the size of the sector despite a recent increase.[152] The effectiveness of the principle of self-regulation will have to be analysed as soon as sufficient experience has been gathered. Moreover, the extension of prudential supervision to additional financial intermediaries, as recommended by the Zufferey report, should be considered.

Taxation of capital income will be negotiated with the European Union

Swiss-source capital income (interest and dividends) is subject to a 35 per cent withholding tax, which is refunded to resident taxpayers if they report the respective income and investments in their tax returns. Non-resident investors have to submit a claim for refund, duly certified by the tax authorities of their country of residence. Depending on the relevant Double Taxation Treaty, the withholding tax will be refunded. Capital income from foreign sources is not subject to the Swiss withholding tax – although it may be taxed in a foreign jurisdiction – but has to be declared by residents in their ordinary tax declaration. The long-standing tradition of bank secrecy and the use of foreign investment mandates (so-called fiduciary investments[153]) enable non-residents to avoid withholding taxes. The fiduciary accounts may be particularly attractive to non-resident individuals unwilling to be taxed on capital income in their countries of residence, as they can evade taxes in their country of residence and are not subject to a withholding tax in Switzerland or in the country in which the investment is made through the fiduciary account.[154] In Swiss law, tax evasion is not a crime and does not lead to the lifting of bank secrecy; it may only be lifted in cases of tax fraud.[155] The right of tax and law enforcement officials to extract bank information, for their own tax purposes or for a treaty partner, on matters that do not relate to a suspected tax fraud is extremely limited.

In 2000, the European Council agreed in Feira to the introduction of measures providing for automatic exchange of information on interest on debt claims of any kind.[156] Withholding taxes are permitted during a transition period of seven years in Austria, Belgium and Luxembourg. The adoption of a proposed directive is contingent on "equivalent measures" being adopted by key third countries, including

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Switzerland.[157] The Swiss government has declared its readiness to start negotiations on possible "equivalent measures" based on the implementation of a withholding tax, but does not want to touch bank secrecy. The Swiss government has declared there would be no major technical obstacles to the implementation of a withholding tax at the level of the paying agent in the Swiss financial system if this results from a bilateral agreement with the European Union and its member states (Département Fédéral de Finances, 2001). The Finance Ministry also argues that the EU draft Savings Directive is far from perfect because it is restricted to interest income (dividends are not included) and to individuals (not legal entities), and that if it is not applied in other countries it may induce investors to shift their capital abroad. Discussions with Switzerland regarding the adoption of equivalent measures are still at a preliminary stage.

The implementation of a capital income tax on foreigners or the exchange of bank information have raised some fears about their impact on the financial system.[158] Total financial assets in banks amounted to CHF 2.1 trillion at the end of 2000, while foreign liabilities represent CHF 1.2 trillion. Off-balance sheet customer portfolios managed by banks totalled CHF 3.7 trillion in 2000, of which more than 2 trillion for foreign holders. Overall, foreign bank liabilities and portfolios owned by foreigners add up to almost ten times Swiss GDP. Annual profits of banking institutions amounted to CHF 20 billion in 2000, or 6 per cent of GDP, although this figure excludes the parabanking sector. The size of the banking sector reflects to a large extent the cumulated expertise of private banking and the political stability of Switzerland. Strict banking supervision, together with capital ratios generally above legal requirements, make investment in the country very attractive to foreigners. A change in the current regime of capital taxation is unlikely to have a strong impact on the status of the Swiss financial industry, and to the extent that there is an impact on the Swiss financial industry, it could be partly compensated by efficiency gains in the sector.

Cantonal banks have weathered the crisis of the 1990s

Cantonal banks have been created by cantonal governments and operate mostly on a regional basis. They escape some provisions of the banking law with respect to regulation of reserves and civil responsibilities, and are also subject to diverse conditions due to different cantonal legal frameworks. A 1998 amendment to the banking law re-defined a cantonal bank, allowing cantons to reduce the public stake from 50 per cent to 33 per cent while maintaining their status, and withdrawing the obligation of the regional government to back the deposits of the bank. Since then, some cantons have changed the status of their cantonal bank from "establishment" to limited-liability company, which can be privatised, although recent proposals to do so have been successfully challenged in referendums.[159] All governments continue to have a majority in their cantonal banks, and most of them still own 100 per cent of the equity.

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Cantonal banks operate mainly as universal banks, although historically they have focused on financing construction and SMEs. In the mid-1990s they underwent a period of serious difficulties following the prolonged stagnation of activity and the crisis in the real estate sector. Loaded with a high proportion of problem loans, some of them had to be bailed out by their regional governments (Bern, Geneva,[160] Vaud), while public money was injected in those of Jura and Valais. In two other cases the cantonal banks have been sold to other financial intermediaries (Solothurn and Appenzell-Ausserrhoden), therefore losing their status of cantonal banks. Responding in part to increased competition from co-operative banks, which restructured themselves and improved their performance over the 1990s, some cantonal banks have expanded to other regions, attracted by the lucrative business of private banking. Some have even started to operate abroad, although with limited success. Management practices have also evolved, with increased professionalism and the pooling of back offices and computer networks.

Regional governments not only own cantonal banks but continue to guarantee their deposits, giving them a competitive advantage as they do not need to pay any risk premium on deposits. Furthermore, there is evidence that the loan policies of cantonal banks tend to favour SMEs and poor households with favourable interest rates or lower demands for guarantees, which partly explains the problems suffered by cantonal banks in the 1990s. The arguments frequently used against privatisation of cantonal banks in referendum debates stress the fact that being private they would stop taking a special interest in helping local companies and households with special conditions. Cantonal banks have, for example, in line with other banks, helped in the recent Swissair crisis by providing funds for the new company. Such practices are not the best instrument to implement social or regional policy goals. These objectives could be achieved more transparently by other means, which would allow an assessment of their cost.

Internationalisation of the Swiss equity market

The Swiss exchange has been quick in reacting to increasing internationalisation of equity markets in Europe by joining in July 2001 Tradepoint (a London-based electronic trading system that includes the largest investment banks in Europe) to create Virt-X, a new electronic stock trading platform, which integrates settlement and clearing in the same system.[161] The Swiss Market Index (SMI) is the index for Swiss "blue chips", which are now traded on Virt-X. While SMI stocks are listed in Switzerland, they are traded only in London, which allows them to have access to a large pool of liquidity. Supervision of trading is carried out by the FSA in the United Kingdom. Only small and medium-sized Swiss companies continue to be traded on the Swiss exchange, together with derivatives. Even though Swiss blue chips provide substantial liquidity, the success of the merger has been lim-

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ited so far, as the non-Swiss securities quoted in the new platform (a large number of large European companies) trade at the same time in other markets. Foreign brokers, including those of the large banks that own a large part of Virt-X, continue to settle most deals in alternative markets.[162] The main advantage of the new market is the reduced level of transaction costs,[163] as the creation of Virt-X has also been accompanied by legislative changes on the payment of the stamp duty (*droit de timbre*) which has to be paid on all transactions of Swiss shares and is equivalent to 0.075 per cent of the traded value. Foreign traders (or Swiss traders that decide to become members of the new market and open an office in London) have been exempted from the stamp duty, leading to a competitive advantage that could be removed by the elimination of the tax.

Labour market

The 1997 reform has helped to reduce structural unemployment

Thanks to a well-functioning labour market, Switzerland has traditionally enjoyed a very low level of unemployment. Employment protection legislation does not impede hiring, labour is taxed at relatively low rates, there is no legal minimum wage and decentralized wage setting benefits from a long-standing tradition of consensus amongst the social partners. Cyclical swings in activity have usually been accommodated through changes in the foreign labour force. The movement of women in and out the labour force has also acted as a shock absorber, although the strength of this mechanism has diminished substantially during the past decade. Despite a well-functioning labour market, the prolonged stagnation during the 1990s increased the incidence of unemployment. The unemployment rate rose from 0.5 per cent in 1990 to 5.2 per cent in 1995, not only for cyclical reasons, but also because structural unemployment increased. This is largely a result of the extension of unemployment benefits at the beginning of the decade from a maximum duration of 85-250 days (depending on the time worked previously) to 520 days for all workers.

The rise in unemployment prompted a reform of unemployment benefits. Benefits were linked to the participation in active labour market programmes (ALMPs), the so-called "activation principle", reducing the disincentives to work created by the insurance scheme.[164] Under the new system, which was implemented between 1996 and 1997, "passive" unemployment allowances were limited to 150 days for workers under age 55, although additional payments for up to a total of 520 days were given if participation in ALMPs could not be provided by the public employment services. Together with the new activation principle, ALMPs were redesigned, while the network of cantonal placement offices was also subject to a reform, amalgamating more than 3 000 communal offices into 150 regional offices (Chapter II). These measures were subject to a preliminary evaluation by indepen-

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dent experts, which were summarized in the previous S*urvey* (OECD, 2000). The conclusions of the study were mixed,[165] indicating that combined measures are better than single interventions, and pointing to the need of targeting ALMPs carefully to ensure their cost-effectiveness. Overall, the net effect of the reform seems to have been positive, resulting in a drop in the estimated rate of structural unemployment from around 2¾ per cent in 1997 to around 1¾ per cent in 2000 (as measured by the NAIRU).[166] Moreover, the proportion of long-term unemployment to total unemployment fell from 30 per cent to 16 per cent.

T*he financing of unemployment insurance is being reformed*

While unemployment has become low again, a revision of the unemployment insurance law (LACI) has been approved to deal with the financial problems of the scheme.[167] Due to rising unemployment and the lengthening of benefit payments, the insurance fund suffered from continuous deficits in the second half of the 1990s and the debt of the scheme rose to CHF 8.8 billion in 1998 (more than 2 per cent of GDP). Some measures were taken to reduce it, including the increase of contribution rates from 2 to 3 per cent, and a special solidarity contribution of a further 2 per cent by well-paid workers (cut back to 1 per cent between 1996 and 1999). These measures allowed for a reduction of the debt to CHF 5.7 billion at the end of 2000, and it is expected to disappear by 2003. The reform will implement a permanent financing arrangement for the fund, avoiding pro-cyclical measures like the temporary lifting of contributions. It will consist of the following elements:

- The contribution rate will be reduced from 3 to 2 per cent of wages.
- The special solidarity contribution will be suppressed.
- The Confederation and cantons will contribute 5 per cent to the cost of the scheme (about CHF 400 million).
- Duration of benefits will be cut again from a maximum of 520 days to 400 days (except for those older than 55, and for workers in cantons where the unemployment rate rises above 5 per cent if the canton decides to extend the scheme[168]), and the minimum contribution period required for receiving benefits will be raised from the current 6 to 12 months.

These measures should keep the fund in equilibrium over the business cycle if unemployment stays at 100 000 persons on average. The reform, which is likely to be challenged by referendum, would improve public finances.

At the same time, the new measures will have some positive effect on job search incentives and therefore on structural unemployment. Apart from their social role of sustaining incomes, benefits have some positive impact in the matching process, since they give workers enough time to find a suitable job. However, they are

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costly and can also have perverse effects if passive benefits last too long, generating a vicious circle of long-term unemployment and loss of skills, especially as long durations are combined with the current replacement rates of 70 to 80 per cent, which are high in international comparison. The experience in other countries shows that there is a negative correlation between passive benefit duration and structural unemployment,[169] and this is corroborated by studies for Switzerland (Sheldon, 1997). To avoid unemployment traps, the authorities must strictly apply the "activation principle" and must ensure that ALMPs are well targeted.

Female employment-population ratios are not as high as they seem

Activity rates in Switzerland are the highest in the OECD, at 82.2 per cent of the working age population[170] in 1999 against an OECD average of 65.9 per cent. Female participation rates are also far above the OECD average at 71.8 per cent (55.4 per cent for the whole OECD). However, there is also a high proportion of part-time employment (close to 30 per cent of total employment), which has grown considerably during the 1990s and, as in other countries, affects women more than men. If female employment is adjusted by the effective time worked, the resulting employment-population ratio (the proportion of women aged 15 to 64 that are employed) is significantly reduced, from 71.8 per cent to 50.8 per cent, which is close to the average level of a sample of European countries (Table 20).

Table 20. **Female employment-population ratios**[1]

Percentage, 1999

	Unadjusted		Adjusted by hours[2]	
	Ratio	Rank	Ratio	Rank
Norway	73.8	1	58.9	3
Switzerland	**71.8**	**2**	**50.5**	**7**
Denmark	71.6	3	58.0	5
Sweden	70.9	4	58.2	4
United Kingdom	64.9	5	49.3	8
Finland	63.5	6	59.0	2
Netherlands	61.3	7	38.3	13
Austria	59.7	8	52.2	6
Portugal	59.4	9	59.1	1
Germany	56.5	10	45.4	9
France	52.9	11	45.4	10
Ireland	51.3	12	42.3	11
Belgium	50.2	13	41.1	12
Spain	38.3	14	37.8	14
Italy	38.1	15	34.0	15

1. The employment-population ratio is the number of persons employed divided by the population aged 15-64.
2. The adjusted measure is calculated as the total weekly usual hours divided by 40 and by the working age population.
Source: OECD based on Labour Force Survey data.

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The widespread incidence of part-time employment can in part be linked to cultural factors and can be voluntary; this is desirable insofar as it provides work opportunities to those who want to work less time. However, a large part of the part-time employed would like to work more hours. In 2001, 8.3 per cent of the labour force (about one third of part-timers) declared that they would like to work more hours than they actually do, a proportion that has barely changed during the last ten years. Most of them are women, which points to a scarcity of child-care facilities that makes it difficult for women to work longer hours (Chapter II). These full-time equivalent employment figures suggest that the very low unemployment does not necessarily imply a constraint on future growth, as the growth potential of the economy could be enhanced by providing better opportunities to those who want to work more hours.

Estimation of the benefits of reform

Structural reforms would induce important macroeconomic benefits. Better incentives to improve efficiency would increase total factor productivity, stimulate innovation and reduce margins in those sectors still enjoying monopoly rents. The potential impact of reforms through price reductions and higher demand and production is analysed here in four specific sectors: agriculture, health care, electricity and gas. Health care and production, processing and distribution of agricultural products whose share in total value-added is slightly above 20 per cent of GDP, are among those with high prices as compared to other countries, in the first case partly as a result of difficulties in regulation and in the second case as a result of limited international competition in several areas (Figure 24).

The methodology used here follows that developed by the OECD in its study on regulatory reform (OECD, 1998).[171] The analysis is conducted in two steps. The first consists of evaluating the impact of reforms in a static way. The effects are calibrated in terms of price reductions in these sectors, based on the price gaps with other countries and the effects of reforms observed there. In particular, the price reductions simulated are 15 to 25 per cent in agriculture and health, 10 to 20 per cent in electricity and 10 to 15 per cent in gas (Table 21). Based on these hypotheses, the total impact on the overall producer price level is estimated using an input-output table to take into account the effect induced on the rest of the economy through intermediate consumption.[172] This total price effect amounts to more than 4 per cent under the hypothesis of large price reductions (case 1 in the table), but could be even higher on the consumer price index, reaching 6½ per cent. On this base, and making an assumption about demand elasticities, the static effects of structural reforms on demand and production are estimated.[173] For the whole group of sectors considered, the efficiency gains and the improvement of resource allocation could raise GDP by between 2 and 3 per cent, even if the adjustment in some sectors, like agriculture, would result in employment losses.[174]

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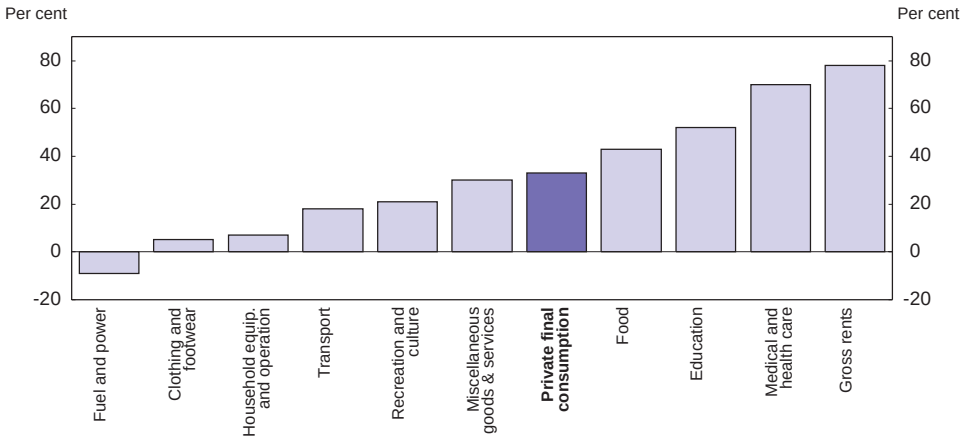
Figure 24. **Relative price levels between Switzerland and the EU**[1]
1999



1. Defined as the percentage difference between the price level in Switzerland and the average price levels in EU countries.
Source: Eurostat.

Table 21. **Long-run effects of a regulatory reform in four key sectors of the economy**
Deviation from baseline, per cent

	Value added share	Case 1	Case 2
Direct price reduction assumed			
Agriculture and processed food	8	–25	–15
Electricity	1¼	–20	–10
Gas	½	–15	–10
Health	10¾	–25	–15
Total four sectors	20½	–24½	–14½
Estimated price effect on the total economy[1]	100	–4¼ to –6½	–2½ to –4
Direct demand effect[2]		2 to 3¼	1¼ to 2
Estimated total macroeconomic impact[3]			
Output		7¼	4
Domestic demand		6	3½
Employment		1¾	1
Real wages		6½	4
Inflation[4]		0	0
Debt to GDP ratio[4]		–8½	–6

1. The overall price effect is computed using the input-output tables and the weight of the different sectors in the CPI.
2. The direct demand effect resulting from the price fall is based on an average price elasticity of demand of –0.5.
3. The overall macroeconomic impact of structural reforms is estimated using the INTERLINK model of the OECD. In the simulation carried out over a 10-year period, monetary policy is assumed to maintain price stability while ensuring that actual output rises in line with increased potential production due to the efficiency gains resulting from the reforms.
4. Percentage points.
Source: OECD estimates.

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This static estimation underscores the total impact on the economy, since it does not take into account the dynamic interactions across sectors. Hence, the second step of the analysis estimates indirect effects using the INTERLINK model of the OECD. The effect of these price reductions and efficiency gains favours a virtuous circle of cost reductions in all sectors, gains in international competitiveness, higher real incomes and lower interest rates. The cumulated impact of the direct and indirect effects on GDP could be between 4 and 7 per cent over a period of 10 years.[175] These gains, which are close to the estimated gains for other European countries, are probably a lower bound, as they include reforms only in a limited number of sectors and do not take into account the overall effects of an improvement in the competition policy framework.

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Notes

1. The wealth effect on households' consumer behaviour is not very strong in Switzerland (Case *et al.*, 2001). Moreover, in the 1990s, the increase in household wealth due to the rise in financial markets was offset by a fall in property prices. There is some uncertainty surrounding the trend in the savings ratio in 2000 and 2001, the latest available data being for 1999.
2. Volume growth of investment in machinery and equipment goods reached 7¼ per cent per year on average between 1993 and 2000, which was comparable to the performance of Spain and better than the average of the major European countries.
3. The introduction of the heavy lorry charge prompted the replacement of old polluting trucks with new, smaller and more environmentally friendly models so as to lower or escape the tax (trucks under 3.5 tonnes are exempt).
4. Progress has recently been made in the presentation of the national accounts, with the exclusion of purchases and sales of precious stones and metals and art objects, whose extreme volatility had hitherto distorted changes in the figures for exports, imports and changes in inventories in the quarterly statistics.
5. The fall in tourism exports in 2001 is also attributable to the exceptional results posted in 2000, when many North American tourists passed through Switzerland to go to Italy (for the Holy Year) and to Germany (for the Passion Play).
6. The increase in exports of chemicals and pharmaceuticals reached 7.5 per cent in real terms in 2001. According to a study of the sector by Basel Economics Ltd., the restructuring carried out in the 1990s through industrial concentration and specialisation in leading edge areas of high value-added biotechnology helped to achieve average productivity growth of 9 per cent per year between 1995 and 2000, *i.e.* two times higher than in the other main OECD countries. In 2000, the chemical and pharmaceutical industry accounted for 5 per cent of GDP in Switzerland, compared with 2 per cent on average in the United States and the major European Union countries (Kübler and Koellreuter, 2001).
7. The apparent inconsistency in these developments concerning volume, price and nominal trade variables is due to the new presentation of the quarterly national accounts, which excludes purchases and sales of gems, precious metals and objets d'art from import and export statistics.
8. The terrorist attacks of 11 September are expected to give rise to insurance payouts of an estimated CHF 3.5 billion. The final amounts, which are still unknown, are not included in balance of payments data. These payments, which will be made out of the insurance companies' reserves, should in principle be treated as current transfers. Insofar as they exceed variations to the insurance companies' reserves, they will also affect flows of financial services in the current balance and thus GDP.

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9. Net factor income increased from 3½ per cent of GDP in 1994 to nearly 10 per cent in 2000.

10. There are two main employment indicators in Switzerland: employed labour force statistics (SPAO), based on the labour force survey, and employment statistics (STATEM), which are based on a survey of firms in the secondary and tertiary sectors only and do not include the self-employed, home workers and private household employees. The growth in the STATEM figures was larger than those of the SPAO in 1999 and 2000, and smaller during the period 1991-98 and in 2001. The STATEM does not cover some forms of atypical employment such as occasional jobs or jobs which are only for a few hours. These types of activity exhibit a counter-cyclical pattern, increasing when the labour market situation deteriorates.

11. The most recent national accounts data concerning wages stop in 1999. The data for 2000 will become available during summer 2002.

12. Between 1992 and 2000, the average annual increase in per capita real wages, as measured by national accounts data and the employed labour force, was 0.6 per cent, while the average annual increase in labour productivity was 1.0 per cent.

13. Methodological changes introduced in the consumer price index in May 2000 account for the more erratic pattern of inflation. The latter partly reflects the method of collecting textile and clothing prices, which now take into account price reductions during the sales.

14. See, in particular, OECD (1999*a*).

15. A monetary policy objective is not included in the current formulation of the law, which dates from 1953, since it refers only to conducting monetary policy in the "general interest of the country". A revision of the law which is under discussion includes the following objective for monetary policy: "The SNB shall pursue a monetary policy serving the overall interest of the country. It shall ensure price stability. In doing so, it shall duly take into account the development of the business cycle."

16. The main traditional macroeconometric model is of neo-keynesian inspiration. It allows for an easy interpretation of economic relationships and it is based on behavioural equations (Stalder, 2001). The model includes some elements of rational expectations, and models the exchange rate. The SNB also uses structural VAR (vector-autoregressive) models which are identified by assuming that money is neutral in the long run.

17. Operationally, the interest rate is set via overnight to three-week repo rates.

18. In the case of interest rates, the trend rate is the long-term average. For exchange rates, it is taken as difference of the real effective rate with respect to a linear trend, which is increasing at 0.4 per cent per year.

19. The trend appreciation was not strong enough to equilibrate the current account. Net foreign assets have continued to accumulate, rising from CHF 349 billion in 1995 to 485 billion in 2000.

20. Simulations suggest that during such episodes, the policy reaction of the SNB has to be quick and decisive, since delayed action may have undesirable consequences for the economy in the medium term (Laxton and Prasad, 2001).

21. For example, the franc only appreciated by 1.9 per cent in effective terms as compared to 18 per cent between the end of 1992 and the end of 1995.

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22. A simulation with the SNB structural model shows that an effective appreciation of 10 per cent of the franc during 14 quarters, not compensated by interest rate reductions, may reduce growth by up to 2.4 percentage points with respect to the baseline.

23. The Danish rejection of the Maastricht treaty led to a crisis in the European Monetary System (EMS) after June 1992. The SNB reacted immediately by relaxing its monetary policy. The EMS partially collapsed in September 1992. Following the monetary policy easing, the money market interest rate decreased rapidly from 9 per cent in mid-1992 to 4 per cent at the end of 1993.

24. The federal budget surplus of over 1 per cent of GDP in 2000 (financial accounts basis) did not, however, translate into a reduction in federal debt. The latter in fact increased as a result of balance sheet transactions totalling some CHF 12 billion (3 per cent of GDP), arising from the funding of overdrafts of the pension funds of the Confederation and the federal railway company, and from loans to finance major railway projects.

25. The report concerning the 2000 State account (AFF, 2001) contains an analysis of revenue forecasting errors in 2000. An evaluation of federal revenue forecasting methods was the subject of a report by the Federal Polytechnic School of Zurich (KOF, 2001).

26. An underestimation of projected dividend withholding tax, and of the direct federal tax on legal entities, was detected. However, these forecasts are based on assumptions that are difficult to establish as regards corporate profit trends, the volume of share repurchases, dividend distribution practices and changes in the nominal value of securities.

27. This reform aims at the harmonisation of tax bases and deductions for the cantonal and federal income and wealth taxes. The Act provided for an eight-year transitional period ending in 2001 (OECD, 1999*a*). The Swiss government has however ruled out a harmonisation of tax rates across cantons. The unified framework will increase transparency and facilitate the comparison of tax regimes in different cantons.

28. The 2001 budget objective capped the deficit at roughly CHF 1 billion or ¼ per cent of GDP.

29. The other supplementary outlays as compared to the initial budget include subsidies to the Expo 02 project, contributions to the federal pension fund and reductions in health insurance premiums.

30. New regulations governing the computation and collection of dividend withholding tax provide a partial explanation of the low yield of the tax in 2001, which ought to be only temporary. This change could also be considered discretionary, although its effect on the structural federal budget balance is difficult to quantify.

31. The financial accounts of the Confederation do not incorporate the balance on special federal funds such as the fund for major railway projects, which are however included in the revised financial statistics.

32. The "Budget Objective 2001" stipulates that if the objective is not achieved, a majority vote in Parliament may defer its realisation for no more than two years.

33. The CHF 1.2 billion rise in the social security balance (0.3 per cent of GDP) seems large in the official forecasts, given that growth is projected to be close to potential.

34. The debt containment rule imposes a spending ceiling equal to estimated structural revenue (Chapter II).

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35. By way of illustration, the spending cuts carried out in the context of the 2002 budget discussions in order to offset the exceptional air transport subsidies have been estimated at CHF 250 million.

36. The plan contains expenditure and revenue based on decisions that had been taken by the Federal Council and at least one of the houses of Parliament prior to August 2001.

37. 80 per cent of contributions to the old age insurance scheme come from the insured and 20 per cent from government (17 per cent from the Confederation and 3 per cent from the cantons). In order to meet the additional pension costs arising from population ageing, the VAT rate was increased from 6.5 to 7.5 per cent in 1999. The Confederation had been able to obtain a 17 per cent share of the additional revenues to finance its required contribution to the scheme.

38. To take effect, this decision has also to be approved by the Council of States.

39. In contrast to the initial proposal, discussions now foresee extending second-pillar cover to low-income earners and a smaller cut in the annuity conversion rate from 7.2 to 6.8 per cent between now and 2023. The overall cost of these changes exceeds CHF 0.5 billion.

40. The first "generational accounting" study carried out for Switzerland for the year 1997 confirmed that the country's long-term budgetary outlook compared favourably with that of other OECD countries for which similar studies had been undertaken. The analysis showed that current indebtedness of 36 per cent would increase by some 40 points, to 75 per cent of GDP, if the pension rights of generations born after 1997 are taken into account. The initial proposals of the 11th revision of the first pillar of old age pension system would help move towards a policy of greater intergenerational equity (Elias, 2001).

41. These projections are consistent with those published in the OECD *Economic Outlook*, No. 71.

42. The Purchasing Managers' Index (PMI) is (like the one used in the United States) based on the replies of the purchasing managers of large industrial companies concerning their performance during the current month compared with that during the previous month. Recent changes in this index suggest that the worsening in the economic situation has slowed.

43. The Swiss franc/euro parity averaged 1.53 during the first half 2001. In mid-April, the Swiss franc traded at 1.47 per euro representing an increase of 4 per cent against the European currency.

44. Feld and Matsusaka (2001) have investigated these institutional settings at the cantonal level. Where mandatory referenda are provided for by the constitution, new spending projects are initially approved by Parliament. If the cost of the project exceeds a predetermined amount – the spending threshold – the project must be approved by majority vote in a referendum. In the 17 cantons where mandatory referenda exist, thresholds ranged from CHF 150 000 to CHF 25 million in 1996. Optional referenda also existed in 20 cantons in 1996. After collecting signatures from a certain number of citizens, voters can also call for an optional referendum in all cantons. It allows citizens to propose an entirely new spending law that comes into effect if approved by a vote of the electorate.

45. Feld and Kirchgässner (forthcoming) also show that government expenditure is, *ceteris paribus*, lower in a direct than in a representative democracy and that approval of bud-

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get deficits by mandatory or optional referenda keeps debt-to-income ratios in Swiss municipalities lower.

46. For a description of the health and pension systems, see the special chapter "Ageing: the Swiss case" in OECD (2000).

47. Mandatory private social expenditure schemes also exist in other OECD countries (*e.g.* Australia, Belgium, Germany, the United Kingdom and the United States), though their size typically ranges from 0.5 to 1 per cent of GDP, with the notable exception of Korea where they account for more than 5 per cent of GDP (OECD Social expenditure database).

48. The maximum duration of unemployment benefits was increased from 250 to 520 days between 1993 and 1997. Furthermore, it is estimated that structural unemployment rose from 0.8 per cent in the mid-1980s to 1.8 per cent in 2000.

49. The strong rise in social benefits could partly reflect abuses. Invalidity pensions provide an illustration. Although the share of invalidity pensions is relatively small compared with the rest of the OECD, the number of recipients has risen by an average of 4.3 per cent per year between 1993 and 1999, whereas it fell in other countries (Message to parliament concerning the unemployment insurance law, LACI 2001).

50. Unlike the municipalities, the Confederation and the cantons were directly affected by the increase in unemployment expenditure. Between 1993 and 1998, their loans to the unemployment insurance system totalled 2¼ per cent of GDP.

51. Ageing-related expenditure could increase on average from 6 to 7 per cent of GDP in the OECD countries by 2035-40 (OECD, 2001*e*). The Swiss projections, which stop in 2025, *i.e.* before the projected peak in the dependency ratio towards 2035, understate the expected increase in ageing-related expenditure. However, these projections seem a little pessimistic since they are based on prudent growth projections (Dang *et al.*, 2001).

52. Federal subsidies finance 17 per cent of the expenditure of the first pillar of the old-age insurance system (the cantons' share is 3 per cent) and 37.5 per cent of invalidity pension expenditure. Social protection outlays account for a quarter of the Confederation's total expenditure. However, the bulk of public health care spending is financed by the cantons and municipalities.

53. The 1998 stabilisation plan contained a raft of expenditure cuts equivalent to 0.5 per cent of GDP and affecting public transport, defence, social protection and transfers to the cantons.

54. Almost all the cantons have constitutional constraints that require them to balance their budgets, which sometimes take the form of constitutional obligations. While these constraints are not always binding, in five cantons, taxes must be raised if the deficit exceeds a certain level.

55. The Federal Council is required to raise (or to lower) the rate of contribution if at the end of two years running the fund's reserves are below (or above) 2.5 per cent of wages subject to contribution. In 1990, the contribution rate was cut to 0.4 per cent of the wage, and then raised to 2.0 per cent in 1993 and 3.0 per cent in 1995.

56. On the revenue side, the biennial system of direct taxation in force up to 2001 was also frequently criticised for its destabilising effect, especially during cyclical downturns (Amman, 1995).

57. Whereas changes in government consumption or investment have a direct impact on GDP, variations of government transfers might be partly saved by the beneficiaries

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rather than spent completely, which will dampen their effect on activity. This is particularly the case of transfers to households. In the short term, fiscal multipliers of public investment or consumption are significantly higher than those of transfers.

58. Informal co-ordination takes place between the Confederation and the cantons for the preparation of the budget since part of the cantons' revenue consists of federal transfers. The macroeconomic assumptions used by the various levels of government are also broadly consistent.

59. The rule provides that the federal deficit must not exceed 2 per cent of revenue, equivalent to ¼ per cent of GDP.

60. The new constitutional articles only indicate that expenditure cannot exceed a ceiling determined on the basis of projected revenues and taking account of the cycle. Besides the constitutional revision, parliament approved an amendment to the Confederation's Finance Law. This law deals with the practical implementation of the debt reduction mechanism.

61. Experience shows that in the absence of correcting mechanisms or penalties, budget rules tend to be circumvented. Dafflon (1995) provides an example for the Swiss municipalities and Atkinson and Van den Noord (2001) discuss rules in various OECD countries. In addition, the risk of a built-in electoral cycle (with the overspending of the outgoing government being compensated by the new one) is low as the Swiss political system is consensus driven.

62. In practice, a tax cut will reduce future expected revenues and, therefore, the expenditure ceiling, which will have to be met by the budget prepared by the Federal Council and approved by the Parliament, except in exceptional circumstances.

63. The biennal system of direct taxation, which entailed a three year gap between the moment incomes were received and the actual payment of the tax, has been replaced since 2001 by an annual system similar to that in place in most other OECD countries.

64. A reform of the unemployment insurance system is under consideration. It would remove the obligation to adjust contribution rates when the surplus, or deficit, of the unemployment fund exceeds 2.5 per cent of the wages subject to contribution.

65. As federal tax revenue represents 11½ per cent of GDP, a change of 1 per cent in the output gap will have a stabilising effect of around 0.12 per cent of GDP on the assumption of a unitary tax elasticity with respect to production. The stabilising effect of unemployment expenditure also amounts to nearly 0.1 per cent of GDP (on the assumption of an Okun coefficient of 4).

66. The Mundell-Fleming model suggests that fiscal multipliers under a flexible exchange rate regime are smaller than under a fixed exchange rate regime.

67. Several studies, including KOF (2001), Chouraqui *et al.* (1990) and IMF (1998) noted that the elasticity between taxes and output might exceed unity by a small margin. With an elasticity slightly underestimated relative to its "true" value, structural revenues as calculated by the rule (in the right-hand side of the formula in Box 2), would also be underestimated during cyclical troughs, which would lead to a small surplus of the structural balance. The reverse would happen during cyclical peaks inducing a pro-cyclical policy. This critique however does not apply if the actual tax revenue calculation is also biased due to the elasticity estimation error.

68. Revenue forecasting errors have averaged 3½ per cent since 1970, with the maximum errors exceeding 10 per cent, happening generally during downturns, as in 2000. In such cases, up to 6 per cent of the expenditure will be booked in the equalisation

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account. The residual, 4 per cent of federal expenditure, or ½ per cent of GDP, has to be eliminated within three years, corresponding to a change in the structural balance of less than 0.2 per cent per year (Mönch, 2001).

69. The following are considered as "mandatory" expenditure: personnel expenditure, interest payments and transfers arising from commitments. A third of these transfers, which represented 62 per cent of federal expenditure, go to cantons, another third to social insurance, and a sixth to federal enterprises and entities (railways, universities). The "mandatory" nature of personnel expenditure, which amounts to less than 12 per cent of federal spending, should however not be exaggerated, especially in a medium-term perspective.

70. For instance, the local electricity monopolies reportedly offer some price rebates to public hospitals and schools which *de facto* result in lower public spending, at the cost however of higher prices for other users. Similarly, postal services serve regional policy objectives and postal offices with very few customers have been maintained.

71. The net federal debt rose by more than 13 per cent of GDP between 1990 and 2000. However, the cumulative impact of the Confederation's deficit explains only about 8 percentage points of this increase.

72. Switzerland grants generous tax privileges to capital income in general, and for savings with pension funds and insurance companies in particular (Carey *et al.*, 1999). The last tax expenditure review was published in 1997, as an annex to the review of the Confederation's transfer system. This review contains estimates for only two thirds of the tax expenditure items, dating back from the early 1990s in most cases. Information on the beneficiaries of tax relief does not appear in this review.

73. International comparisons highlight the large share of personnel outlays in total public expenditure, which seems to reflect a high average wage in the civil service rather than a large number of civil servants. According to census data, employment in general government accounts for 12.6 per cent of total employment in Switzerland compared with an average of 16.2 per cent in the euro area and 14.3 per cent in the United States.

74. The new personnel law was implemented in 2001 by the railway company (CFF) and the postal services (La Poste). It is due to come into force in 2002 for the Confederation. Overall, 111 000 persons will be affected by the law, of which 23 000 and 24 000 at La Poste and the CFF, respectively.

75. In the previous system, seniority bonuses were granted almost automatically, irrespective of the employee's performance and in 2000, only 0.5 per cent of the Confederation's wage bill was available to reward good performance.

76. One fifth of the municipalities (mostly the largest ones and those that are part of German-speaking Switzerland) have introduced new public management methods, including product definitions, performance agreements, and global budgets (Steiner, 2000).

77. The 11 agencies managed under the "GMEB" model are: Institut suisse de météorologie, Office fédéral de topographie, Centre sportif de Tereno, Swissmint, Office fédéral de communication, Office fédéral de métrologie, Centrale de compensation, Organe d'exécution de la confédération pour le service civil, Stations de recherches agronomiques, Haras fédéral d'Avenche, Institut de virologie et d'immunoprophylaxie.

78. The objective set for secondary schools in the canton of Zürich is that at least 90 per cent of pupils should qualify for university studies or a professional occupation and

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more than 60 per cent of university students are expected to finish successfully their graduate studies within 7 years after leaving secondary school.

79. Some remaining detailed rules on the structure of cantonal spending (*e.g.* no more than one office manager for eight personnel counsellor in the RPOs) were abolished in June 2001.

80. Road taxes consist of an annual fixed-rate charge on heavy goods vehicles levied by the Confederation on vehicles weighing over 3.5 tonnes and a motorway tax. Special major infrastructure projects in the rail sector – including the construction of two main tunnels through the Alps, one in the west (Lötschberg) and one in central Switzerland (St. Gotthard) – are also largely funded through earmarked appropriations. The "Fund for Public Transport Infrastructure" is financed by a part of the gasoline tax, a part of the heavy vehicle tax, and 0.1 percentage point of the value added tax. However, contrasting with the financing of road infrastructure, this earmarking will stop once these specific projects are completed.

81. Jeanrenaud (1994) provides an estimate of administrative costs for both the cantons and the Confederation for 4 grant programmes. Administrative costs ranged from 1.6 to almost 10 per cent of the grant, with the most important part of the cost being borne by the cantons.

82. Switzerland has adopted the WTO government procurement framework and is implementing the bilateral agreement with the European Union (accepted by referendum in May 2000). These agreements oblige the Confederation, cantons and municipalities to implement open competitive bidding for contracts above a threshold value. In addition, an intercantonal agreement on public procurement has been adopted in 1994 and is currently under revision.

83. The competition authority concluded in December 2001 that the companies acted as a bidding cartel. *http://www.wettbewerbskommission.ch/site/f/medien/Medienmitteilungen.Par.0026.Pic0.pdf*

84. To participate in a bid in the canton of Geneva, architects and engineers need to have their headquarters in the canton. However, under certain conditions, a temporary registration can be obtained.

85. Health insurance premia are defined on a per capita basis and vary by a factor of one to two across cantons. About two thirds of the subsidies to the insured who cannot afford to pay the premia are paid by the Confederation, with the remainder being paid by the cantons. The health insurance law (LAMal) implemented in 1996 sets the maximum contribution by the Confederation allocated to health care subsidies at CHF 1 830 million (*i.e.* about 0.6 per cent of the confederation total spending). As a consequence, the cantons maximum contribution was set at CHF 640 million. However, many cantons took advantage of the possibility provided by the law of reducing their contribution by half, which also induces a halving of the Confederation's subsidy. Overall, subsidies from the Confederation and the cantons amounted to CHF 1 813 million in 1996.

86. This proposal was presented to the Parliament in January 2002. If approved, it is expected to come into force in 2004 and is estimated to cost an additional CHF 280 million to the Confederation. Each canton will be required to complement the Confederation's subsidy. This would further increase public spending by an estimated CHF 135 million.

87. The 1996 law on health insurances (LaMal) requires that health insurance does not cover more than 50 per cent of the operating costs of public hospitals for an insured

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person with a basic health insurance coverage. The rest of the cost should be paid by tax-financed cantonal contributions.

88. RPOs were introduced in 1994 in the canton of Vaud.

89. The only exception concerns some of the secondary schools, whose programmes are co-ordinated nation-wide through an inter-cantonal agreement (Maturitätsanerkennungsverordnung).

90. The overall female participation rate is relatively high by OECD standard but, corrected for working hours, participation rates are much lower, especially for 25-40 year olds.

91. Four cantons (Tessin, Fribourg, Valais and Neuchâtel) have introduced a new law on childcare facilities. These cantons' contributions to the municipalities' costs vary however significantly (Berset, 2001).

92. An initiative launched in 2000 by a Parliamentarian (J. Fehr) proposes that the Confederation devotes CHF 100 million a year to fund childcare facilities over a 10-year period.

93. This was the main argument for the rejection (through a referendum) of a merger of municipalities in the canton of Thurgau in the late 1990s.

94. In a few cases, including the building and maintenance of national roads, participation rates by the Confederation to the cantons' expenses do partly reflect the cantons' benefit from a specific spending programme. However, in most cases, participation reflects first and foremost the Confederation's fiscal position when the grant was given and the fiscal equalisation components (Blöchliger *et al.*, 1999). They thus largely fail to incorporate spillover benefits.

95. In principle, each canton organises and regulates the provision of long-term care for the elderly. However, some cantons have devolved this responsibility to municipalities.

96. This section largely draws on OECD (1999*c*) and on the Territorial Review of Switzerland (OECD, 2002*a*).

97. Some cantons (*e.g.* Fribourg and Neuchâtel) have passed the responsibility for accepting or rejecting a demand for social assistance from the municipalities to a cantonal commission.

98. If an individual moves from one municipality to another, the municipality of destination can recoup the costs of the recipient's benefits from the municipality of origin for a two-year period. This system is, however, administratively cumbersome.

99. The personal and income wealth taxes account for about 75 per cent of municipal tax revenues and are paid in the jurisdiction of residence.

100. The project would introduce a new transitional compensation scheme for poorer cantons ("*compensation des cas de rigueur*"). Associated spending would amount to CHF 280 million, *i.e.* less than 0.2 per cent of total public spending in 1999. Spending would not be adjusted for inflation and could be phased out after 4 years.

101. A previous version of the reform project estimated that these gains could reach CHF 2 to 2.5 billion (1.7 per cent of total public spending).

102. Zürcher (1998) shows that the dispersion of income across cantons was broadly similar in 1994 to the 1965 situation. However, these disparities are low compared to many other OECD countries (OECD, 2002*a*).

103. With a debt stable in nominal terms, the debt-to-GDP ratio should fall by 25 per cent over a decade (*i.e.* by 13 percentage points), assuming a nominal output growth of 3 per cent a year – 1.5 per cent real and 1.5 per cent of inflation.

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104. See AFF, 2001. On the current timetable, the new framework will not be adopted before 2004-05.

105. Most public offices managed under the GMEB model deliver some services to private clients, which partly serves to assess their ability to respond to the market. However, in some cases they may hinder the development of private companies. Claims of unfair competition between GMEB offices and private competitors have already surfaced. A private company brought a case against the federal topography agency. The government, after consulting the competition authority, has denied the unfair competition claim.

106. RPOs contribute to a rapid and durable return to work for the unemployed, and thus to reduce the overall amount of unemployment benefits. Cutting too much spending on RPOs may result in an increase in unemployment benefits. Net savings could even turn negative. In 2000, unemployment benefits cost 0.57 per cent of GDP. RPOs' administration cost amounted to 0.11 per cent of GDP while other labour market measures cost 0.36 per cent of GDP.

107. Pilot experiences have recently been introduced in several cantons (Valais, Geneva, Tessino, Vaud) and could provide useful lessons. A wider reform is currently under discussion within the Parliament.

108. The internet site on public procurement markets for the canton of Vaud can be accessed at the following address: *http://www.marches-publics.vd.ch/*.

109. Any driver using the motorway has to pay an annual sticker. However, this fee does not reflect road use nor the contribution to traffic congestion. Set at CHF 40 per car in 2001, it is also low for the average user.

110. In December 2001, 29 investigations were underway. Most of them relate to illegal agreements or to abuse of dominant position.

111. It should be noted that leniency in terms of fines does not mean participants will suffer no ill effects because of their illegal cartel activity. They will still be subject to private actions by parties harmed by the cartel.

112. As an illustrative example, architects and engineers in the canton of Geneva need to register in the canton to be able to exercise their profession.

113. For example, in Novartis voting rights of a single shareholder (in economic terms) are limited to those under a threshold of 2 per cent of equity; in Nestlé and Swissair, 3 per cent; in Ciba, 5 per cent. In Roche, the owners of 10 per cent of the capital have 51 per cent of the voting rights.

114. This includes price support through import barriers and budgetary payments of around CHF 5 billion (more than 1 per cent of GDP).

115. Target prices are indicative and have a mere psychological value. Intervention in the market is only compulsory if the price falls by 10 per cent below the target price. Up to now, and because of good market conditions, there has been no price intervention.

116. Some indicators are worth mentioning. The area devoted to organic farming has increased dramatically during the 1990s, and is larger in relative terms than in other OECD countries except Austria and Sweden. The efficiency of nitrogen use in agriculture is similar to the EU and OECD averages, while pesticide use has diminished by nearly 25 per cent between 1980-87 and 1995-97, a similar reduction as in the EU. Greenhouse gases from agriculture have been reduced by more than the EU average between the beginning and the mid-1990s (OECD, 2000).

117. On average, 25 per cent of final electricity prices consists of taxes.

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118. More precisely, the first step of liberalisation includes all final consumers above 20 GW/h, plus 20 per cent of sales of suppliers to captive customers. The second step (medium-sized customers) includes final customers above 10 GW/h plus a further 20 per cent of sales of suppliers to captive consumers. The final step will lead to a complete liberalisation.

119. The introduction of a tax on non-renewable energies (comprising CO_2 emitting fuels) was supposed to provide *inter alia* and for a limited time resources to pay for stranded costs in the electricity reform, but the tax was rejected in the referendum on ecological tax reform in September 2001.

120. However, frictions over the application of the LRIC model have appeared between Swisscom and two rival companies (diAx and Worldcome), and the issue is at present dealt with by the Communications Commission.

121. Radio access to the local loop has also been developed since the auction of new licences in spring 2000, although the development is slow for technical and commercial reasons.

122. For the moment, the offer submitted by Swisscom to provide universal service does not need any subsidy.

123. Recent accidents in the Gotthard and Mont Blanc tunnels, which have required the closing-down for long periods, are good examples of these difficulties.

124. Before 2001, lorries had to pay an annual fee in the range of CHF 1 300 to 8 000 depending on the weight of the vehicle.

125. Recently the EU commissioner for transport highlighted Switzerland as an example to follow in the promotion of railways.

126. The accounts of the company, which deteriorated markedly in the mid-1990s, have started to recover. The loss of the company (excluding subsidies received and interest payments) was reduced from CHF 2 684 million in 1998 to CHF 2 412 million in 1999 (which is equivalent to 0.7 per cent of GDP and to 37 per cent of the company's current revenues).

127. In 1997 Switzerland had one of the least efficient air transport industries, according to an overall efficiency indicator compiled by the OECD (Gonenç and Nicoletti, 2000).

128. The aid consists of several items. CHF 450 million were initially committed to allow the company to operate until the end of October, while a permanent solution was found. A new package in mid-October included a further CHF 650 million to increase the capital of the new company, and CHF 1 billion to cover operating expenses of Swissair until April 2002, since the merger with Crossair could not be done until that date for technical reasons.

129. The remaining capital will be shared by the two largest banks (20 per cent) and by a large number of Swiss companies that have 'collaborated' in the aid package.

130. For example, the major US carriers have reduced employment by 20 per cent each, as has Lufthansa. Other companies have implemented significant reductions, or have suspended previously planned hirings: Air Lingus (25 per cent), KLM (15 per cent) and Air France (10 per cent) (Le Temps, 2001).

131. The new company will operate with 134 aeroplanes, or 18.9 aeroplanes per million inhabitants. This compares with 12.6 for Austrian Airlines, 10.8 for SAS, 7.9 for KLM, 6.1 for Air France, 4 for Lufthansa and 2.8 for Alitalia. However, these numbers must be nuanced since in some of the countries where these companies operate as the main carrier other large companies exist.

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132. Surveys show that the Swiss population is satisfied with the health care provided, and that it compares favourably with that in other European countries (France, Germany, the Netherlands, Luxembourg) (OFAS, 2001). The compulsory nature of basic insurance coupled with the uniform premiums in each fund ensures solidarity between the insured, which is reinforced by the system of risk equalisation between insurers and individual reductions in premiums for low-income households.

133. Between 1996 and 2001, insurance premiums rose on average by 6.3 per cent per year. In 2002, the average increase will be 9.7 per cent. There is a lack of indicators at the federal level that would allow to assess to what extent these increases reflect rising care quality.

134. Although low-income households receive targeted assistance, wide disparities remain: the subsidies which the Confederation gives to cantons to reduce premiums cover only a small part of the large differences in premiums across regions, and this link between subsidies and premium levels will disappear in 2002.

135. Pharmacists will receive 40 per cent of the savings resulting from the use of generics. Only 3.2 per cent of drugs in Switzerland are generics compared with 20-25 per cent in the United States and Germany. In the United States, the market share of generic drugs is almost 50 per cent when measured in volume instead of value terms (Jacobzone, 2000).

136. Up to now, 10 per cent of the pharmacists' 33 per cent margin represented their salary after deduction of charges; they thus had a direct incentive to sell costly drugs. Since 1 July 2001, this has been replaced by a lump-sum remuneration system (including a charge for processing prescriptions, advice, emergencies, etc.).

137. A recent decision by the Federal Insurance Court forces the cantons to pay 50 per cent of the financing of hospitals for privately-insured patients. Currently these expenditure are borne exclusively by the insurers.

138. There is no *numerus clausus* in Switzerland and per capita health care consumption is closely correlated with the density of practitioners, which varies by a factor of one to three between cantons.

139. A study (Dominighetti and Crivelli, 2001) comparing different regions of Switzerland concludes that the end to the obligation on insurers to contract with all qualified practitioners in the ambulatory sector could help to restrain medical cost without affecting the degree of satisfaction of the population.

140. Legally, the system does not impose that tariffs negotiated at the cantonal level apply to all funds, but there are only few exceptions to this.

141. This strategy enabled small insurers to increase their market share at the expense of large insurers.

142. At end-1999, the regional penetration of HMO-type arrangements, including general practitioners acting as gate keepers, was less than 1 per cent of the insured in ten cantons and reached a maximum of 20 per cent in three other cantons. The reform envisages to force all insurers to supply these products everywhere.

143. The right to choose one's doctor would be maintained in case of an emergency and for certain types of patients (chronic patients). The cantons could also determine the minimum number of health care providers that insurers will have to contract with to guarantee sufficient choice and quality.

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144. Price comparisons suggest that if the insured systematically joined the least expensive fund in each canton, the basic insurance premium would fall by an average of CHF 500 per year, *i.e.* by over 20 per cent.

145. "Good risks"– *i.e.* young people in good health – are more mobile than older, less well-informed people who often have a long-standing relationship with their fund.

146. Only age and gender-related factors are currently taken into account in risk equalisation.

147. Quality circles of doctors and pharmacists have been set up in the canton of Fribourg to tighten up on prescriptions. The initial results of this experiment are promising.

148. The pharmaceutical industry promotes new products but is more reluctant about making an effort to curb medical expenditure. The oligopolistic structure of the drug market is not conducive to competition between laboratories, and there are few public entities that encourage and finance research to reduce costs (Vos, 2001).

149. This is especially true of dental care. A comparative study has shown that the price of such care is high compared with that in neighbouring countries.

150. Controls are needed for safety reasons. However, this does not seem an insurmountable problem. Some private insurers already refund drugs purchased abroad.

151. In 1999 insurance premiums per head were USD 4 642 in Switzerland, USD 3 909 in the United States and USD 3 244 in the United Kingdom (Ackerman and Artho, 2001).

152. The staff of the MCLA has been doubled to 25 persons.

153. Fiduciary accounts are used to invest outside of Switzerland. Portfolios in fiduciary accounts are managed by banks for a fee, while gains or losses accrue to the client.

154. Funds invested through fiduciary accounts generally are invested in countries that do not levy a withholding tax on bank deposits belonging to non-residents. Switzerland's tradition of strict privacy – which is laid down in the Constitution – and bank secrecy protect the identity of the beneficial owner of the account from disclosure to the tax authorities of the beneficial owner's country of residence. This scheme allows a non-resident desiring to evade taxes to be reasonably certain that a failure to declare invested capital and/or the interest thereon to his country of residence will go undetected.

155. According to Swiss law, tax fraud is committed on the one hand by the use of false documents, such as the presentation of a false balance sheet or falsified invoices. On the other hand, any fraudulent deception of the tax authorities with the aim to evade taxes also represents a tax fraud.

156. EU member states will be required to have a legal framework in place on 1 January 2004 that is in conformity with the Directive and, thus, be in a position to provide information to other EU member states with respect to interest payments made by individuals resident in the relevant member state.

157. On the basis of a report on these negotiations, member states will take a decision on the final text of the Directive at the latest by 31 December 2002.

158. In April 2000, the OECD released a report, *Improving access to Bank Information for Tax Purposes*, which encourages all Member countries to improve access to bank information for tax purposes.

159. During 2001 such referendums rejected partial privatisation in Vaud and Zurich.

160. In these cases, non-performing loans were placed in an asset management company whose liabilities were guaranteed by the canton.

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161. In 1995 the Swiss stock market was first to implement an entirely electronic trade system, SWX. Its technology is very similar to that of Virt-X and is considered to be highly advanced.

162. As a consequence, one month after its implementation, foreign values only represented 5 per cent of the volume traded.

163. Virt-X argues that the average foreign operation costs EUR 2 in Virt-X, but between EUR 10 and 80 in Switzerland.

164. Other related measures were the re-definition of a "suitable job" (a job offer that cannot be refused), which implied that a salary 30 per cent lower than the previous wage had to be accepted, or benefits would be withdrawn; and the obligation to accept a job in another area when the job was up to two hours away from the area of residence of the unemployed.

165. The ALMP measures included training and education programmes, temporary employment programmes, and programmes of *intermittent payment*, by which the Confederation paid wage subsidies to those workers that accepted wages below a "suitable earning" level while continuing the job search. Of all these programmes, intermittent payments proved useful for taking the long-term unemployed back to work, whereas training programmes only worked in some cases, and were counterproductive in others. Temporary work programmes were considered expensive and not very useful.

166. See Richardson *et al.* (2000).

167. The new law could still be challenged in a referendum.

168. If the unemployment rate rises in a canton over 5 per cent, the cantonal government may decide to extend benefits beyond 400 days, but will have to finance 20 per cent of the extra cost. The cantonal government may decide to apply this provision to only part of its territory.

169. See Blanchard and Wolfers (1999) and Scarpetta (1996).

170. Defined as those aged 15-64.

171. Annex I provides a more detailed description of the approach used to quantify the potential macroeconomic impact of structural reforms.

172. The input-output matrix used is derived from research done by the L*aboratoire d´économie appliquée* of Geneva, which used 1990 data, and has been re-calculated for 1995 by the Federal Institute of Technology in Zürich (for details, see Lips and Nieuwkoop, 2001).

173. The long-term effect of the price reduction on production depends on the sectors and products involved. Here a price elasticity of demand of –0.5 has been used, as in the OECD study on regulatory reform and in other studies (Van Bergeijk *et al.*, 2000).

174. For Switzerland it is difficult to provide estimates of the impact of reforms on specific sectors, given that there is no complete set of sectoral accounts available.

175. In case 1 of the simulations, a decrease of 6 per cent in the general price level should increase expenditure volumes mechanically by 6 per cent, assuming an unchanged consumption-savings behaviour. With the positive impact of reforms on potential growth, including the dynamic of capital accumulation, an overall increase in GDP of 7 per cent seems intuitively plausible independent of the specific model used.

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Glossary of acronyms

ALMPs	Active labour market programmes
APG	Financial compensation received by employee attending military training
AVS/AI	First pillar of old age and disability insurance
CFF	Federal railway company
COMCO	Competition Commission
COMCOM	Swiss Telecommunication regulator
CPI	Consumer price index
DMA	Domestic Market Act
ECB	European Central Bank
EEA	European Economic Area
EMS	European Monetary System
EU	European Union
FSA	Financial Services Authority
GDP	Gross Domestic Product
GMEB	Public expenditure management based on output targets and block appropriations
GNP	Gross National Product
HMO	Health maintenance office
KOF	Federal Polytechnic School of Zurich
LACI	Unemployment insurance law
LAMal	Health insurance law
LPERS	Federal personnel law
LRIC	Long-run incremental cost
M3	Broad monetary aggregate
MCI	Monetary conditions index
MLCA	Money Laundering Control Authority
NAIRU	Non-accelerating inflation rate of unemployment
PMI	Purchasing Managers' Index
PSE	Producer support estimate
RPOs	Regional Placement Offices
RPT	Réforme de la péréquation et de la répartition des tâches entre la Confédération et les cantons
SMEs	Small and medium-sized enterprises
SMI	Swiss market index
SNB	Swiss National Bank
SPAO	Employed labour force statistics, based on the labour force survey
STATEM	Labour force survey and employment statistics
UBS	Union Bank of Switzerland

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UMTS	Universal Mobile Telephone Systems (third generation mobile telephone systems)
VAR	Vector-autoregressive
VAT	Value added tax
Virt-X	New electronic stock market
WTO	World Trade Organisation
xDSL	Technologies which allow for high speed data transmission through traditional telephone lines

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Annex I

Evaluation of the benefits of regulatory reform: Supplementary information

This annex provides methodological information on the evaluation of the macroeconomic effects of regulatory reforms. The simulated reforms would improve competition in four sectors, *i.e.* agriculture, health, electricity and gas, which together represent about 20 per cent of Swiss GDP.

The method used is close to the approach followed in an OECD study of regulatory reform (OECD, 1998). The quantification is carried out in two steps. In the first, the static impact of a reform in these sectors on the overall price level is estimated. The second step establishes a link between the estimated price reduction and the associated rise in aggregate production, by evaluating the effects of the structural reforms with a macroeconomic model. In particular, the consequences of a reduction in firms mark-ups and of higher labour productivity consistent with the calculated price reduction are simulated.

First step: potential effects of structural reforms on the price level

Several factors are taken into account in order to calibrate the price reduction, which could derive from regulatory reform or from the liberalisation of some sectors. F*irst*, the price differences with other countries are examined with available indicators, largely using data on purchasing power parity (PPP). These data provide an indication of possible price reductions in the various sectors. In the case of health care, the average price level is more than 60 per cent above that of the European Union, while the differences are 40 per cent in agriculture and more than 30 per cent for the average of private consumption. S*econd*, the effect of regulatory reforms implemented in other countries has been taken into account to quantify the effect of some sectoral reforms. In the case of electricity, available studies show, for instance, that the reform in Germany has led to a price reduction of between 15 and 20 per cent for businesses. Despite these indications, it is still difficult to measure the effect of a series of structural reforms in terms of sectoral price reductions. Therefore, two cases have been analysed in the main text, in order to provide a range for the potential impact of reforms. In *case* 1, agricultural and health prices decrease by 25 per cent, whereas electricity and gas prices fall by 20 and 10 per cent, respectively. In *case* 2, the price reduction is assumed to reach only 15 per cent for agriculture and health care and 10 per cent for electricity and gas.

Two complementary approaches have been used to estimate the impact of sectoral reforms on the general price level. The first one is based on the analysis of the input-output matrix, which allows taking into account the effect of lower prices on intermediate consumption on the aggregate price level. In the case of Switzerland, this approach is limited by data

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availability.* An alternative approach, based on the weight structure of the consumer price index (CPI), provides another estimation of the drop in aggregate prices. In *case* 1, this drop is estimated to be between 4¼ and 6½ per cent, and in *case* 2 between 2½ and 4 per cent. In general, the estimates obtained with the input-output matrix approach are lower that those provided by the CPI weighting structure, given the higher weight of health care and agricultural products in consumption than in value added.

Second step: estimation of induced effects on production

The OECD's macroeconomic model Interlink has been used here to estimate the dynamic effect of structural reforms on production. The favourable impact of these regulatory reforms on the price level leads to a more efficient use of production factors and to a reduction of margins. The supply block of Interlink incorporates at an aggregate level the effect of trend total factor productivity and of the level of margins on wages and prices (Turner *et al.*, 1996). It is therefore possible to calculate the necessary efficiency gains and mark-up reductions in order to obtain the predetermined price reduction. This is made on an *ex ante* basis, that is, without taking into account the incidence of financial variables and of the other variables in the model that describe the functioning of the rest of the economy. This ensures a better consistency with the quantification of the static impact of reforms on prices obtained previously.

The simulation of the rise in total factor productivity growth and of the fall in margins, both consistent with the predetermined price reduction, has been carried out for a period of ten years, in order to obtain the dynamic effect of reforms. The effect of such a shock is deflationary if there is no accompanying easing of monetary policy, since the simulated effect of lower margins, together with the reduction of the output gap due to a higher potential growth, induce downward pressure on prices. Hence, it has been assumed that the monetary authorities adopt an accommodating policy, neutralising deflationary pressures. Lower interest rates induce a depreciation of the exchange rate, which favours an increase in production, which is compatible with that of potential growth. The relaxation of monetary conditions is calibrated in a way that the objective of price stability of the central bank is respected. The maintenance of price stability, together with the fall of the exchange rate reduces the comparatively high price level in Switzerland with respect to other countries.

The results of the simulation show that structural reforms favour a virtuous cycle of cost reductions, higher international competitiveness and real revenues, lower interest rates and stronger capital accumulation, reinforcing the growth potential of the economy. The cumulated impact of the higher GDP reaches between 4 and 7 per cent relative to the baseline scenario after 10 years. The upper bound of this estimate corresponds to *case* 1 mentioned above, where the effect of reforms on prices is higher.

The order of magnitude of the results obtained in terms of higher output seems plausible. Intuitively, the initial reduction of around 6 per cent of the price level, as in *case* 1, should induce almost mechanically an increase of expenditure in volume terms of 6 per cent in the absence of a change in saving behaviour. Taking into account the positive effects of reforms on potential growth, including the rise in the capital stock, a total GDP increase of 7 per cent appears to be plausible, independently of the specific model used.

* Only partial data on input-output matrices are available, and these correspond to the beginning of the 1990s.

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Annex II

Calendar of main economic events

2000

July

The Confederation declares its readiness to negotiate savings taxation and customs fraud with the EU.

The Post Office is allowed by the government to increase the price of parcels in 2001, but not that of letters.

September

The Federal Council proposes to introduce an insurance system for maternity leave, to be paid by the employer.

The Federal Council issues a second revision of the draft law of the health insurance system (LAMal).

December

Four licenses for mobile UMTS communications are auctioned, collecting CHF 205 million, 5 million above the starting price.

The Parliament approves the electricity market reform that provides for a step-by-step liberalisation of the market that should end in six years.

The Confederation approves the budget for 2001 that aims at a zero deficit. The projection for the general government balance is a deficit of ¼ per cent of GDP.

2001

January

The new tax on lorries negotiated with the EU is introduced.

The Post Office announces a restructuring plan that will suppress one out of every four offices.

The new program to reduce CO_2 emissions, based on voluntary measures, is launched by the government.

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The new personnel law (Lpers) is implemented by the railway company (CFF) and the postal services (La Poste).

February

The Confederation accounts for 2000 are published, showing a larger-than-expected surplus of CHF 4.5 billion.

The Federal Council proposes a tax cut amounting to CHF 1.3 billion for households and for stamp duty on securities transactions.

March

The SNB lowers its reference interest rate band by 25 basis points to 2.75-3.75 per cent.

May

The electricity reform law will be challenged by referendum, which will take place during 2002.

The Federal Council declares its readiness to negotiate the entrance in the Schengen space of the European Union.

June

The Council of States approves the referendum that will decide on the entrance of Switzerland in the United Nations. It should take place in March 2002.

July

The Zürich stock market migrates to London by joining Virt-X, a new trading system that also quotes large European blue chips.

September

In a coordinated action with the European Central Bank (ECB) and the US Federal Reserve after the 11 September attacks, the SNB lowers interest rates by 0.5 percentage points to 2.75 per cent. Following an appreciation of the Swiss franc, the bank reduces rates a further half a point to 2.25 per cent.

Following financial problems, Swissair decides to merge with Crossair to create Swiss Air Lines. UBS and Credit Swiss provide a loan of CHF 1 billion to save Swissair from bankruptcy.

The National Council decides to allocate the revenue of the SNB on gold sales to the AVS, cantons and solidarity fund.

The canton of Vaud rejects by referendum the privatisation of a stake of its cantonal bank, which would have reduced the public stake to 33 per cent.

The National Council modifies the Federal Council draft tax reform and proposes tax cuts amounting to CHF 2.2 billion, including tax rebates for childcare and the exclusion of businesses and pension funds from the payment of the stamp duty tax.

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October

Swissair is bankrupt. A new company created with the assets of Swisscom and Crossair (Crossair Plus) receives CHF 1.4 billion of public funds, and further help from a pool of private companies. The public sector will have 38 per cent of the capital of the new company.

The Federal Council will not privatise more of Swisscom.

November

Roche is condemned by the EU competition authorities to pay a sanction of CHF 675 million for participating in a vitamin cartel in Europe during the period 1989-99.

A draft reform of the cartel law that introduces sanctions for anti-competitive behaviour and incentives for denouncing cartels is submitted to the Parliament.

The Federal Council proposes the draft law (RPT) reforming spending assignments and financial transfers between the cantons and the Confederation.

December

The new budgetary rule (*"frein à l'endettement"*) is approved by referendum. It will enter into force at the beginning of 2003.

The reference LIBOR interest rates is reduced to 1.75 per cent. The SNB updates its inflation projection.

The National Council approves a reform of the funding of the unemployment insurance system that includes a reduction of the maximum duration of benefits from 520 to 400 days.

The National Council approves the 4th revision of the invalidity insurance law.

The Belgian Parliament approves the bilateral agreements of the EU with Switzerland, paving the way to its implementation during the first half of 2002.

The Confederation approves its budget for 2002 that includes a deficit target of CHF 294 million. Spending priorities are training, health, justice and police. The federal government deficit is estimated to be ¼ per cent of GDP, consistent with the provisions of the "Budget Objective 2001".

2002

February

In the context of the preparation of the 2003 budget, the Federal Council announces that the new debt containment rule would require the federal budget to be in a surplus of CHF 100 million in 2003.

March

The Federation of Swiss doctors adopts *TarMed*, a uniform remuneration system for doctors throughout the country.

The Federal Office for Energy (OFEN) releases the regulation (*ordonnance*) of the electricity market.

The Parliament approves the new revision of the unemployment insurance bill.

In its quarterly meeting, the SNB leaves unchanged its key interest rate.

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